# The Price of Delaware Corporate Law Reform*

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**Abstract**

We examine the equity market impact of SB 21, a 2025 overhaul of the Delaware General Corporation Law that makes safe-harbor "cleansing" of conflicted controller transactions more readily available. Using a standard event-study design with a control group comprising the 1,000 largest publicly traded U.S. firms incorporated outside Delaware, Delaware incorporated firms experience significantly negative cumulative abnormal returns (CARs) at the announcement of SB 21, about -1.2% relative to these non-Delaware peers. Cross-sectionally, underperformance is concentrated in firms with larger blockholders and in dual-class firms: firms with voting blocks above 15% exhibit about 1.4% more negative CARs, and dual-class firms' CARs are lower by roughly 2.3%. Our findings are consistent across event windows and robust to alternative risk-adjustments (e.g., multi-factor benchmarks). Complementing the price evidence, we document a mechanism consistent with portfolio rebalancing: relative to passive funds, active mutual funds reduced their exposure to Delaware firms and, within Delaware holdings, to firms with more concentrated control following the announcement. On balance, the evidence implies that SB 21 reduced the shareholder value of Delaware firms overall, with the largest losses borne by companies where controller conflicts are most salient.

*For helpful conversations and comments, we thank Dhruv Aggarwal, Michal Barzuza, Lucian Bebchuk, Andrew Blumberg, Ryan Bubb, Vincent Buccola (discussant), Emiliano Catan, Albert Choi, Alma Cohen, Jared Ellias, Scott Hirst, Irena Hutton (discussant), Louis Kaplow, Kobi Kastiel, Jeroen van Kwawegen, Travis Laster, Mariana Pargendler, Kathryn Spier, Greg Varallo, Andrew Verstein, and participants in the following workshops and conferences: Harvard Law School Corporate Group Lunch, Harvard Law, Economics, and Organization workshop, Corporate and Securities Litigation Workshop at the University of Richmond, the 2025 Conference on Empirical Legal Studies at Georgetown Law School, the UCLA Law & Business Workshop, and the 2026 American Law and Economics Association Annual Meeting at the University of Chicago Law School. We thank Neha Aluwalia, Henry Atkins, Audrey Cheng, George Hu, Cora Kim, Sam Morimoto, Connor Nickson, Kyle Parker, Jovan Poh, Joshua Toh, and Noah Wintman for their valuable research assistance, and the NUS Law EWB Center for Law and Business (Khoo) and the Harvard Summer Research Program (Tallarita) for generous funding.

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# 1 Introduction

In 2025, within the span of a few weeks, Delaware legislators introduced and approved a controversial reform of the state's corporate law code (SB 21),[1] a statute that relaxed the rules governing conflicted transactions involving controlling shareholders (i.e., controller transactions) and added a series of defendant-friendly amendments designed to curb minority shareholder litigation (Bainbridge (2025a)). As Talley et al. (2025) emphasize, this was the most significant rewriting of Delaware corporate law in more than half a century.

The bill sparked an intense debate among scholars and practitioners. Critics contend that the new law facilitates excessive extraction of private benefits by controlling shareholders and other insiders, and that it was designed to appease powerful founders and business interests at the expense of public investors (Bebchuk et al. (2025); Lipton (2025a); Lipton (2025b); Shapira (2025)). Supporters, by contrast, argue that the new rules supply a much-needed correction to excessive litigation and judicial overreach, ultimately benefiting all shareholders (Bainbridge (2025b); Bishop (2025); Rickey (2025)). Both camps maintain that their preferred legal framework, whether pre- or post-SB 21, is better for investors. Although there are credible theoretical arguments on each side of the reform, there is no clear basis to conclude that its overall effect on shareholder value should be positive or negative.[2] Whether investors are better or worse off under the new rules depends on the relative strength of these competing effects, and that balance is ultimately an empirical question.

In our Article, we shed light on the debate by examining the equity market response to SB 21. The intuition is straightforward. If investors anticipate that the new rules will reduce shareholder value, as critics contend, then the stock returns of affected firms should react negatively to the reform, whereas if investors expect the new rules to raise shareholder value, as supporters maintain, then the returns of those firms should react positively. We therefore read the sign of the market reaction as the market's own assessment of which account is closer to correct.

Because a reform's realized consequences accrue only over a post-reform window longer than is presently available, our Article measures the equity market's contemporaneous, forward-looking assessment of SB 21 rather than its realized effects on outcomes such as controller litigation, insider compensation, and the incidence of conflicted transactions. That price reaction also carries information realized outcomes cannot, because equity prices capitalize the expected value of future controller conduct (including at firms that never end up transacting). Realized-outcome studies observe only the deals that actually occur, so they necessarily miss the forward-looking content embedded in prices. Reading the announcement-window price reaction as the relevant evidence on a state corporate-law reform follows recent work in this setting (Bennett et al. (2025)).[3]

To measure that reaction, we conduct a series of event studies (Brown and Warner (1985); MacKinlay (1997)). To assess the overall effect of SB 21 on firms subject to the new rules, we estimate

[1] Act of March 25, 2025, 2025 Del. L. Ch. 6 (S.B. 21).

[2] See Section 2.

[3] We return in Section 6 to the realized-outcome question, which a fuller appraisal of the reform will ultimately require.

cumulative abnormal returns (CARs) for the 1,000 largest Delaware-incorporated companies by market capitalization and for a comparative sample of the 1,000 largest U.S. companies incorporated outside Delaware. To isolate the specific effect of the provisions governing controller transactions, on which many commentators have focused their attention, we then hand-collect ownership information from public corporate filings for the Delaware firms in our sample and examine how their CARs vary with each firm's control structure.

In particular, we study the relation between CARs and two variables of corporate control. The first is the percentage of votes that may be exercised by the shareholder or shareholders with the greatest voting power, which we term the "voting block." Ostensibly, companies with a larger voting block are more likely to be reached by the rules on controller transactions, since those rules apply to transactions involving a "controlling shareholder" and voting power is a critical factor in determining control. Moreover, if the critics of SB 21 are right and the new statute permits greater exploitation of public investors, we would expect public investors to suffer relatively more in companies with more powerful controllers, where the agency costs of control are larger (Bebchuk and Hamdani (2017); Coffee Jr (2001); Gilson (2005)). For these reasons, the market reaction to SB 21 should be associated with the size of the voting block.

The second variable is the presence of a dual-class structure, which grants founders and other insiders disproportionate voting power relative to the shares they own. In a dual-class company, controllers and major shareholders have stronger incentives to exploit public investors, because by holding a smaller fraction of the cash-flow rights they bear less of the cost that their decisions impose on the firm (Bebchuk and Kastiel (2018); Masulis et al. (2009); Gompers et al. (2010)). If the critics of SB 21 are correct, dual-class firms should exhibit a larger negative CAR than single-class firms, even after controlling for the size of the voting block (Bebchuk et al. (2025)). As a refinement, we also construct a continuous voting-economic wedge measure (i.e., the percentage of votes held by the largest controlling blockholder minus that blockholder's percentage of cash-flow (economic) rights, read from each firm's most recent DEF 14A proxy statement filed on SEC EDGAR), which provides a non-binary proxy for the same channel and is reported alongside the dual-class indicator in Section 5.3.

Our results lend support to the critics' view. Around the date of SB 21's announcement, Delaware companies experienced negative CARs relative to other U.S. companies, and within Delaware, firms dominated by large blockholders or featuring dual-class share structures suffered more pronounced losses than peers with smaller blockholders or single-class equity. These effects are statistically significant and economically large. In our reference window, which runs from the trading day before the event to the fifth trading day after it, the CARs of Delaware companies are 1.2% lower than those of other U.S. companies, even after controlling for several company characteristics such as size, industry, and other financial variables. To appreciate the magnitude of this effect, one should bear in mind that 1.2% of the market value of the Delaware companies in our sample amounts to approximately \$350 billion.

Similarly, among Delaware-incorporated companies, those with voting blocks below 15%, which we treat as minimally exposed to the pre-reform controller-transaction rules given the absence of successful controller findings below that threshold, recorded smaller declines in CARs than companies above the cutoff; firms with voting blocks exceeding 15% experienced about 1.4 percentage points more negative CARs. At a higher threshold, firms with voting blocks above 33.3% saw CARs about 1.7 percentage points more negative than firms below it, since controller transactions for these firms now fall squarely within the new statutory single-cleansing safe harbor introduced by SB 21. Under the mainstream reading of the statute, the 15–33.3% group receives the most far-reaching change, because shareholders in that band could have been classified as controllers under the pre-reform common-law standard but, under SB 21, can no longer be deemed controllers at all (see Section 3.3.2). More generally, larger voting blocks predict more negative reactions, with a 10-percentage-point increase in the voting block associated with a 0.27% reduction in returns. Dual-class Delaware firms likewise fared worse than single-class firms; on average, their CARs at $[-1, +5]$ were about 2.3 percentage points lower. As a refinement, we also construct a continuous voting-economic wedge (the gap between the largest controlling blockholder's voting power and its economic ownership) from each firm's most recent DEF 14A proxy statement. In a sample restricted to firms with a non-institutional largest blockholder, the wedge coefficient is negative across the event windows and statistically significant at the 5 percent level in the $[-1, +5]$ and $[-1, +7]$ windows, and it is robust to controlling for the controller's cash-flow rights. The wedge results are reported alongside the dual-class indicator in Section 5.3.

Through what process did the negative CARs emerge, and which investors were the marginal sellers? To shed light on this question, we analyze portfolio rebalancing using monthly mutual-fund holdings, examining in particular whether active, alpha-seeking funds adjusted their exposures around the SB 21 announcement. Relative to passive funds, we find that active funds reduced their exposure to Delaware firms and, within their Delaware holdings, to firms with more concentrated control.

We also test the market response to the Delaware Supreme Court's decision in the prior *Match* case, which had reaffirmed one of the most important rules overturned by SB 21, namely the application of the "double-cleansing" mechanism to all controller transactions (*In re Match Grp., Inc. Derivative Litig.* 2024).[4] Here, in contrast to SB 21, the aggregate response is essentially a non-event: stock returns remained, on average, largely unaffected by the *Match* decision, consistent with the court's view that the decision did not alter existing law. The cross-section, however, is corroborative. Because *Match* reaffirmed—and on the prevailing reading broadened—the very protection that SB 21 later relaxed, the agency-cost channel predicts that the firms most exposed to controller conflicts, hurt most by SB 21, should benefit from *Match*; the dual-class, voting-block, and wedge coefficients estimated around *Match* are indeed positive, the mirror image of their negative SB 21 counterparts. We hold this loosely, since these cross-sectional estimates are mostly individually insignificant, yet in direction it reinforces the agency-cost reading over the legal-uncertainty alternative (Section 5.4).

A natural alternative to our interpretation attributes the announcement losses to the legal uncertainty the statute created rather than to the value it shifts from minority shareholders to controllers. We argue that this alternative is unlikely to account for the whole of the effect (Section 5.4). Uncertainty about a single state's controller-transaction rules is largely diversifiable,

[4] A "double-cleansing" mechanism involves the approval of a conflicted transaction by both a special committee of independent directors and a fully informed and uncoerced majority of minority shareholders. See Section 3.1.

so it commands little risk premium for a diversified investor regardless of risk aversion, much as the smoothness of aggregate consumption leaves equities unable to earn the observed premium under plausible preferences; moreover, the firms most exposed to the reform show no measurable rise in the idiosyncratic volatility that a fresh wave of uncertainty would produce.

Taken together, our findings indicate that the market responded negatively to SB 21, consistent with the view that its permissive reforms reduce shareholder value by weakening the protections that shield minority investors from opportunistic conduct by corporate insiders. The evidence is, in particular, consistent with the proposition that the protections curtailed by SB 21 were especially valuable to minority investors in companies with controlling shareholders and other large, influential blockholders. The economic stakes are substantial, as Delaware companies lost hundreds of billions of dollars in aggregate market value, at least in the short term. While SB 21 may have satisfied demands for deregulation among certain corporate constituencies, the empirical evidence points to considerable investor apprehension about its implications for shareholder value.

The rest of our Article is organized as follows. In Section 2, we survey the relevant literature and articulate our Article's contribution. In Section 3, we examine the institutional details of SB 21 and identify the firm characteristics, particularly voting-block size and dual-class status, that mediate exposure to the reform. In Section 4, we describe our data and event-study methodology. Section 5 presents and discusses our results, and Section 6 concludes.

# 2 Literature Review

Because the most consequential changes under SB 21 concern the relaxation of approval requirements for conflicted transactions involving controlling shareholders, the regulatory shock is widely read as an expansion of controlling-shareholder rights. Against this backdrop, our empirical evaluation of SB 21 contributes to two distinct debates. The first concerns controlling-shareholder control as against more diffuse forms of shareholder control,[5] while the second concerns the contemporary legal literature on the reform's second-order effects, particularly with respect to shareholder litigation. We address each in turn.

Because the literature comparing controlling-shareholder governance with more diffuse shareholder control is extensive, we offer only a brief survey here. A large body of work argues that controlling shareholders can mitigate the classic owner–manager agency problem, because a controller has strong incentives to monitor management (and often is itself part of management) and to maximize firm value. Their large equity stake ties their interests closely to firm performance and supports a longer-term orientation that dispersed shareholders may lack (Choi (2018); Gilson and Gordon (2003); Goshen and Hamdani (2015); La Porta et al. (2000); Pargendler (2019)). A parallel literature emphasizes the risk that controlling shareholders will direct corporate decisions

[5] By extension, this shift can augment board authority, insofar as controlling or substantial shareholders typically exert outsized influence over board composition and decision-making. Because this mechanism is ancillary to our focus, we do not engage the large literature on the relative merits of board power versus shareholder power. See, for example, Anabtawi (2005); Bainbridge (2002); Bebchuk (2004); Blair and Stout (1999); Harris and Raviv (2010); Rajan and Zingales (1998).

toward extracting private benefits at the expense of minority investors, for example through self-dealing, excessive compensation, or strategies that advance the controller's non-shareholder interests (Bebchuk and Hamdani (2017); Coffee Jr (2001); Gilson (2005); Lipton (2025a)). Indeed, the empirical evidence is consistent with these concerns: the value of corporate control has been estimated at roughly 14% of the firm's total equity value (Dyck and Zingales (2004)), while dual-class firms often trade at substantial discounts to single-class peers (Gompers et al. (2010); Masulis et al. (2009)).

In this context, we situate our Article within work that treats shifts in mandatory corporate-law rules as quasi-experiments that rebalance authority between controllers (or boards) and non-controlling investors (i.e., legal reforms that reallocate control rights) (Babenko et al. (2025); Eldar and Grennan (2024); Fich et al. (2023); Khoo and Tallarita (2025); Linn and McConnell (1983); Pound (1987); Rauterberg and Talley (2017)). Consistent with this approach, Bennett et al. (2025) examine the effect of Nevada Senate Bill 203, which explicitly relaxes shareholder-primacy constraints, and document valuation declines for Nevada-incorporated firms, interpreting the legal reform as a weakening of shareholder primacy. Although the legal mechanism differs, our findings are broadly in line with theirs: SB 21 reallocates power toward controlling shareholders rather than empowering boards *per se*, so the shock is best understood as an intra-shareholder reallocation of influence that plausibly strengthens controllers at minority investors' expense. Furthermore, because our main dependent variable of interest relates to short-window abnormal returns around well-defined dates, the effects we capture reflect investors' immediate pricing of governance risk, whereas contemporaneous changes in internal "voice" would require a different empirical window. This aligns with evidence that owners often respond to governance events through short-horizon trading ("exit") rather than the immediate reconfiguration of internal governance processes (Li et al. (2022)).

A second strand of literature relevant to our analysis is the legal commentary on SB 21, which primarily evaluates the costs and benefits of shareholder litigation (Kraakman et al. (1993)). Proponents contend that the reforms could enhance shareholder value by increasing the predictability of bright-line rules (Bishop (2025)), by lowering regulatory compliance costs through the simplification of cleansing procedures for conflicted transactions (Bainbridge (2025b)), and by reducing the costs associated with books-and-records inspections (Rickey (2025)); they further argue that these changes should decrease litigation costs in cases involving wrongful conduct (Hals (2025)). However, other commentators argue that SB 21 entails substantial secondary costs that may be only indirectly related to controllers' incentives to extract private benefits. They emphasize that the rigidity of bright-line rules is an inferior mechanism for policing investor exploitation relative to the flexibility of equitable review (Lipton (2025a); Tallarita (2025)); that narrowing books-and-records rights is likely to weaken the deterrence of controlling shareholders' behavior (Shapira (2025)); that Delaware risks reputational harm from the perception of interest-group capture (Lipton (2025b)); and that the rushed and confusing legislative process may signal incompetence in a regime of regulatory competition (Kahan and Rock (2025); Lund and Talley (2025)).

These effects are theoretically plausible, although reasonable observers may disagree about their direction, magnitude, and empirical observability. Whether investors were ultimately helped or harmed by the reform depends on the relative strength of these competing forces and on the net impact on shareholder value, which we evaluate empirically in our Article. Before turning to the data and results, we provide a detailed overview of SB 21 in Section 3.

# 3 The Delaware Corporate Law Reform

## 3.1 Before SB 21: The Double-Cleansing Rule

Delaware corporate law has long treated conflicts of interest as one of its central concerns. Although it affords great deference to unconflicted board decisions under the so-called "business judgment rule" (*Gagliardi v. Trifoods Int'l* 1996), it subjects conflicted decisions to a markedly stricter standard of review—entire fairness—which often yields a settlement or a plaintiff's victory (Chari and Ross (2025); Greco (2024); *Maffei v. Palkon* 2025; Spamann (2016)). For a corporation, the traditional route to avoiding entire fairness review of a conflicted transaction is to "cleanse" the relevant conflict of interest, so that the corporate process leading to the approval of the transaction becomes reliable again and the court applies the more lenient business judgment rule.

The most frequent conflicts are those in which one or more directors or officers of the corporation hold a financial interest in the transaction. To cleanse such conflicts, the decision must be approved either by disinterested and independent directors (often forming, according to best practices, a so-called special committee) or by disinterested shareholders, so that the decision-making process is insulated from the disabling interest of the conflicted directors or officers. In other words, the conflict is cured on the assumption that the disinterested directors or shareholders have no incentive to act disloyally *vis-à-vis* the corporation (*Cooke v. Oolie* 2000). However, where the conflicted party is a controlling shareholder (controller transactions), traditional cleansing mechanisms have long been regarded as "not trustworthy enough to eliminate the need for an entire fairness review" (*In re Pure Res., Inc., S'holders Litig.* 2002).

Initially, controller transactions could not be validly cleansed and were therefore always subject to entire fairness review. This very strict regime was applied first, and most clearly, to parent-subsidiary cash-out mergers, also known as "squeeze-outs" or "freeze-outs," in which minority shareholders are at risk of being cashed out by the controlling shareholder at an unfairly low price,[6] and subsequently to controller transactions of every kind (*In re Ezcorp Inc. Consulting Agreement Derivative Litig.* 2016), such as stock purchases (*Kahn v. Tremont Corp.* 1996), services agreements (*T. Rowe Price Recovery Fund, L.P. v. Rubin* 2000), reverse stock splits (*Reis v. Hazelett Strip-Casting Corp* 2011), or conversions of debt into equity (*S. Muoio & Co. LLC v. Hallmark Ent. Invs. Co.* 2011). More recently, Delaware courts began to recognize that robust corporate procedures could police controller transactions more effectively than judicial review. Eventually, in *Kahn v. M & F Worldwide Corp.* 2014, the Delaware Supreme Court formalized what is often known as a "double-cleansing" mechanism, which permits the cleansing of controller transactions only where the transaction is approved by *both* a special committee of independent directors *and*

[6] These transactions have received considerable attention by corporate law scholars over the years. See, for instance, Carney (1980); Kahan (1993); Coates IV (1998); Gilson and Gordon (2003); Subramanian (2007); Restrepo (2013); Restrepo and Subramanian (2015); Cox and Thomas (2017).

a fully informed and uncoerced majority of minority shareholders.

As a consequence, controller transactions became the focus of intense litigation, attacked on the ground that the double-cleansing procedure had not been followed, or had not been followed properly. Because of flaws in that procedure, some high-profile cases ended in unexpected wins for the plaintiffs. Perhaps the most visible was the derivative lawsuit against Tesla and its CEO (and alleged controlling shareholder) Elon Musk, which resulted in the rescission of Musk's historically large compensation award on the ground that, according to the court, the transaction did not comply with the procedural requirements of *Kahn v. M & F Worldwide Corp.* 2014 (*Tornetta v. Musk* 2024). The decision triggered a harsh reaction from Musk and Tesla and prompted many observers to condemn the excesses of shareholder litigation against controller transactions.

## 3.2 The Announcement and Enactment of SB 21

Even before the public backlash ignited by Musk and Tesla, many experts had criticized Delaware's judge-made rules on controller transactions and recommended defendant-friendly reforms (Hamermesh et al. (2021); Pollman and Will (2025); Goshen et al. (2024); Fisch and Davidoff Solomon (2024)). However, in the 2024 *Match* case, the Delaware Supreme Court reaffirmed the double-cleansing rule for controller transactions of every kind (*In re Match Grp., Inc. Derivative Litig.* 2024).[7] Meanwhile, criticism of the Delaware courts by some publicly visible founders and corporate leaders was intensifying. Tesla CEO Elon Musk—after the rescission of his multi-billion-dollar compensation plan by the Court of Chancery—won a shareholder vote to change Tesla's state of incorporation to Texas (Saldana (2024)) and invited his social media followers to "never incorporate... in Delaware" (Musk (2024)). Bill Ackman, owner of the investment management firm Pershing Square, announced the reincorporation of his firm out of Delaware to Nevada (Reuters (2025)), while Meta Platform was rumored to be contemplating a similar move to Texas (Glazer et al. (2025)). Many commentators began to entertain the possibility that numerous other companies (especially controlled companies) might leave Delaware out of dissatisfaction with the stringent rules on controller transactions (Bainbridge (2024b)). These departures motivated the reform; we nonetheless measure its consequences for shareholder value through the market's price reaction rather than through subsequent incorporation flows, for the reasons set out in Section 4.

Amid growing pressure from the corporate defense bar and its largest clients, the Delaware legislature decided to step in and change the rules. In February 2025, a comprehensive reform bill (SB 21) was announced,[8] and by the end of March a slightly revised version of the bill had been signed into law.[9]

[7] *Match* prompted significant scholarly work on the optimal cleansing regime for controller conflicts (Bainbridge (2024a); Barzuza (2024); Bubb et al. (2024); Greco (2024); Hurt (2025); Restrepo and Subramanian (2024)).

[8] Del. State Senate, 153rd Gen. Ass., Senate Bill No. 21.

[9] Del. 153rd Gen. Ass, Senate Substitute 1 for Senate Bill 21.

## 3.3 What SB 21 Is About

The scope of the reform introduced by SB 21 is quite broad. The bill amended Sections 144 and 220 of the Delaware General Corporation Law (DGCL) and thereby rewrote the rules governing conflicted transactions, as well as shareholders' rights to inspect corporate books and records. Table 1 summarizes the major changes to Delaware law introduced by SB 21, which, taken together, move Delaware law further in a defendant-friendly (and thus controller-friendly) direction. We report both the proposed amendments in their initial version, announced on February 17, 2025, and those included in the final version of the bill, which was introduced on March 12 and signed into law on March 25, 2025. As the Table shows, the later revisions did not significantly alter the content of the bill, except by reinstating some degree of judicial discretion with respect to books-and-records requests.

Table 1: The New Rules of SB 21

| **Old Rules** | **Initial Version of SB 21** | **Final Version of SB 21** |
|---|---|---|
| Double cleansing for all controller transactions | Double cleansing for squeeze-outs<br>Single cleansing for other controller transactions | Same as initial version |
| All members of special committee must be independent | Majority of special committee must be independent | All members of special committee must be considered independent by the board.<br>Cleansing requires approval by majority of independent directors |
| Double cleansing condition from inception (ab initio) | Condition on shareholder approval before submission to shareholder vote | Same as initial version |
| Special committee must be empowered to choose and hire its own advisers | Special committee need not be empowered to choose and hire its own advisers | Same as initial version |
| Special committee must act with due care | Special committee must act in good faith | Special committee must act without gross negligence or bad faith |
| Shareholder approval by majority of outstanding votes of disinterested shareholders | Shareholder approval by majority of votes cast by disinterested shareholders | Same as initial version |
| A shareholder may be considered a controlling shareholder with less than 33.3% of voting power | A shareholder may not be considered a controlling shareholder with less than 33.3% of voting power[10] | Same as initial version |
| Controlling shareholders have both duties of care and loyalty | Controlling shareholders have only duty of loyalty, not care | Same as initial version |
| Director independence determined by court based on facts and circumstances | Enhanced presumption of independence if board determines that stock exchange standards of independence are met<br>Nomination by interested person not enough to prove independence | Same as initial version |
| "Books and records" that shareholders may inspect include informal documents and communications | "Books and records" limited to certain formal documents and communications | "Books and records" limited to certain formal documents and communications<br>Court may order production of other records if plaintiff shows compelling need with clear and convincing evidence |

[10] See *supra* note 9.

| Old Rules | Initial Version of SB 21 | Final Version of SB 21 |
|---|---|---|
| No bright-line time limits for books-and-records requests | Shareholders may inspect books and records within 3 years of the request | Same as initial version |

The Table compares the new rules on conflicted transactions, director independence, and inspection of books and records contained in SB 21 (both in its initial and final version) with the corresponding old rules, mainly of judicial creation.

The new statute overturned *Match* (and possibly many other precedents) and established a single-cleansing safe harbor for all controller transactions except squeeze-outs (Talley (2025)). Moreover, it exempted shareholders holding less than one third of the voting power from the rules on controller transactions, raised the bar for proving that directors are not independent, and limited the use of books-and-records inspections by plaintiff lawyers. Taken together, the reform amounted to the most significant rewriting of Delaware corporate law in more than half a century, shifting the system in a more controller-friendly direction. In the following subsections, we discuss the main changes introduced by SB 21.

### 3.3.1 Single-Cleansing Safe Harbor

One of the most significant changes is the adoption of a single-cleansing safe harbor for controller conflicts. Under the old legal framework, recently reaffirmed by the Delaware Supreme Court's decision in *Match*, boards and controlling shareholders could avoid judicial review of controller transactions only by obtaining approval from *both* a special committee of independent directors *and* a majority of minority shareholders, namely the "double-cleansing" mechanism. Under the new rules, the same effect is attained through only *one* of these two cleansing mechanisms.[11] In other words, special committees can now approve conflicted controller transactions with minimal litigation risk and without the need for approval by a majority of minority shareholders. The only exception is for squeeze-outs, which remain subject to double-cleansing, although in a slightly laxer form than before.[12] This change—which overturns *Match*—affects all Delaware companies with a controlling shareholder, whether a majority shareholder (with voting power of $\geq$ 50% of the company's shares) or a minority shareholder with *de facto* dominant influence over the corporation.

### 3.3.2 Statutory Definition of Controlling Shareholder

SB 21 also adopts an explicit definition of "controlling shareholder," which excludes shareholders holding less than one third (33.3%) of the votes. Under the old legal framework, a plaintiff could establish that a minority shareholder was a controlling shareholder by demonstrating that it "exercise[d] control over the business affairs of the corporation" (*Tornetta v. Musk* 2024). A

[11]For a theoretical framework emphasizing that substituting shareholder voting/appraisal (and related procedural "cleansing" devices) for fiduciary-duty enforcement can weaken shareholder protection in control transactions, see Bubb et al. (2024).

[12]Critics of the new rule argue that there is no sound theoretical reasons why squeeze-outs should be treated differently from other important controller transactions, such as re-incorporations or charter amendments, and therefore the new regime introduced by SB 21 is harmful for investors. See Bebchuk and Kastiel (2025).

shareholder owning 20% of the voting power could therefore be deemed a controlling shareholder, whether in general or with respect to the specific transaction. In the *Tornetta* case, for example, Elon Musk was found to be a controlling shareholder for purposes of the approval of his compensation plan despite owning only 22% of Tesla's stock and voting rights.

The new rule retains the notion of *de facto* controller, yet it sets a bright-line threshold of 33.3% below which a shareholder may *not* be considered a controller. The threshold was, quite evidently, designed to exempt companies like Tesla, with a voting block smaller than 33.3%, from the controller-transaction rules Morris, Nichols, Arsht & Tunnell LLP (2025). On this reading, under the new Section 144 majority shareholders and *de facto* controllers with more than 33.3% of voting power obtain more lenient rules, whereas influential shareholders with less than 33.3% of voting power—who could have been deemed controlling shareholders under the old legal framework—obtain an apparent exemption, under the mainstream reading of the amendment, from the controller-conflict rules. This interpretation of the amendment appears to be widely accepted among scholars and practitioners (e.g., Bainbridge (2025a)).[13]

The choice between the pre-SB 21 flexible standard and the post-SB 21 33.3 percent bright line creates a discontinuity at 33.3 percent, yet the empirically relevant cutoff for the pre-reform regime is lower. Although the old controller standard imposed no minimum voting-power threshold (*In re PNB Hldg. Co. S'holders Litig.* 2006), successful controller findings below 15 percent were rare in practice; we have found one borderline case in which shareholders owning "just under 15 percent" were deemed controllers (*FrontFour Cap. Grp. LLC v. Taube* 2019), and none in which shareholders below that share were so classified. Accordingly, we treat 15 percent as a conservative empirical threshold separating firms that were, in practice, minimally exposed to the pre-SB 21 controller-transaction rules from firms that plausibly were not. Within the exposed group, we further distinguish firms with voting blocks between 15 percent and 33.3 percent—an intermediate group that received an apparent exemption under the mainstream reading of the amendment, but for which the courts' eventual posture is uncertain (Kahan and Rock (2025))—from firms above 33.3 percent, which fall expressly within the new statutory safe harbor. By codifying a cleansing mechanism for the above-33.3-percent group, SB 21 plausibly lowers the cost of extracting private benefits of control for the most dominant blockholders.

The agency-cost-of-control account further predicts a continuous relation between voting power and the announcement return: larger voting blocks increase the controller's practical ability to influence conflicted transactions, so that the price effect of an announced reduction in controller constraints should scale with that ability.

### 3.3.3 Enhanced Presumption of Director Independence

The new Section 144 establishes an "enhanced presumption" of independence for directors where the board believes that they satisfy the applicable stock exchange standards of independence. To

[13] An alternative interpretation suggests that the new bright-line definition of "controlling shareholder" is only relevant for the application of the safe harbor but does not overrule the common law standard. In other words, a shareholder with less than 33.3% of votes cannot benefit from Section 144's safe harbor but may still be found to be a controlling shareholder under the traditional common law standard. On this view, shareholders with less than 33% of voting power would not be affected by SB 21 (Kahan and Rock (2025)).

rebut such a presumption (which applies in practice to virtually all director defendants, since it rests on the board's own assessment), the plaintiff must present "substantial and particularized facts." In other words, the legislature is instructing the courts to raise the bar for proving that a director is not independent.

### 3.3.4 Other Changes to Section 144

The new statute contains additional tweaks that move the law of controlling shareholders further in a defendant-friendly direction. For example, it contains an automatic exculpation provision eliminating controlling shareholders' liability for gross negligence (breach of the duty of care),[14] it eliminates the so-called *ab initio* requirement under *MFW* (thus allowing the double-cleansing condition to be introduced at a later stage in the approval process), and it removes the requirement that special committees be able to choose their own lawyers and advisers, alongside other similar deregulatory moves.

### 3.3.5 The New Section 220

The other major changes introduced by SB 21 concern Section 220 of the DGCL. The bill significantly narrows the scope of the shareholders' right to inspect the books and records of the corporation provided under that statute. While the old statute left the concept of "books and records" to judicial interpretation, the new statute instead furnishes a list of board-level official documents that shareholders may obtain, and allows the Chancery to order the inspection of other documents, such as email or contracts, only where the plaintiff clears certain hurdles, including a demonstration of "a compelling need" for the inspection of such documents (Bainbridge (2025a)). Since the 1990s, the Delaware Supreme Court had treated Section 220 inspection rights as an "information-gathering tool" for derivative litigation (*Rales v. Blasband* 1993). Because derivative plaintiffs are not entitled to discovery at the initial (albeit crucial) stage of the lawsuit, a Section 220 inspection operates as an imperfect but important substitute for discovery. The new statute clearly aims to limit the use of this tool, although the precise contours of the change will depend on how the courts come to read the new provisions (Bainbridge (2025a)).

Because these amendments govern Delaware corporations and not the corporate law of any other state, any market-wide valuation effect of SB 21 should appear first as a differential return for Delaware-incorporated firms relative to firms incorporated elsewhere. Within the Delaware sample, that valuation effect should be concentrated in firms whose ownership structure brings them within the operative scope of the new controller-transaction rules (Section 3.3.2).

A separate cross-sectional implication concerns dual-class firms. Where one or more shareholders exercise voting power disproportionate to their equity stake, the cost of any value-destroying decision falls only partly on the controller (Bebchuk and Kastiel (2018)). This voting-economic wedge raises the controller's expected private benefits from any given relaxation of the controller-

[14]In a recent decision, and in a scholarly paper published shortly after the decision, Vice Chancellor Laster had reviewed the relevant case law and concluded that controlling shareholders owe fiduciary duties of both care and loyalty (*In re Sears Hometown & Outlet Stores, Inc.* 2024; Laster (2023)). However, the normative significance of the controller shareholder's duty of care has always been disputed (Dammann (2015)).

transaction rules and, all else equal, should make dual-class firms more exposed to SB 21 than single-class firms with the same voting block. We test this prediction using a binary dual-class indicator and a continuous wedge measure (Section 5.3).

# 4 Methodology and Data

To measure the market response to SB 21, we conduct a series of event studies—alongside complementary analyses—in which we compare the stock returns of affected firms around the event date against the expected returns implied by standard asset-pricing models (Berkowitz et al. (2015); Borisov et al. (2016); Cain et al. (2017); A. Cohen and Wang (2013); Dammann (2022); Eldar (2018); Frattaroli (2020); Greenwood et al. (2023); Krüger (2015); Matsusaka et al. (2021); Raghunandan and Rajgopal (2024)). Our design reads the announcement-window price reaction as the equity market's assessment of SB 21's consequences for shareholder value. That reaction identifies the expected change in the market value of public shareholders' equity claims, conditional on the information released in the announcement window. It therefore measures shareholder wealth rather than aggregate welfare. These two measures may diverge, because a negative abnormal return concentrated at controlled firms is consistent with an anticipated transfer from minority shareholders to controllers, a distributional shift that need not change the combined surplus of the firm. The equity-price response is in any case silent on effects that fall on creditors, employees, and other non-shareholder constituencies, on the volume and social cost of corporate litigation, and on the fiscal interests of the states that compete for incorporations. We therefore read our estimates as evidence on how the market expected SB 21 to affect the value of public shareholders' claims, while the reform's net effect on social welfare lies beyond what a reduced-form event study of this kind can identify.

We do not analyze incorporation flows (i.e., the rate at which firms enter or leave Delaware), although the reform was widely understood as a response to the threat of departures by prominent firms (Section 3.2). Three features of incorporation decisions place flows beyond the reach of the reduced-form design we employ. First, where a firm incorporates is decided by its board or controlling shareholder, the party whose latitude SB 21 expands, so a controlled firm may find Delaware more attractive after the reform precisely because minority protections are weaker; incorporation flows can therefore move in the direction opposite to the value accruing to public shareholders that our price measure is designed to capture. Second, reincorporation is a slow, board-initiated process that ordinarily requires a shareholder vote and is frequently bundled with other corporate events, so the months of post-reform data presently available contain too few events to identify its determinants in a reduced-form regression. Third, and most fundamentally, incorporation is the equilibrium of a competition among states, with Delaware, Nevada, and Texas each adjusting their corporate-law regimes over the same period, and of strategic signaling by firms and their controllers; because SB 21 is itself partly a response to the threat of departures, a slowing of exits after the reform may reflect the statute's success in retaining firms that had threatened to leave rather than any improvement in minority-shareholder value, and a reduced-form specification cannot separate these explanations. Credibly analyzing incorporation flows would therefore require a structural model of the entry-and-exit decision that represents the competition among states and the optimizing behavior of firms and their controllers, an undertaking distinct from the reduced-form approach we adopt here. Although the development of such a model is a valuable direction for future work, this paper focuses on the market's contemporaneous valuation of the reform.

## 4.1 Data and Summary Statistics

We retrieve daily total returns for all Delaware and non-Delaware firms from the CRSP/Compustat Merged database, relying on CRSP's dividend- and split-adjusted return series (DlyRet). We proxy market returns by CRSP's value-weighted total-return index, a capitalization-weighted portfolio of domestic stocks listed on the NYSE and NASDAQ exchanges (vwretd). Firm-level covariates—including size, industry classification, state of incorporation, and other accounting measures—come from Compustat. We hand-collect data on voting power and dual-class status from proxy statements for the 1,000 largest Delaware-incorporated firms by market capitalization, with assistance from student researchers at Harvard Law School.

For the Delaware/non-Delaware comparison, we run the analysis on the 1,000 largest publicly traded companies incorporated in Delaware as of the end of 2024 and, for comparison, on the 1,000 largest publicly traded U.S. companies incorporated in other states. This sampling frame follows from the estimand of interest. The controller-transaction provisions of SB 21 bear most heavily on firms with meaningful controller exposure, material fiduciary-litigation risk, and active market scrutiny, characteristics that are concentrated among larger corporations. The economically relevant quantity is therefore the Delaware repricing effect among such firms, rather than the average effect across every CRSP/Compustat firm, since most of the smallest firms are only weakly exposed to the reformed rules. Restricting both the treated and comparison groups to the largest firms has the further advantage of placing the Delaware/non-Delaware headline test on the same population as the within-Delaware controller-agency-cost tests in Sections 5.2 and 5.3, which are estimated on hand-collected ownership data for these same top-1,000 Delaware firms, so that the headline and the mechanism tests describe one coherent sample.[15] Because a small number of observations could not be matched to the CRSP–Compustat files, the effective sample size falls slightly in some analyses; Tables 2–4 present summary statistics for the resulting sample, reporting for each variable the mean and standard deviation. Tobin's $Q$ exhibits a heavy right tail driven by a small number of asset-light firms, and we winsorize the firm controls, including $Q$, at the 1st and 99th percentiles in the cross-sectional regressions, so that the headline estimate is not driven by that tail.[16]

[15]Within this frame the headline estimate is robust to the Fama–French five-factor model (Online Appendix Table OA-1); its sensitivity to widening the sampling frame to the full CRSP/Compustat universe is examined at the end of Section 5.1. The continuous voting-block measure requires manual extraction from proxy statements; dual-class status, by contrast, could in principle be identified for a broader universe from machine-readable governance data (for example, ISS or MSCI), an extension we leave to future work.

[16]In the $[-1, +5]$ baseline (Table 6), winsorizing the dependent variable and all firm controls at the 1st/99th percentiles yields a Delaware coefficient of $-0.0120$ ($p = 0.001$), significant at the 1 percent level.

Table 2: Delaware and Non-Delaware Companies

| | Non-Delaware | Delaware | Total | Test |
|---|---|---|---|---|
| Observations | 844 (47.5%) | 933 (52.5%) | 1,777 (100.0%) | |
| Firm Size | 8.514 (1.669) | 8.810 (1.628) | 8.678 (1.652) | <0.001 |
| Log BM | -0.040 (1.069) | 0.606 (1.036) | 0.318 (1.098) | <0.001 |
| RoA | 0.028 (0.403) | 0.021 (0.144) | 0.024 (0.289) | 0.647 |
| Leverage Ratio | 0.319 (0.268) | 0.314 (0.264) | 0.316 (0.266) | 0.727 |
| Tangibility | 0.226 (0.264) | 0.209 (0.232) | 0.216 (0.246) | 0.193 |
| Tobin's Q | 4.315 (49.696) | 10.947 (190.530) | 7.997 (145.774) | 0.308 |

The Table reports descriptive statistics for the Delaware and non-Delaware companies included in our final sample. For each variable, we report the mean with the standard deviation in parentheses. The Observations row reports the percentage of total observations in parentheses. The "Test" column reports the p-value of a Welch two-sample t-test on the difference in means between Delaware and non-Delaware companies. "Firm Size" reports the logarithm of the firm's total assets. "Log BM" reports the logarithm of the book-to-market ratio of the firm. "RoA" reports the firm's return on assets, measured by the ratio of the company's net income to its total assets. "Leverage Ratio" reports the firm's total debt to total assets. "Tangibility" reports the firm's property, plant, and equipment to total assets. Tobin's $Q$ reports the firm's market capitalization of equity plus total debt divided by total assets; the variable is highly right-skewed because a small number of asset-light firms (those with large market capitalization relative to small book assets) generate very large ratios. In the Delaware sample, the ten firms with the largest $Q$ values together account for roughly three-quarters of the total mass of Tobin's $Q$; in the regressions reported in Section 5, the $Q$ control, like the other firm controls, is winsorized at the 1st and 99th percentiles. All data are collected from the CRSP-Compustat database, using 2024 annual values.

For the Delaware-only cross-sectional analyses, we hand-collect control-structure variables that capture the channels described in Section 3: the size of the largest voting block and the presence of a dual-class share structure. We manually inspect the ownership data in the most recent proxy statements filed by the Delaware companies in our sample and compute the percentage of votes that may be exercised by the shareholder with the greatest voting power, aggregating across parties to a voting agreement and across family members where the relevant proxy disclosures so indicate. Where the proxy statement reports dual-class voting power directly, we collect it from the statement; otherwise we compute it from the voting-rights information disclosed in the same statement. Table 3 and Table 4 present summary statistics.

Table 3: Voting Power

| | < 15 % control | 15–33 % control | ≥ 33% control | Total | Test |
|---|---|---|---|---|---|
| Observations | 579 (62.1%) | 190 (20.4%) | 164 (17.6%) | 933 (100.0%) | |
| Firm Size | 9.085 (1.672) | 8.231 (1.449) | 8.507 (1.434) | 8.810 (1.628) | <0.001 |
| Log BM | 0.575 (1.065) | 0.626 (1.052) | 0.688 (0.902) | 0.606 (1.036) | 0.449 |
| RoA | 0.030 (0.139) | 0.009 (0.140) | 0.004 (0.163) | 0.021 (0.144) | 0.054 |
| Leverage Ratio | 0.313 (0.254) | 0.306 (0.279) | 0.328 (0.284) | 0.314 (0.264) | 0.726 |
| Tangibility | 0.209 (0.235) | 0.210 (0.239) | 0.209 (0.219) | 0.209 (0.232) | 0.998 |
| Tobin's Q | 5.815 (37.923) | 33.148 (416.884) | 3.315 (3.450) | 10.947 (190.530) | 0.196 |

The Table reports descriptive statistics for three subsamples of Delaware companies based on the percentage of votes that may be exercised by the shareholder(s) with the largest voting power. For each variable, we report the mean with the standard deviation in parentheses. The Observations row reports the percentage of total observations in parentheses. The "Test" column reports the p-value of a one-way ANOVA F-test for equality of means across the three subsamples. We report the variables of interest indicated in Table 2.

Table 4: Dual-Class Companies

| | Single-Class Companies | Dual-Class Companies | Total | Test |
|---|---|---|---|---|
| Observations | 793 (85.1%) | 138 (14.8%) | 932 (100.0%) | |
| Firm Size | 8.846 (1.631) | 8.597 (1.564) | 8.806 (1.625) | 0.087 |
| Log BM | 0.578 (1.057) | 0.775 (0.867) | 0.608 (1.033) | 0.018 |
| RoA | 0.023 (0.144) | 0.005 (0.144) | 0.021 (0.144) | 0.175 |
| Leverage Ratio | 0.316 (0.269) | 0.306 (0.237) | 0.315 (0.264) | 0.633 |
| Tangibility | 0.213 (0.238) | 0.191 (0.200) | 0.210 (0.233) | 0.251 |
| Tobin's Q | 12.257 (206.671) | 3.533 (3.613) | 10.958 (190.632) | 0.236 |

The Table reports descriptive statistics for Delaware companies with and without a dual-class voting structure. For each variable, we report the mean with the standard deviation in parentheses. The Observations row reports the percentage of total observations in parentheses. The "Test" column reports the p-value of a Welch two-sample t-test on the difference in means between single-class and dual-class companies. We report the variables of interest indicated in Table 2.

To examine a possible portfolio-rebalancing channel, we retrieve fund–stock holdings from the CRSP Mutual Fund Database for September 2024 through May 2025, the latest available window at the time of writing.[17] We merge the holdings panel (i.e., the fund–firm–month-level record of which funds hold which stocks) to fund-level characteristics from CRSP. We classify a fund as passive if its index-style code indicates an index fund (B, D, or E) or if CRSP labels the vehicle as an ETF, and treat funds not so labeled as active.[18] We then merge these fund–month observations

[17] We drop observations from June 2025 because a large share of the merged observations (about 70%) was incomplete or missing.

[18] Our index-fund classification is conservative relative to prior approaches (e.g., Brav et al. (2024)), so any estimated effects are likely to be conservative.

with firm-level indicators from CRSP/Compustat and our hand-collected dataset: the Delaware-incorporation flag for all holdings, and the voting block measure for the Delaware-incorporated subset.

## 4.2 Event Study Methodology

### 4.2.1 Event Dates

Our main "event" of interest is the corporate law reform enacted through SB 21. To study the market reaction to a legal reform, however, the reform must arrive as a surprise, or a "shock," to the market, and new bills do not suddenly become law. In our case, SB 21 was publicly announced on February 17, 2025; a slightly revised version was introduced to the Senate Judiciary Committee on March 12, and the reform was formally approved only on March 25 (Delaware News (2025)). As is typical for legislation, the market therefore observed a sequence of developments over several weeks, which raises the question of which date should be treated as the relevant information shock.

However, it was clear from the very beginning that the bill enjoyed strong bipartisan support and that its enactment was considered very likely (Neely and IV Sherman (2025); Owens and Baker (2024)), as routinely happens for bills reforming the Delaware General Corporation Law (Hamdani and Kastiel (2025)). Furthermore, as discussed in Section 3.3, the substantive differences between the initial and final versions of SB 21 are quite limited. In line with the substantial literature conducting event studies on regulatory shocks, we therefore assume that most of the new information for the market was already contained in the initial announcement (Frankenreiter and Talley (2024)). We accordingly treat the February 17 announcement as the "event" date for our analysis. In Section A.2, we document that alternative dates after February 17, such as the Senate introduction of the amended bill and the bill's final approval, elicit relatively muted market reactions, consistent with most price-relevant information having been incorporated into prices on the initial announcement date. As a secondary test, we apply the same design to the Delaware Supreme Court's April 4, 2024 *Match* decision, which reaffirmed the double-cleansing rule and therefore furnishes a useful non-event benchmark for our identification.

### 4.2.2 Definition of Analysis Windows

Our estimation window, which we use to model the stock's normal co-movement with systematic risk factors, spans trading days −250 to −20 relative to the event. Our baseline event window—over which we measure any abnormal price response—covers trading days −1 to +5. Following Matsusaka et al. (2021), we also report shorter and longer event windows that begin one day before the event and extend to +1, +3, +7, and +10 trading days after the event, respectively.[19] We begin the analysis one day before the announcement to capture possible information leakage, and we extend it several trading days afterward because the effect of SB 21 was unlikely to be fully incorporated into prices on the announcement day alone. It is worth noting that the bill was a broad reform, amending Sections 144 and 220 of the DGCL and rewriting several distinct doctrines at once, ranging from the cleansing of conflicted controller transactions to the statutory definition

[19] For recent event studies using a five-day window, see Krüger (2015); Berkowitz et al. (2015); Borisov et al. (2016).

of a controlling shareholder and the scope of books-and-records inspection. Investors would likely have needed time to work through these changes and assess their net effect on shareholder value. For complex, attention-demanding news of this kind, a substantial body of research finds that prices adjust gradually rather than instantaneously (Bernard and Thomas (1989); Hong and Stein (1999); Hong et al. (2000)), especially when investor attention is limited (DellaVigna and Pollet (2009); L. Cohen and Frazzini (2008)). Accordingly, we cap the baseline window at five trading days, since the next discrete legislative event, the circulation of a revised draft to industry stakeholders on March 3, 2025, falls near the end of our longest $[-1, +10]$ window. Such a window captures the market's reaction to the announcement while excluding the price impact of that later, separable event.

To ensure that our results are not contaminated by pre-trends, we implement a placebo exercise that re-estimates the cross-sectional association on pseudo event dates drawn from the pre-event window; we describe the setup in Section A.1. In the following table, we index observations in the estimation window by $s \in \mathcal{S}$ and those in the event window by $t \in \mathcal{T}$.

| **Window** | **Index Symbol** | **Trading-Day Range** | **Number of Obs.** |
|---|---|---|---|
| Estimation window | $s \in \mathcal{S}$ | $\mathcal{S} = \{-250, \dots, -20\}$ | $T = 231$ |
| Event window | $t \in \mathcal{T}$ | $\mathcal{T} = \{-1, \dots, 10\}$ | $L = 12$ |

Trading day 0 marks the disclosure date: specifically, the public announcement of Senate Bill 21. To keep model calibration and impact assessment strictly separate, we index observations in the estimation window by $s \in \mathcal{S}$ and observations in the event window by $t \in \mathcal{T}$, using the former solely to estimate expected (normal) returns and the latter solely to measure any abnormal price response. In Section A.2, we also examine several potentially correlated follow-on events and assess their impact on the abnormal returns of the firms under study. The first trading day after the announcement was February 18, 2025, which we accordingly take as our main event date.[20] As a secondary test, we also examine the effects of the *Match* decision—which reaffirmed a rule that SB 21 explicitly overturned—using the decision date (April 4, 2024) as the event date.

#### 4.2.3 Model for Event Study

##### 4.2.3.1 Estimation Window Specification

Following Brown and Warner (1985) and MacKinlay (1997), we define $R_{is}$ as the raw daily return on security $i$ on day $s \in \mathcal{S}$, $R_{it}$ as the raw daily return on security $i$ on day $t \in \mathcal{T}$, $R_{ms}$ as the raw daily return on the value-weighted market index on day $s \in \mathcal{S}$, and $R_{mt}$ as the raw daily return on the value-weighted market index on day $t \in \mathcal{T}$. For $s \in \mathcal{S}$, we estimate

$$R_{is} = \alpha_i + \beta_i R_{ms} + \varepsilon_{is}, \tag{1}$$

where $\alpha_i$ is firm $i$'s average excess return when the market return is zero (i.e., the intercept), $\beta_i$ measures the sensitivity of firm $i$'s return to market returns (i.e., the market beta), $\beta_i R_{ms}$ is

[20]The bill was announced on February 17, 2025, which was a U.S. federal holiday (Presidents' Day). The first trading day after the announcement was February 18, 2025, which is our main event date.

the portion of $R_{is}$ explained by market-wide movements on day $s$, and $\varepsilon_{is}$ is a mean-zero idiosyncratic shock for firm $i$ on day $s$, respectively. Ordinary least squares (OLS) applied to all estimation-window observations yields $\hat{\alpha}_i$ and $\hat{\beta}_i$. As a robustness check, in the Online Appendix (Section OA-1) we re-estimate abnormal returns using the Fama–French five-factor benchmark (Fama and French (2015)).

#### 4.2.3.2 Event Window Specification

For $t \in \mathcal{T}$, we project expected returns as

$$E[R_{it}] \;=\; \hat{\alpha}_i \;+\; \hat{\beta}_i\, R_{mt}. \tag{2}$$

That is, on each event-window day $t$, we multiply the realized market return $R_{mt}$ by the fitted sensitivity $\hat{\beta}_i$ and add the fitted intercept $\hat{\alpha}_i$ (both estimated in Specification (1)) to obtain the stock's normal-period expected return absent any event influence.

#### 4.2.3.3 Abnormal and Cumulative Abnormal Returns

To compute cumulative abnormal returns (CARs), we first define the daily abnormal return (AR) for each firm $i$ on each trading day $t$ in the event window:

$$AR_{it} \;=\; R_{it} \;-\; E[R_{it}], \qquad t \in \mathcal{T}. \tag{3}$$

where $E[R_{it}]$ is derived from Specification (2). Let $t_0, t_1 \in \mathcal{T}$ with $t_0 \le t_1$ denote the start and end of a chosen subwindow within the event window (for instance, $t_0 = -1$ and $t_1 = 5$). The firm-level cumulative abnormal return for firm $i$ is:

$$CAR_i(t_0, t_1) \;=\; \sum_{t=t_0}^{t_1} AR_{it}.$$

For a portfolio comprising $n$ firms (e.g., $n = 1000$ Delaware-incorporated firms), the portfolio CAR is the simple cross-sectional average of firm-level CARs:

$$CAR^{\text{Portfolio}}(t_0, t_1) \;=\; \frac{1}{n} \sum_{i=1}^{n} CAR_i(t_0, t_1). \tag{4}$$

### 4.2.4 CAR Regressions on Independent Variables of Interest

To relate cumulative abnormal returns to firm characteristics and treatment status (where certain pre-specified independent variables define the set of "treated" firms), we estimate cross-sectional regressions of firm-level CARs on explanatory variables. For a given event window $[t_0, t_1]$, let $CAR_{ij}(t_0, t_1)$ denote firm $i$'s cumulative abnormal return as defined in Specification 4.

In every cross-sectional specification, the null we test is that the reform had no differential price effect on the relevant sub-group of firms, and we report two-tailed tests throughout.

Our baseline specification for the Delaware/non-Delaware comparison, which we estimate on the combined sample of Delaware and non-Delaware firms (the "All" sample), is:

$$CAR_{ij}^{\mathrm{All}}(t_0, t_1) = \alpha + \beta\,\mathrm{Delaware}_i + \boldsymbol{X}_{ij}\gamma + \eta_j + \varepsilon_{ij}, \tag{5}$$

where $\mathrm{Delaware}_i$ equals one for Delaware firms (and zero otherwise), $\boldsymbol{X}_{ij}$ is a matrix of firm-level controls (constructed from the firm-level variables: log assets, log book-to-market, return on assets, leverage, tangibility, Tobin's $Q$) defined in Table 2, and $\eta_j$ are industry fixed effects (SIC3) that absorb broad sectoral differences, respectively. The coefficient of interest, $\beta$, captures the average differential CARs for Delaware firms relative to otherwise similar non-Delaware firms over the chosen event window.[21]

In our secondary specifications, which we estimate across all Delaware firms (the "Delaware" sample), we re-estimate Specification (5) using the corporate-control variables specified in Section 4.1:

$$CAR_{ij}^{\mathrm{Delaware}}(t_0, t_1) = \alpha + \boldsymbol{K}_{ij}\beta + \mathrm{LOO\_IndCAR}_j^{(-i)}\delta + \boldsymbol{X}_{ij}\gamma + \varepsilon_{ij}, \tag{6}$$

where $\boldsymbol{K}_{ij}$ denotes a matrix of firm-level independent variables of interest. In various sub-specifications, we set $\boldsymbol{K}_{ij}$ to $\mathrm{VotingBlock}_{ij}$ (i.e., the 0–1 fraction of votes owned by the largest blockholder(s)); $\mathrm{Ctrlmore}_{ij}^{\geq 15}$ (i.e., an indicator for firms whose largest blockholder owns more than 15% of outstanding shares)[22]; and $\mathrm{DualClass}_{ij}$ (i.e., an indicator for multiple-vote share structures). Because prior work suggests that concentrated governance structures are highly correlated within industries (e.g., D. Aggarwal et al. (2022); Gompers et al. (2010)), we follow Kline et al. (2020) and Angrist (2014) in including a leave-one-out industry adjustment that preserves essential between-industry variation while controlling for unobserved, within-industry factors: the term $\mathrm{LOO\_IndCAR}_j^{(-i)}$ denotes the leave-one-out industry mean cumulative abnormal return for firm $i$'s SIC3 industry $j$.

#### 4.2.5 Mechanism Specifications

Active, alpha-seeking funds tend to be more responsive than passive funds to governance shocks that lower long-run firm value (Dimson et al. (2015)), whereas index funds face stewardship incentives that may dampen firm-specific monitoring and engagement (Bebchuk and Hirst (2019); Kahan and Rock (2020); Robertson and Molk (2024)). We hypothesize that, if the market read SB 21 as lowering long-run shareholder value for Delaware firms, particularly those with concentrated control, then active funds should reduce their Delaware exposure, and reduce their controller-firm exposure within their Delaware holdings, more sharply than passive funds in the months following February 2025.

To evaluate the impact of SB 21 on fund-level exposure to both Delaware and control-oriented firms, we estimate two specifications with fund and month fixed effects. First, for all portfolio

[21] Throughout, CARs are expressed in decimal returns (e.g., 0.014 corresponds to 1.4%).

[22] Analogously, $\mathrm{Ctrlmore}_{ij}^{15-33}$ and $\mathrm{Ctrlmore}_{ij}^{\geq 50}$ indicate, respectively, that the largest blockholder owns between 15% and 33% of outstanding shares, and at least 50%.

holdings, we estimate:

$$\text{DelExposure}_{kt}^{\text{All}} = \alpha + (\text{Active}_k \times \text{Post}_t)\,\beta + \theta_k + \nu_t + \varepsilon_{kt} \tag{7}$$

where $\text{DelExposure}_{kt}^{\text{All}}$ is the fraction of fund $k$'s net asset value invested in Delaware-incorporated firms in month $t$, $\text{Active}_k$ is an indicator for funds classified as active per Section 4.1, and $\text{Post}_t$ indicates months after the SB 21 announcement month (i.e., February 2025). The fixed effects $\theta_k$ and $\nu_t$ absorb time-invariant fund heterogeneity and common month shocks, respectively, while the coefficient $\beta$ captures the differential change in Delaware exposure for active funds in the post period relative to passive funds.

Second, restricting the portfolios to Delaware holdings only, we estimate an analogous regression for exposure to control-oriented firms:

$$\text{ControllerExposure}_{kt}^{\text{Delaware}} = \alpha + (\text{Active}_k \times \text{Post}_t)\,\beta + \theta_k + \nu_t + \varepsilon_{kt} \tag{8}$$

where $\text{ControllerExposure}_{kt}^{\text{Delaware}}$ is the log of the value-weighted percent held by the largest blockholder, which we compute by first taking the portfolio-weighted average of this percent across fund $k$'s Delaware holdings in month $t$ and then taking the log of that average.[23] Because we weight each holding by its share in the fund's Delaware-associated net assets, the resulting measure reflects the fund's effective exposure to control-oriented firms within its Delaware holdings.

The Results section that follows applies this framework, with each subsection developing the empirical implication entailed by the institutional setting in Section 3, reporting the corresponding portfolio CAR and regression estimate, and interpreting the estimate by reference to the underlying control-structure mechanism.

# 5 Results

## 5.1 Effect of SB 21 on Delaware Companies

The first empirical implication of the reform is that the SB 21 announcement should produce a differential price reaction for Delaware-incorporated firms relative to firms incorporated in other states. The Delaware indicator captures the combined effect of all SB 21 provisions (the single-cleansing safe harbor, the statutory definition of controlling shareholder, the enhanced presumption of director independence, and the Section 220 restrictions) on the average Delaware firm, while the within-Delaware cross-sectional tests that follow isolate the incremental association of control-related characteristics with the announcement return. As we discuss in Section 3, the new rules apply only to Delaware corporations and alter the expected legal environment for controller transactions, director-independence challenges, and books-and-records litigation. We hypothesize that, if investors expected those changes to reduce shareholder value, the effect

[23] Consistent with the existing literature, we log-transform this strictly positive, highly right-skewed variable to mitigate skewness and facilitate linear modeling Dang et al. (2018).

should appear in short-window cumulative abnormal returns for Delaware firms relative to the non-Delaware comparison group.

To test this implication, we report the portfolio CARs in Table 5.[24] Over the main $[-1, +5]$ window, Delaware firms have an average CAR of $-0.66$ percent and non-Delaware firms have an average CAR of 0.62 percent, a difference of approximately 1.3 percentage points. Figure 1 plots the Delaware and non-Delaware portfolio CARs from twenty trading days before to twenty trading days after the announcement. After adjusting for size, industry, book-to-market, return on assets, leverage, tangibility, and Tobin's $Q$, the cross-sectional regression in Table 6 produces the same pattern: in the $[-1, +5]$ window, the Delaware indicator is associated with a CAR about 1.2 percentage points lower than the non-Delaware benchmark, negative and statistically significant at the 1 percent level.[25] The coefficient is similarly negative and statistically significant at the $[-1, +3]$ window and remains negative across the $[-1, +7]$ and $[-1, +10]$ windows, with the late-window dynamics we discuss below. To probe whether this estimate could have arisen by chance, we re-estimate the headline cross-section on 230 pre-event pseudo-dates; the temporal placebo places the event-date estimate far in the left tail of the resulting distribution and rejects the null at conventional levels (small-sample-corrected $p \approx 0.004$; Figure 2).

The magnitude is economically substantial. Applied to the aggregate market value of the Delaware companies in our sample, the 1.2-percentage-point estimate corresponds to a one-time decline of roughly $350 billion in market value. This pattern is consistent with investors pricing SB 21 as reducing the expected cash flows accruing to public shareholders of Delaware-incorporated firms. A short-window valuation effect of this magnitude is comparable to the announcement reactions documented for other significant changes in corporate, securities, and financial regulation, which places the estimated Delaware effect within the range that event studies of regulatory change typically produce.[26]

[24] Given our large sample, we report conventional (asymptotic-normal) z-statistics using robust standard errors, alongside the standardized cross-sectional "BMP" statistic by Boehmer et al. (1991). Because inference based on normal critical values can be conservative in fat-tailed return data (leading to under-rejection and reduced power), our p-values should be interpreted in that light. For a distribution-robust alternative based on empirical quantiles, see the sample-quantile ("SQ") test of Gelbach et al. (2013).

[25] We cluster at the SIC3 industry level because industry membership is the principal source of residual cross-firm correlation in short-horizon returns, operating through shared factor exposures and common analyst and investor clienteles. Adding state-of-incorporation fixed effects would, mechanically, absorb the Delaware indicator because the treatment is itself a state-of-incorporation status. A state-of-incorporation–clustered version of the baseline regression is reported alongside the SIC3-clustered baseline in Appendix Table A1; the Delaware coefficient and inference are similar across the two clustering levels, although state-of-incorporation clustering is unreliable here because the treatment is concentrated in a single cluster (Cameron et al. (2008)). As a further check, Appendix Table A2 re-estimates the regression after excluding firms incorporated in Nevada and Texas, the two regimes most often cited as adopting defendant-friendly alternatives to Delaware (Bennett et al. (2025); Hurt (2025)); the Delaware coefficient is slightly more negative when those firms are excluded. The state composition of the non-Delaware control group is reported in Online Appendix Table OA-7. For the Delaware-only cross-sectional regressions (Tables 8–9), state-of-incorporation clustering is inapplicable, because every firm shares the same incorporation state and treatment varies at the firm level; those specifications retain SIC3 clustering.

[26] For corporate-governance and securities regulation, Larcker et al. (2011) find that the abnormal returns to a series of governance-regulation events are, in the cross-section, decreasing in the number of large blockholders, a pattern analogous to the voting-block gradient we document, and Zhang (2007) estimates cumulative abnormal returns of several percentage points around the legislative events that produced the Sarbanes–Oxley Act. Bennett et

The univariate evidence in Table 5 reports the cumulative abnormal returns at the $[-1, +1]$, $[-1, +3]$, $[-1, +5]$, $[-1, +7]$, and $[-1, +10]$ windows. The Delaware effect is statistically significant from $[-1, +3]$ onward and is largest in absolute magnitude at $[-1, +10]$. Note that the path is non-monotonic, in that the difference widens through day 3, partially attenuates by day 5–7, and then deepens at day 10. The day-10 deepening coincides with the March 3, 2025 circulation of a revised draft of SB 21 to industry stakeholders, an event that may have refocused market attention on the reform after a brief recovery. Because the late-window dynamics could reflect either incremental pricing of SB 21 information or unrelated news, our preferred specification reports the $[-1, +5]$ window as the headline estimate; the \$350 billion aggregate figure derives from the $[-1, +5]$ coefficient and is invariant to the late-window movement.

The headline estimate is identified from the top-1,000 Delaware and top-1,000 non-Delaware frame. Within that frame, the effect is not driven by observable differences between Delaware and non-Delaware firms: matching each Delaware firm to its nearest non-Delaware neighbour on a propensity score estimated from the firm controls yields a $[-1, +5]$ Delaware coefficient of $-0.0133$, significant at the 1 percent level and close to the baseline estimate (Appendix Table A3). It is also informative to ask how the estimate behaves as the frame is widened to the full CRSP/Compustat universe. Extending the sample to every U.S. firm changes the population under study, adding many small firms with weak exposure to the reformed rules, so the full universe is best read as a diagnostic rather than as a competing estimate of the same quantity. The full-universe estimate is sensitive to how firms are weighted. Equal-weighting places economically trivial firms on the same footing as the largest corporations and dilutes the short-window effect toward zero, an attenuation concentrated among the smallest firms that disappears once a modest market-capitalization floor is imposed (Figure A2). Weighting firms by market capitalization, which is the natural weighting when the object of interest is aggregate value, restores a Delaware coefficient that is negative and significant at the 1 percent level at the $[-1, +5]$ window under both the market model and the Fama–French five-factor model, and larger in magnitude than the headline estimate (Appendix Table A4).

al. (2025), discussed in Section 2, document valuation declines of similar size for Nevada-incorporated firms around Senate Bill 203. For financial regulation, Markoulis et al. (2022) find significant announcement abnormal returns for systemically important banks around the Basel III capital reforms. Our $[-1, +5]$ estimate of about 1.2 percentage points for the average Delaware firm, together with the roughly 2.3-percentage-point dual-class differential, falls within the range these event studies report.

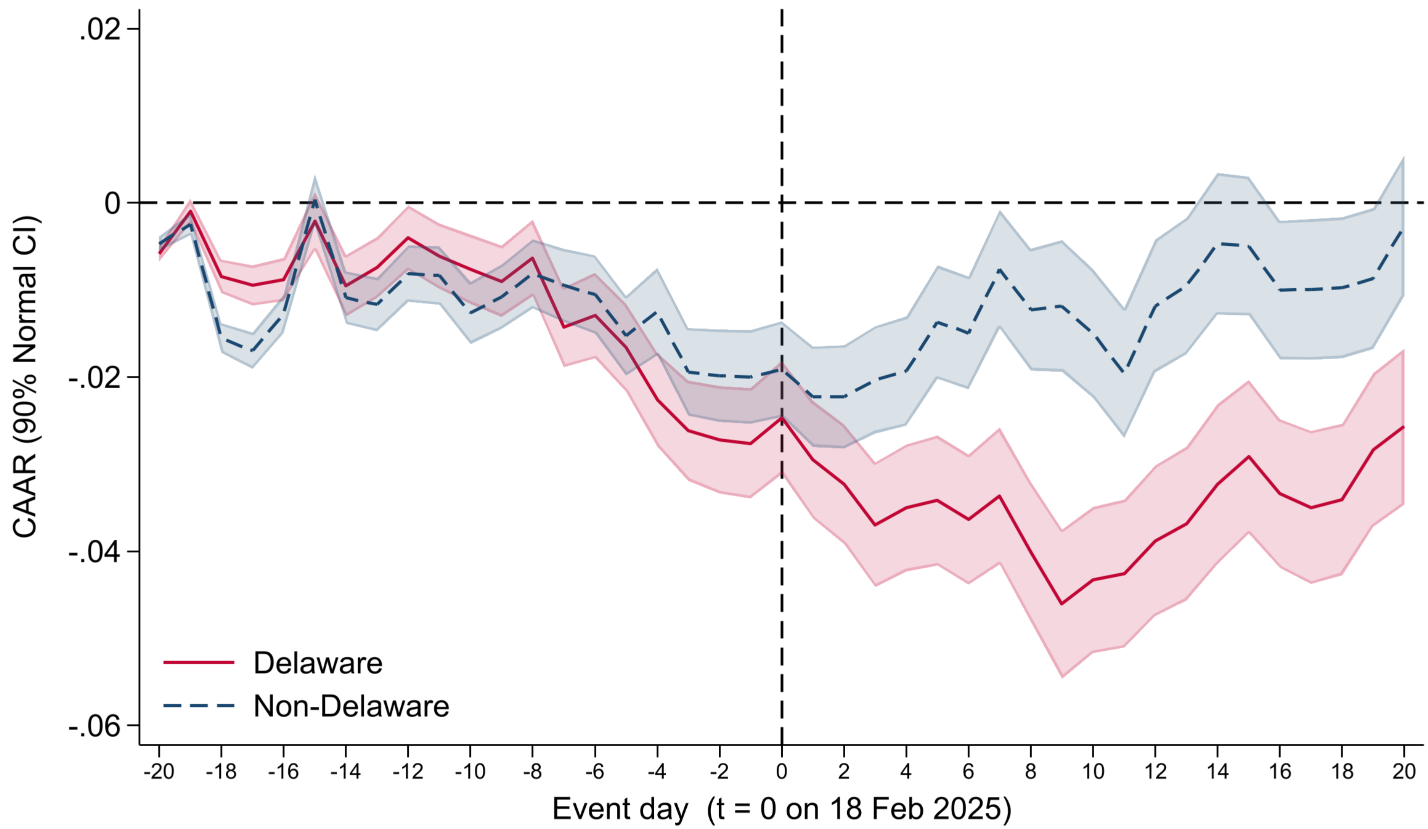
Table 5: Cumulative Abnormal Returns Associated with SB 21 (Delaware Variable) (Combined Sample)

| | **Delaware** | | **Non-Delaware** | |
|---|---|---|---|---|
| | CAR | N | CAR | N |
| [-1;1] | -0.0015 | 934 | -0.0021* | 924 |
| | () | | () | |
| [-1;3] | -0.0089*** | 934 | -0.0008 | 924 |
| | (***) | | (***) | |
| [-1;5] | -0.0066*** | 934 | 0.0062*** | 924 |
| | () | | (***) | |
| [-1;7] | -0.0061** | 934 | 0.0120*** | 924 |
| | () | | (***) | |
| [-1;10] | -0.0159*** | 934 | 0.0051* | 924 |
| | (***) | | (***) | |

The Table reports the cumulative abnormal returns (CARs) of Delaware and non-Delaware companies within five different event windows. The reported cumulative abnormal returns are winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample; the test statistics are computed from the underlying standardized abnormal returns. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z-statistics shown in parentheses.[27]

[27] See Boehmer et al. (1991).

Figure 1: Cumulative Abnormal Returns Associated with SB 21 (Delaware Variable) (Combined Sample)



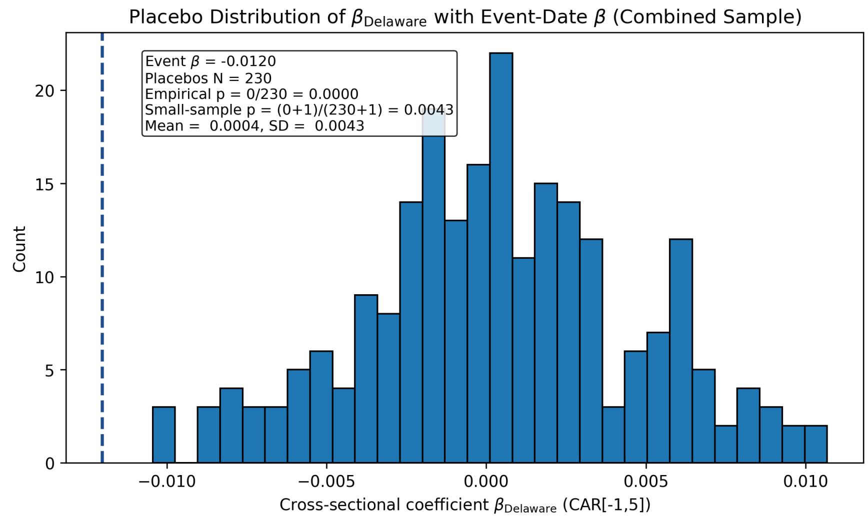

The Figure represents the cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample, before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window.

Table 6: Cumulative Abnormal Return Regressions on Delaware Variable (SB21) (Combined Sample)

| | (1) CAR[-1,1] | (2) CAR[-1,3] | (3) CAR[-1,5] | (4) CAR[-1,7] | (5) CAR[-1,10] |
|---|---|---|---|---|---|
| Delaware | 0.000 | -0.007** | -0.012*** | -0.015*** | -0.021*** |
| | (0.850) | (0.040) | (0.001) | (0.001) | (0.000) |
| Constant | -0.018** | -0.039*** | -0.029* | -0.039** | -0.058*** |
| | (0.031) | (0.000) | (0.068) | (0.014) | (0.002) |
| Observations | 1522 | 1522 | 1522 | 1522 | 1522 |
| Industry FE | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.227 | 0.270 | 0.293 | 0.257 | 0.271 |
| F Statistic | 0.900 | 4.103 | 10.914 | 12.294 | 11.085 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company is incorporated in Delaware. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles, with the cumulative abnormal returns winsorized over the pooled Delaware and non-Delaware sample. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Figure 2: Distribution of Placebo Estimates of the Delaware Coefficient (SB21) (Combined Sample)




The Figure plots the distribution of estimated coefficients on the Delaware dummy variable obtained from placebo event–study regressions using pre-event dates between 250 and 20 trading days before the SB 21 event. As in the baseline, the cumulative abnormal returns and firm controls entering each placebo regression are winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample. Each regression estimates the association between being incorporated in Delaware and firms' cumulative abnormal returns. Firm controls include the financial variables reported in Table 2. The dashed blue line indicates the actual event-date coefficient estimated at the true event date. The empirical p-value corresponds to the fraction of placebo coefficients with absolute values greater than or equal to the actual event-date coefficient.

## 5.2 Effect of SB 21 on Companies with Influential Shareholders

The Delaware-versus-non-Delaware results in Section 5.1 document a market-wide reaction to SB 21 at the level of Delaware-incorporated firms. To examine whether the reaction reflects the relaxation of controller-transaction safeguards, we use voting-block size and dual-class status as ex ante exposure proxies, since firms with larger blocks or supervoting structures sit closer to the operative scope of the new controller-transaction provisions, even though the proxies do not identify whether any specific firm in fact engages in a conflicted controller transaction during the post-reform period. Requiring a firm to be engaged in a conflicted transaction at the time of the reform would understate exposure, because equity prices capitalize the forward-looking option value of future controller transactions, so a change in the governing legal standard can affect value even for firms with no transaction then pending. The relevant test is whether the announcement return is more negative for firms with higher proxy exposure, holding firm characteristics constant. As we explain in Section 3.3.2, the empirical design distinguishes firms with voting blocks below 15 percent, between 15 percent and 33.3 percent, and above 33.3 percent, with the below-15 percent group treated as minimally exposed to the pre-reform rules. The same agency-cost-of-control mechanism also predicts a continuous relation between voting power and the announcement return, because larger voting blocks increase the controller's practical ability to influence conflicted transactions.

To examine these subsamples, we report the portfolio CARs from Specification (4) for three subsamples of Delaware companies in Table 7. The first subsample includes companies with voting blocks smaller than 15 percent, which we treat as minimally exposed to the new rules on controller transactions. The second includes companies with voting blocks between 15 percent and 33.3 percent, an intermediate group whose exposure to SB 21 is theoretically uncertain (see Section 3.3.2). The third includes companies with voting blocks above 33.3 percent, which became subject to the more permissive new rules on controller transactions. Over the main $[-1, +5]$ window, the below-15 percent group has an average CAR of 0.06 percent, statistically indistinguishable from zero at the 10 percent level. The 15–33.3 percent group has an average CAR of $-1.27$ percent and the above-33.3 percent group has an average CAR of $-2.38$ percent, statistically significant at the 5 and 1 percent levels, respectively. This pattern is consistent across the other reported event windows.

Table 7: Cumulative Abnormal Returns Associated with SB 21 (Voting Blocks) (Delaware Only)

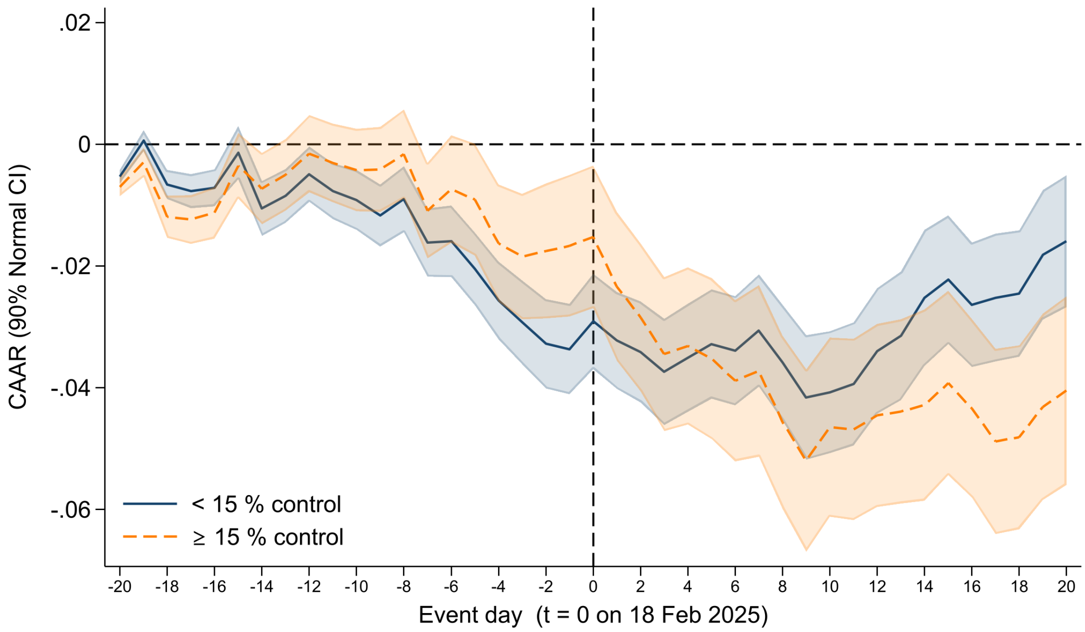
| | < 15% **Voting Block** | | **15%–33% Voting Block** | | > 33% **Voting Block** | |
|---|---|---|---|---|---|---|
| | CAR | N | CAR | N | CAR | N |
| [-1;1] | 0.0002 | 574 | -0.0050 | 198 | -0.0049 | 162 |
| | () | | () | | () | |
| [-1;3] | -0.0043* | 574 | -0.0146*** | 198 | -0.0194*** | 162 |
| | () | | (***) | | (***) | |
| [-1;5] | 0.0006 | 574 | -0.0127** | 198 | -0.0238*** | 162 |
| | (***) | | () | | (**) | |
| [-1;7] | 0.0026 | 574 | -0.0146** | 198 | -0.0277*** | 162 |
| | (***) | | () | | (**) | |
| [-1;10] | -0.0074** | 574 | -0.0290*** | 198 | -0.0307*** | 162 |
| | () | | (***) | | (***) | |

The Table reports the cumulative abnormal returns of different subsets of Delaware companies, depending on whether the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") is less than 15%, between 15% and 33.3%, or greater than 33.3%. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is February 18, 2025. The reported cumulative abnormal returns are winsorized at the 1st and 99th percentiles within the Delaware sample; the test statistics are computed from the underlying standardized abnormal returns. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z statistics shown in parentheses. See Appendix.

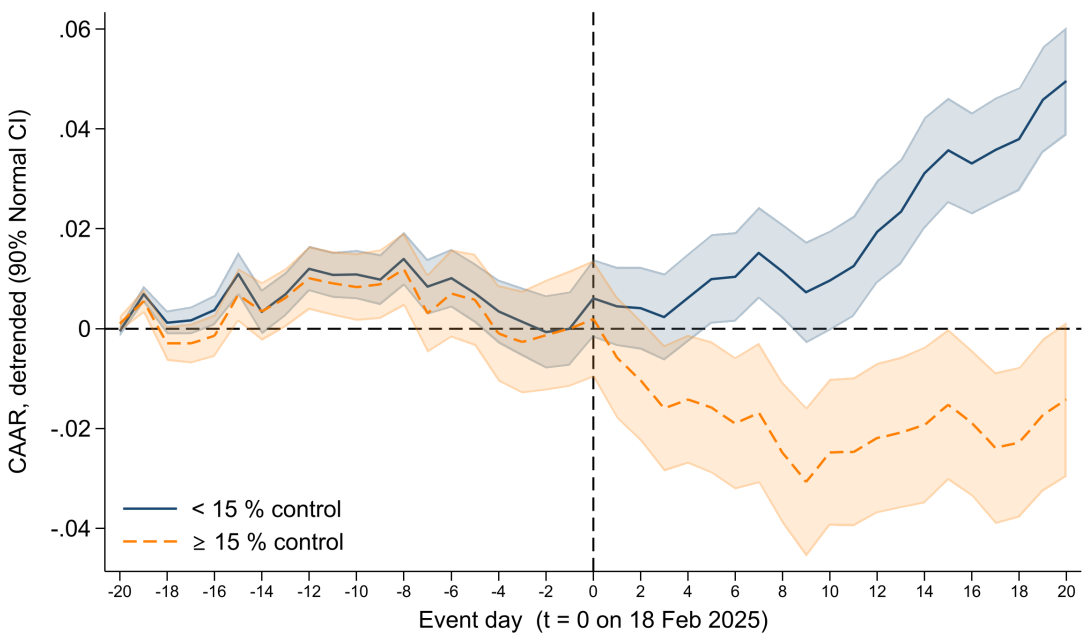
Figure 3 graphically represents the cumulative abnormal returns from twenty days before to twenty days after the announcement of SB 21 for the companies unaffected by the new rules (< 15 percent) and all the other Delaware companies. Although the divergence between the two groups is visible in Panel A, Panel B sharpens the post-announcement separation by stripping out pre-event trends.

Figure 3: Cumulative Abnormal Returns Associated with SB 21 (Ctrlmore$_{ij}^{\geq 15}$) (Delaware Only)

(a) Panel A




(b) Panel B




Panels A and B of this Figure represent the cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles within the Delaware sample before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window. Panel A represents the baseline cumulative abnormal returns without adjustment. Panel B CARs are linearly de-trended by estimating $\hat{\alpha} + \hat{\beta}t$ on the pre-event window (t=-20) to (t=-1) for each subset of firms and subtracting the fitted values from the entire series. The resulting residuals are then re-anchored so that day −1 equals zero, making all reported CARs deviations from that last pre-event day.

To examine these effects under firm-level controls and industry fixed effects, we estimate Specification (6) on the Delaware-only subsample and report the results in Table 8. Our variables of interest, repeated across the same set of event windows, are the continuous voting block, included in Column (1); the indicator for the subset of companies more likely affected by the new rules ($>$ 15 percent voting block), included in Column (2); and the two indicators for the bins formally distinguished by SB 21 (15–33.3 percent and $>$ 33.3 percent voting block), included in Column (3). The $>$ 15 percent and $>$ 33.3 percent indicators are associated with lower abnormal returns relative to the $<$ 15 percent baseline across the reported windows. In the $[-1, +5]$ window, the $>$ 15 percent indicator carries a coefficient of about $-1.4$ percentage points, negative and statistically significant at the 1 percent level. Splitting the exposed firms into the statutory bins, the coefficient is approximately $-1.2$ percentage points for the 15–33.3 percent group and $-1.7$ percentage points for the above-33.3 percent group, both statistically significant at the 5 percent level. This pattern is consistent with the ex-ante uncertainty about how SB 21 would affect companies with voting blocks below 33.3 percent (see Section 3.3.2). The continuous specification in Column (1) yields a consistent message: in the $[-1, +5]$ window, a 10-percentage-point increase in voting power is associated with a CAR about 0.27 percentage points lower.[28] Companies with more powerful major shareholders therefore performed worse than other Delaware companies on the announcement date.

The bin estimates align the return reaction with the statutory exposure created by SB 21, while the continuous estimate indicates that the market response scales with the controller's voting power. Taken together, these findings support an agency-cost-of-control interpretation of the announcement return, since the cross-sectional price effect is most pronounced where the reform most plausibly changes the expected private benefits of control. This pattern is more difficult to reconcile with an alternative in which the negative reaction reflects pure doctrinal uncertainty unrelated to the size of the controller's stake.

## 5.3 Effect of SB 21 on Dual-Class Companies

Having shown in Section 5.2 that the Delaware return effect was more negative for firms with larger voting blocks, we now turn to dual-class status, which provides a separate test of the same control-channel interpretation. As we discuss in Section 3.3, dual-class structures allow high-vote shareholders to exercise voting power that exceeds their economic ownership, which can increase the incentive to pursue private benefits when legal constraints on controller transactions are relaxed. The relevant empirical question is whether dual-class firms experienced lower announcement returns than single-class Delaware firms, and whether a continuous measure of the same voting-economic wedge tells the same story.

To test this prediction, we estimate Specification (6) on the Delaware-only subsample with an indicator for dual-class status (Column 1 in each window block of Table 9). As a refinement, we construct a continuous voting-economic wedge measure (i.e., the percentage of votes held by the largest controlling blockholder minus that blockholder's percentage of cash-flow rights),

[28] Equivalently, a 100-percentage-point rise in voting power (from 0 percent to 100 percent) maps to a 2.7 percentage-point decline in abnormal returns.

Table 8: Cumulative Abnormal Return Regressions on Voting Blocks (SB21) (Delaware Only)

| | CAR[-1,1] | | | CAR[-1,3] | | | CAR[-1,5] | | | CAR[-1,7] | | | CAR[-1,10] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) | (10) | (11) | (12) | (13) | (14) | (15) |
| Voting Block | -0.007 | | | -0.015** | | | -0.027*** | | | -0.035*** | | | -0.027** | | |
| | (0.419) | | | (0.045) | | | (0.003) | | | (0.004) | | | (0.035) | | |
| >15% | | -0.003 | | | -0.011*** | | | -0.014*** | | | -0.019*** | | | -0.017** | |
| | | (0.321) | | | (0.010) | | | (0.003) | | | (0.002) | | | (0.024) | |
| 15–33% | | | -0.004 | | | -0.011*** | | | -0.012** | | | -0.015** | | | -0.017** |
| | | | (0.216) | | | (0.005) | | | (0.011) | | | (0.011) | | | (0.027) |
| >33.3% | | | -0.002 | | | -0.011* | | | -0.017** | | | -0.023*** | | | -0.017* |
| | | | (0.685) | | | (0.094) | | | (0.016) | | | (0.008) | | | (0.079) |
| Constant | -0.017* | -0.016* | -0.016* | -0.032** | -0.026* | -0.026* | -0.021 | -0.016 | -0.017 | -0.039** | -0.031 | -0.033* | -0.066*** | -0.056*** | -0.056*** |
| | (0.073) | (0.069) | (0.078) | (0.012) | (0.051) | (0.057) | (0.184) | (0.355) | (0.330) | (0.034) | (0.113) | (0.092) | (0.002) | (0.008) | (0.009) |
| Observations | 859 | 860 | 860 | 859 | 860 | 860 | 859 | 860 | 860 | 859 | 860 | 860 | 859 | 860 | 860 |
| Industry Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.096 | 0.096 | 0.096 | 0.113 | 0.117 | 0.117 | 0.126 | 0.128 | 0.128 | 0.108 | 0.110 | 0.111 | 0.096 | 0.100 | 0.100 |
| F Statistic | 16.699 | 18.196 | 15.812 | 15.502 | 20.287 | 18.106 | 14.406 | 15.842 | 14.995 | 8.595 | 9.778 | 9.874 | 10.865 | 11.413 | 10.256 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

expressed as a 0–1 fraction and read from each firm's most recent pre-event proxy statement (DEF 14A) filed on SEC EDGAR. The wedge captures the same channel as the dual-class indicator in non-binary form, although its application requires restricting the sample to firms with a non-institutional largest blockholder, because the largest reported holder at most single-class firms is a passive asset manager (e.g., Vanguard, BlackRock, or State Street) for whom the wedge concept does not apply in the same way as for founder, family, or strategic controllers. We report the wedge-alone specification in Column 2 of each window block and, in Column 3, a specification that additionally controls for the controller's cash-flow rights, which isolates the wedge from the level of the controller's economic stake.

The dual-class coefficient (Column 1) is negative in every event window and statistically significant in four of the five: at the 5 percent level in the $[-1, +3]$, $[-1, +7]$, and $[-1, +10]$ windows ($-0.017$, $-0.023$, and $-0.024$, respectively) and at the 1 percent level in the headline $[-1, +5]$ window ($-0.023$), while the $[-1, +1]$ estimate is negative but statistically indistinguishable from zero. The implied magnitudes are economically meaningful: after controlling for firm size, book-to-market, return on assets, leverage, tangibility, Tobin's $Q$, and the leave-one-out industry CAR, dual-class Delaware firms experienced CARs about 2.3 percentage points more negative than single-class Delaware firms at the headline $[-1, +5]$ window.[29]

The continuous wedge specifications (Columns 2 and 3) restrict the sample to 323 Delaware firms with a non-institutional largest blockholder. In this sample the wedge is approximately zero for the majority of firms (whose largest blockholder votes roughly in proportion to its economic stake) and rises to nearly 80 percentage points for the most concentrated supervoting structures, with about 28 percent of the sampled controllers exhibiting a positive wedge. The wedge coefficient is negative in every event window; across the $[-1, +3]$ through $[-1, +10]$ windows it ranges from $-0.047$ to $-0.084$, and it is statistically significant at the 5 percent level in the $[-1, +5]$ and $[-1, +7]$ windows ($-0.064$ and $-0.084$) and at the 10 percent level in the $[-1, +3]$ and $[-1, +10]$ windows. At the headline $[-1, +5]$ window the estimate implies that a controller whose voting power exceeds its economic ownership by a full 100 percentage points is associated with a CAR about 6.4 percentage points lower, so that a more typical 10-percentage-point wedge maps to roughly 0.6 percentage points. Adding the controller's cash-flow rights in Column 3 leaves the wedge coefficient essentially unchanged ($-0.064$ at $[-1, +5]$), while the cash-flow-rights coefficient is itself small and statistically insignificant in every window, which indicates that the pricing reflects the separation between voting and economic rights rather than the level of the controller's economic ownership.

Taken together, the dual-class indicator delivers the more precisely estimated cross-sectional channel, and the continuous wedge corroborates it: announcement returns were more negative where the controller's voting power most exceeded its economic ownership, and that relation

[29] Voting-block size (Table 8) and the dual-class and wedge measures (this Table) proxy conceptually distinct mechanisms: the former captures the controller's practical ability to influence a conflicted transaction, while the latter captures the wedge between voting power and economic ownership that lowers the controller's share of the cost of a value-reducing decision (Section 3.3). The dual-class indicator and the continuous wedge are two readings of this second mechanism—the indicator records whether a multi-class structure exists, the wedge measures its magnitude—and we report both because the indicator is available for the full Delaware sample whereas the wedge requires identifying the controlling blockholder and is estimated on the smaller non-institutional subsample.

survives controlling for the controller's cash-flow rights.

## 5.4 Channel: Agency Costs vs. Doctrinal Uncertainty

The cross-sectional return evidence in Sections 5.2–5.3 admits two readings. The first is the agency-cost-of-control reading we have developed, under which the market priced SB 21 as lowering the expected cost to controllers of extracting private benefits at firms whose ownership structures place them within the operative scope of the new controller-transaction provisions. The second, raised in the contemporary commentary on the reform (Kahan and Rock (2025); Lund and Talley (2025)), interprets the same negative reaction as a market response to doctrinal uncertainty about how the courts will implement the new statute and to reputational damage to Delaware as a corporate-law franchise. Both readings predict a negative Delaware effect and cross-sectional heterogeneity across firms with concentrated control. They differ in the predicted functional form of that heterogeneity and in the dynamics through which it is incorporated into prices.

The functional form of the voting-block gradient is informative. In Specification (6), the continuous voting-block coefficient is negative in every event window and is statistically significant at conventional levels in the longer windows (Table 8, Column 1; at $[-1,+5]$, $\hat{\beta} = -0.027$, $p = 0.003$). Under the pure uncertainty reading, the announcement effect should peak near the 33.3 percent statutory threshold, where the new rules introduce the most novelty and where the eventual judicial treatment is least settled (Kahan and Rock (2025)); the estimated tier effects do not exhibit such a kink, and instead trace a monotone relation across the reported bins.[30] Firms with voting blocks above 33.3 percent, whose controller transactions now fall squarely within the new statutory single-cleansing safe harbor and whose legal treatment is therefore relatively settled, experience CARs that are at least as negative as the 15–33.3 percent group (Table 7: $-0.0238$ versus $-0.0127$ at $[-1,+5]$; Table 8, Column 3: $-0.017$ versus $-0.012$). The monotone shape of the cross-sectional gradient is more readily reconciled with the agency-cost reading, under which the announcement return should scale with the controller's practical ability to influence conflicted transactions.

To formalize the comparison between the two tier coefficients, we test the joint restriction $H_0 : \beta_{15\text{-}33\%} = \beta_{>33.3\%}$ from the tier specification of Equation (6) at each event window, computing the Wald statistic under SIC3-clustered standard errors. The test fails to reject equality in every reported window: the $F$-statistics ($p$-values) are 0.535 (0.466), 0.100 (0.752), 0.027 (0.871), 0.644 (0.424), and 0.007 (0.935) for windows $[-1,+1]$, $[-1,+3]$, $[-1,+5]$, $[-1,+7]$, and $[-1,+10]$ respectively.[31] The statistical indistinguishability reflects the moderate subsample sizes (Table 7:

[30]A direct test of nonlinearity supports the monotone reading. Adding a quadratic term in the voting block to the continuous specification (Column 1 of Table 8) yields a squared coefficient that is statistically insignificant in every event window (for instance, $p = 0.91$ at $[-1,+5]$), with an implied turning point that never falls near the 33.3 percent threshold. A continuous piecewise-linear specification with a knot at 33.3 percent points the same way: the slope above the threshold is never significantly positive ($-0.014$, $p = 0.44$ at $[-1,+5]$), so the gradient does not reverse at the bright line as the pure uncertainty account would predict, while the estimated marginal effect of voting power on the CAR stays negative across the observed support. These patterns hold both in the reported sample and when the two firms with implausibly high recorded voting shares are excluded.

[31]The Wald statistic is computed as $W = (R\hat{\theta})^{\top}[R\,\widehat{V}_{\mathrm{CR}}\,R^{\top}]^{-1}(R\hat{\theta})$ with $R = (0,\ldots,1,-1,\ldots,0)$ selecting the contrast

Table 9: Cumulative Abnormal Return Regressions on Dual-Class Status and the Voting-Economic Wedge (SB21) (Delaware Only)

| | [−1, +1] | | | [−1, +3] | | | [−1, +5] | | | [−1, +7] | | | [−1, +10] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) |
| Dual-class indicator | -0.002 | | | -0.017** | | | -0.023*** | | | -0.023** | | | -0.024** | | |
| | (0.590) | | | (0.022) | | | (0.006) | | | (0.047) | | | (0.047) | | |
| Voting-economic wedge | | -0.002 | -0.002 | | -0.047* | -0.047** | | -0.064** | -0.064** | | -0.084** | -0.085** | | -0.064* | -0.064* |
| | | (0.907) | (0.906) | | (0.054) | (0.049) | | (0.029) | (0.028) | | (0.047) | (0.044) | | (0.080) | (0.076) |
| Cash-flow rights | | | 0.000 | | | 0.002 | | | 0.005 | | | -0.009 | | | -0.003 |
| | | | (0.991) | | | (0.915) | | | (0.806) | | | (0.662) | | | (0.911) |
| Observations | 859 | 323 | 323 | 859 | 323 | 323 | 859 | 323 | 323 | 859 | 323 | 323 | 859 | 323 | 323 |
| $R^2$ | 0.095 | 0.080 | 0.080 | 0.119 | 0.127 | 0.127 | 0.132 | 0.164 | 0.164 | 0.109 | 0.141 | 0.141 | 0.100 | 0.119 | 0.119 |
| Firm controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Industry LOO CAR | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |

The Table reports three specifications per event window. Column (1) is the dual-class indicator (equal to one for Delaware firms with a multi-class share structure, zero otherwise), estimated on the full Delaware sample. Columns (2) and (3) replace it with a continuous voting-economic wedge, constructed from each firm's most recent pre-event DEF 14A proxy statement (SEC EDGAR) as the largest controlling blockholder's share of total voting power minus its share of cash-flow (economic) rights, expressed as a 0–1 fraction. Column (2) reports the wedge alone; Column (3) additionally controls for that blockholder's cash-flow (economic ownership) rights, confirming that the wedge effect is not an artifact of the controller's economic stake. The wedge sample is restricted to firms whose largest blockholder is a non-institutional controller (a founder, family, or strategic holder) and excludes firms whose largest reported holder is a passive institutional aggregator (e.g., Vanguard, BlackRock, State Street, or FMR), for whom the wedge concept does not apply in the same way. All cumulative abnormal returns, firm-level controls, and the wedge and cash-flow-rights regressors are winsorized at the 1st and 99th percentiles. Firm controls include the firm-level financial variables reported in Table 2, and each specification includes the leave-one-out industry CAR as the industry control with no fixed effects. The dual-class indicator (Column 1) is estimated on the full Delaware sample; the wedge specifications (Columns 2–3) use the restricted non-institutional subsample. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

$N = 198$ for the 15–33.3 percent tier and $N = 162$ for the $> 33.3$ percent tier) and the standard errors that follow. The point estimates for the $> 33.3$ percent group are nevertheless directionally more negative in the $[-1, +5]$ and $[-1, +7]$ windows, consistent with the agency-cost prediction that firms more deeply within the reform's operative scope experience larger announcement losses.

The dynamics of pricing provide further evidence on the channel. The Seemingly Unrelated Regressions (SUR) system in Appendix Table A6 decomposes the announcement effect across four legislative dates (18 February, 11 March, 19 March, and 25 March 2025). In the all-firms specification with the Delaware indicator as the regressor of interest, the 18 February coefficient is significantly more negative than the average of the three subsequent coefficients (initial vs. average follow-ups contrast significant at the 1 percent level). Within Delaware, the dual-class coefficient shows a further decline between 11 and 19 March followed by a partial reversal by 25 March, although the bulk of the cross-sectional gradient is incorporated on the initial announcement date. A controversy-driven mechanism, under which doctrinal uncertainty accumulates as stakeholders raise concerns during legislative debate, would predict the opposite dynamics.

A comparison across the two events points the same way. The agency-cost reading makes a directional prediction that the doctrinal-uncertainty reading does not: if the negative SB 21 reaction reflected a reduction in the protection minority shareholders enjoy against controller extraction, then an event moving that protection in the opposite direction should reverse the sign of the cross-sectional gradient. The *Match* decision (Section 5.6) supplies that counter-directional event, having reaffirmed and, on the prevailing reading, broadened the double-cleansing requirement for controller transactions that SB 21 later displaced. Consistent with the agency-cost prediction, the dual-class, voting-block, and wedge coefficients estimated around *Match* are positive—the mirror image of their uniformly negative SB 21 counterparts—even though the aggregate *Match* effect on Delaware firms is itself indistinguishable from zero. A doctrinal-uncertainty account does not naturally generate this pattern: because *Match* reaffirmed rather than unsettled existing law, it introduced little new interpretive uncertainty and would on that reading predict no pronounced cross-sectional gradient, rather than one that inverts the SB 21 ordering. We place only limited weight on the comparison, because the *Match* cross-sectional coefficients are mostly individually insignificant and the dual-class estimate does not survive the five-factor adjustment; in its direction, however, the evidence corroborates rather than undercuts the agency-cost reading.

A distinct version of the uncertainty account treats the announcement losses as a risk premium: facing newly ambiguous judicial treatment of controller transactions, investors require higher expected returns to hold the affected firms, and prices fall on announcement. Two features of the setting make this channel quantitatively unpromising. First, the uncertainty SB 21 created is specific to Delaware-incorporated firms with concentrated control, a small share of the aggregate market portfolio, and is largely idiosyncratic across those firms; standard asset pricing therefore assigns it little priced risk for a diversified marginal investor, whatever that investor's risk aversion. The logic is the one that animates the equity premium puzzle: as aggregate consumption is too smooth for equities to earn a large premium under plausible preferences, a single state's

between the 15–33.3% and $> 33.3\%$ coefficients in Equation (6) and $\widehat{V}_{\text{CR}}$ the SIC3-clustered covariance matrix. The reference distribution is $F(1, G-1)$ with $G$ the number of SIC3 clusters.

statutory ambiguity is too diversifiable for the affected firms to bear a large uncertainty premium.

Second, the risk-premium reading makes a falsifiable prediction. If SB 21 had made the affected firms genuinely more uncertain, the most direct signature would be a rise in their idiosyncratic return volatility, as the market grew less sure about firm-specific judicial outcomes. However, in the window that excludes the spring-2025 market turbulence, no such rise appears; idiosyncratic volatility does not increase and, on the five-factor benchmark, declines. The affected firms' own market beta is likewise stable across windows and shows no movement toward the increase a discount-rate account of their announcement loss would require. Estimates of the affected firms' beta relative to control groups are sensitive to the estimation window and do not persist across specifications, so we do not rest the argument on them; the full set is reported in Appendix A5. Read alongside the monotone voting-power gradient and the concentration of pricing on the announcement date, this absence of any measurable rise in uncertainty makes it unlikely that legal uncertainty accounts for the whole of the effect we document.

Collectively, these patterns align more closely with the agency-cost-of-control reading than with the pure doctrinal-uncertainty reading, in that the announcement return scales with the controller's voting power and the pricing is concentrated on the initial announcement date rather than building gradually as legislative debate raised doctrinal concerns, and, in direction, the cross-sectional gradient reverses at the oppositely directed *Match* event. The two channels are not mutually exclusive, however, and the present event-study design cannot separate the contribution of each. Realized post-reform outcomes, particularly the frequency of fiduciary-duty litigation and controller-CEO compensation, would speak more directly to the channel question, a set of tests we leave to subsequent work.

## 5.5 Mechanisms: Effect of SB 21 on Active Funds

Although the price reaction documented in Sections 5.2 and 5.3 was concentrated among firms with larger voting blocks and dual-class share structures, that evidence does not by itself identify the marginal sellers underlying the announcement return, because daily investor-level order-flow data are unavailable for the relevant period. As a partial channel test, we use monthly mutual-fund holdings to compare active and passive funds. If active funds are more responsive than passive funds to governance shocks that lower expected long-run value (Dimson et al. (2015)), they should have reduced their exposure to Delaware firms in the months following the SB 21 announcement and, within their Delaware holdings, reduced their exposure to firms with more concentrated control. To examine this channel, we estimate Specifications (7) and (8) and report the results in Table 10; the former uses all fund–stock holdings, while the latter is restricted to Delaware holdings only.

Table 10: Mechanisms (SB21)

| | All Holdings | | Delaware Holdings | |
|---|---|---|---|---|
| | (1) | (2) | (3) | (4) |
| Active × Post | -0.194** | -0.196** | -0.023** | -0.023** |
| | (0.031) | (0.017) | (0.015) | (0.011) |
| Constant | 46.092*** | 46.463*** | -2.365*** | -2.358*** |
| | (0.000) | (0.000) | (0.000) | (0.000) |
| Observations | 38,264 | 28,927 | 28,962 | 21,958 |
| Portfolio FE | Yes | Yes | Yes | Yes |
| Month FE | Yes | Yes | Yes | Yes |
| R-Sq | 0.991 | 0.993 | 0.936 | 0.948 |

This table reports OLS regressions of the outcomes described below on the interaction term $\text{Active}_k \times \text{Post}_t$, where $\text{Active}_k$ denotes an active fund as defined in Section 4.1. Columns (1)–(2) use the full holdings sample; the dependent variable is the portfolio share invested in Delaware-incorporated firms. Columns (3)–(4) restrict to Delaware-incorporated holdings; the dependent variable is the log of the portfolio's value-weighted percent held by the largest blockholder. Columns (1) and (3) cover Sep 2024–May 2025; Columns (2) and (4) cover Nov 2024–May 2025. All regressions include portfolio fixed effects and month fixed effects. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the portfolio level.

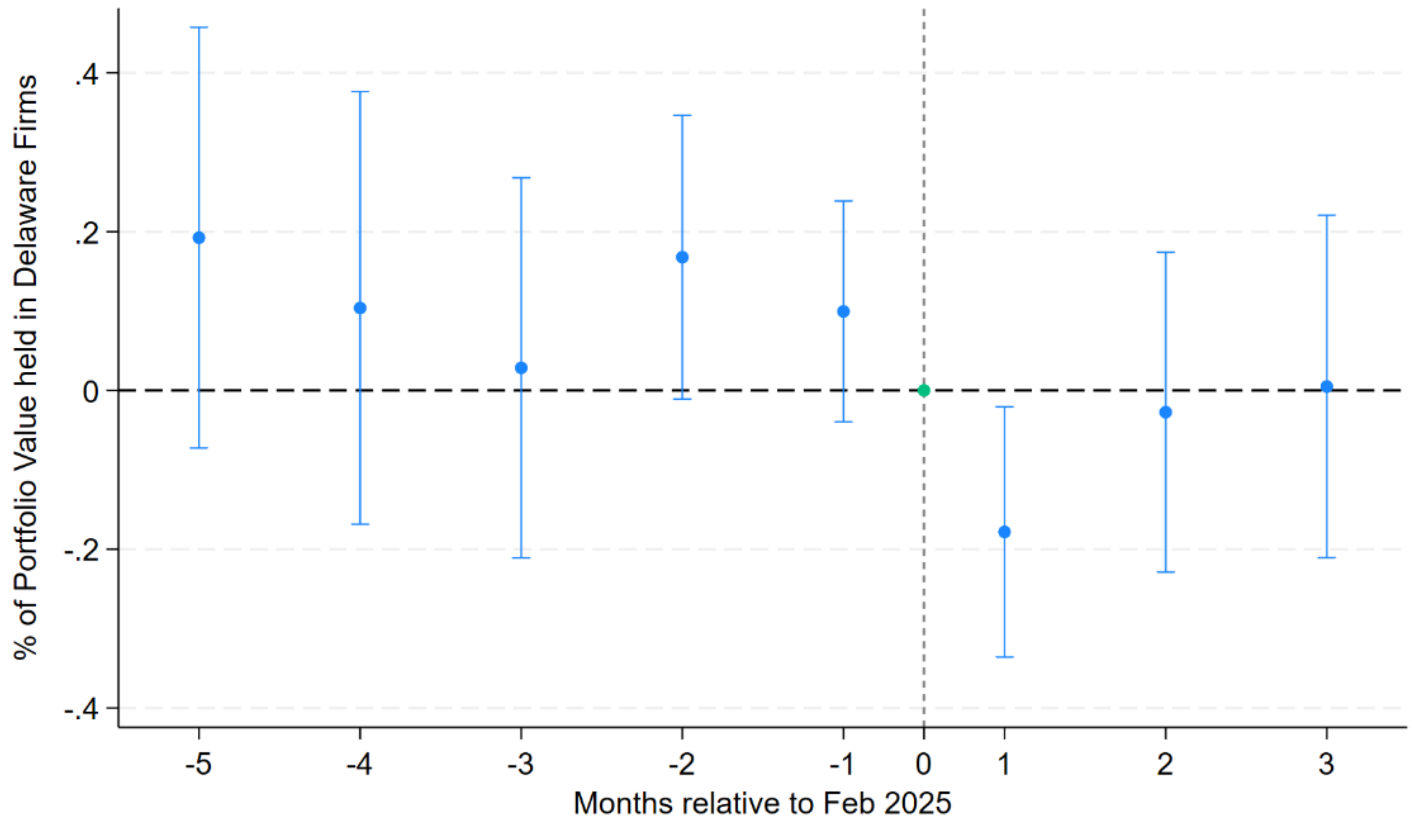
Column (1) reports the coefficient on Active × Post for the all-holdings specification estimated over September 2024 through May 2025. After controlling for fund and month fixed effects, the estimate is $-0.194$, which indicates that, relative to passive funds, active funds reduced their Delaware exposure by about 0.2 percentage points of portfolio share in the post-announcement period. Column (2) repeats the specification over a shorter sample period (beginning in November 2024) and yields a similar coefficient of $-0.196$. In Column (3), restricted to Delaware holdings, the coefficient on Active × Post is $-0.023$. Because the dependent variable is logged, this maps to an approximately 2.27 percent reduction in the value-weighted average largest-blockholder exposure within active funds' Delaware portfolios.[32] Column (4) repeats the Delaware-holdings specification over the same shorter sample period and shows a similar pattern.

To trace the dynamics, we present in Figures 4 and 5 coefficient plots from modified versions of Specifications (7) and (8) that replace the single post indicator with a full set of $\text{Active}_k \times \text{Month}_t$ interactions, taking February 2025 as the omitted (baseline) category. In Figure 4, the estimated coefficients show a sharp decline immediately after February, followed by a partial reversion toward the baseline in subsequent months. In Figure 5, the coefficients exhibit a pre-treatment pattern above zero and then a sharp drop immediately after February, with little evidence of a re-

[32]A coefficient of $-0.023$ on a log-transformed dependent variable corresponds to a proportional change of $100 \times \big(\exp(-0.023) - 1\big) \approx -2.27\%$.

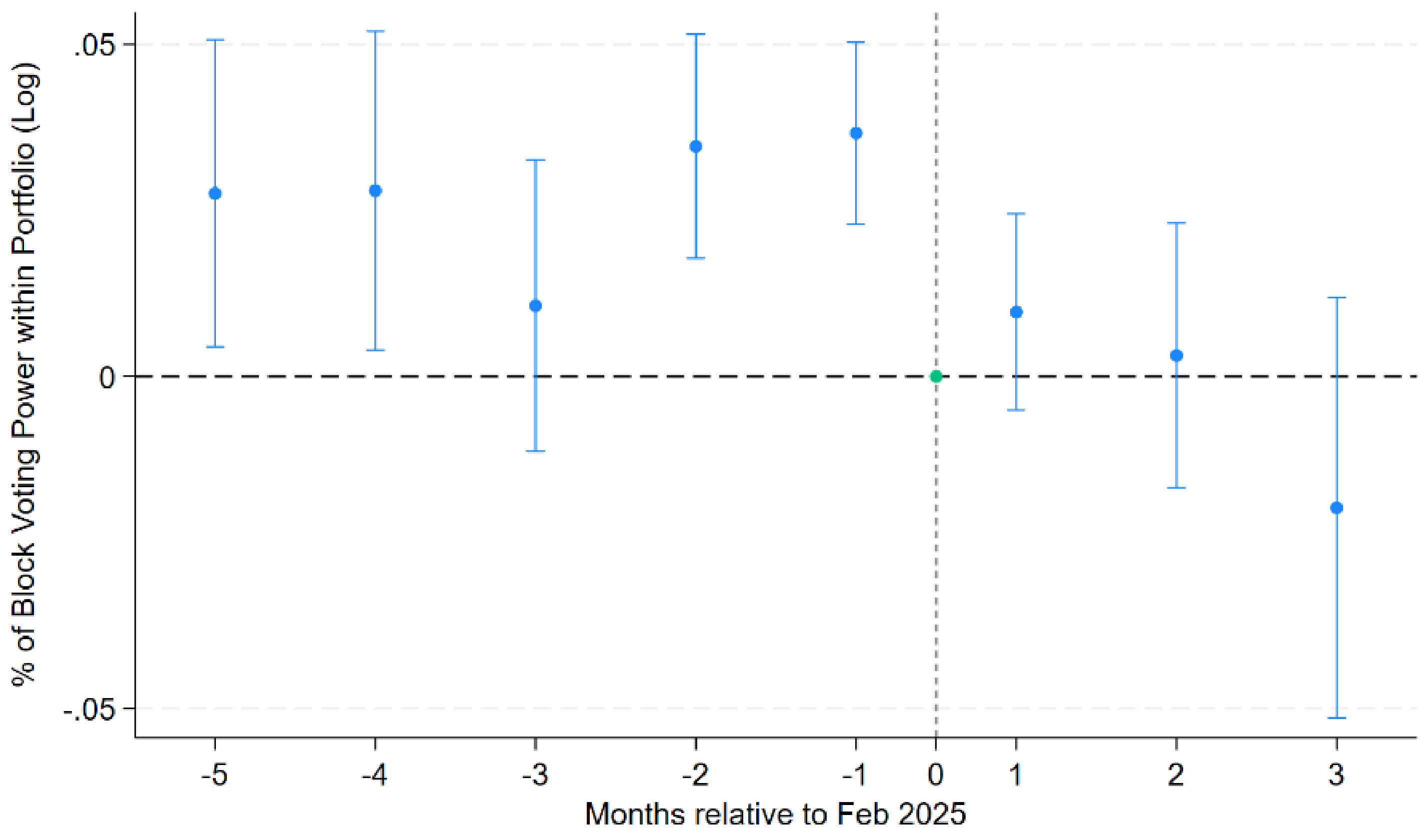
turn to baseline in the following months. This pattern is plausible given evidence that active funds typically hold fewer control-oriented firms (R. Aggarwal et al. (2011); Ferreira and Matos (2008)): because February is the event-time baseline and already reflects the initial post-announcement selling of control-intensive stocks by active funds, exposures in earlier months are higher relative to February, yielding positive pre-treatment coefficients.

Figure 4: Mechanisms (SB21) (Delaware Variable) (Combined Sample)




This figure plots coefficients from Specification (7) that replaces the single post indicator with a full set of $\text{Active}_k \times \text{Month}_t$ interactions, where months are measured relative to February 2025 (the vertical dashed line at $t = 0$). Dots show point estimates and bars show 95% confidence intervals. The dependent variable is the fund's portfolio share invested in Delaware-incorporated firms (in percentage points). Coefficients are reported relative to the treatment month, which serves as the omitted baseline.

Figure 5: Mechanisms (SB21) (Voting Power) (Delaware Only)




This figure plots coefficients from Specification (8) that replaces the single post indicator with a full set of $\text{Active}_k \times \text{Month}_t$ interactions, where months are measured relative to February 2025 (the vertical dashed line at $t = 0$). Dots denote point estimates and bars denote 95% confidence intervals. The dependent variable is the log of the value-weighted percent held by the largest blockholder within each fund's Delaware portfolio. Coefficients are reported relative to the treatment month, which serves as the omitted baseline.

The holdings evidence is suggestive rather than definitive, since the data are observed only monthly, the post-window is short, and the regressions cannot link individual trades to specific price changes. With those qualifications, the estimates are consistent with active funds reducing exposure to the firms most affected by the reform, which complements the cross-sectional price evidence above.

### 5.6 Effect of Match on Delaware Companies

The preceding subsections indicate that the market priced the SB 21 announcement as reducing expected shareholder value for Delaware firms most exposed to the reform's controller-transaction provisions. As a complementary identification check, we apply the same event-study design to the Delaware Supreme Court's *Match* decision on April 4, 2024.[33] *Match* provides a useful non-event comparison because it reaffirmed the double-cleansing rule rather than altering it. If short-window return reactions reflect new legal information, *Match* should produce at most a small market response. The exercise therefore tests directly whether the market in fact treated *Match* as informationally neutral, and provides a placebo-style cross-validation of the identification used for SB 21.

Re-estimating Specifications (4)–(6) around the *Match* event date, we find that stock returns were, on average, largely unaffected by the decision. Table 11 reports the cumulative abnormal returns of Delaware and non-Delaware companies, and Figure 6 plots the cumulative abnormal returns of the two portfolios from twenty days before to twenty days after the *Match* decision.

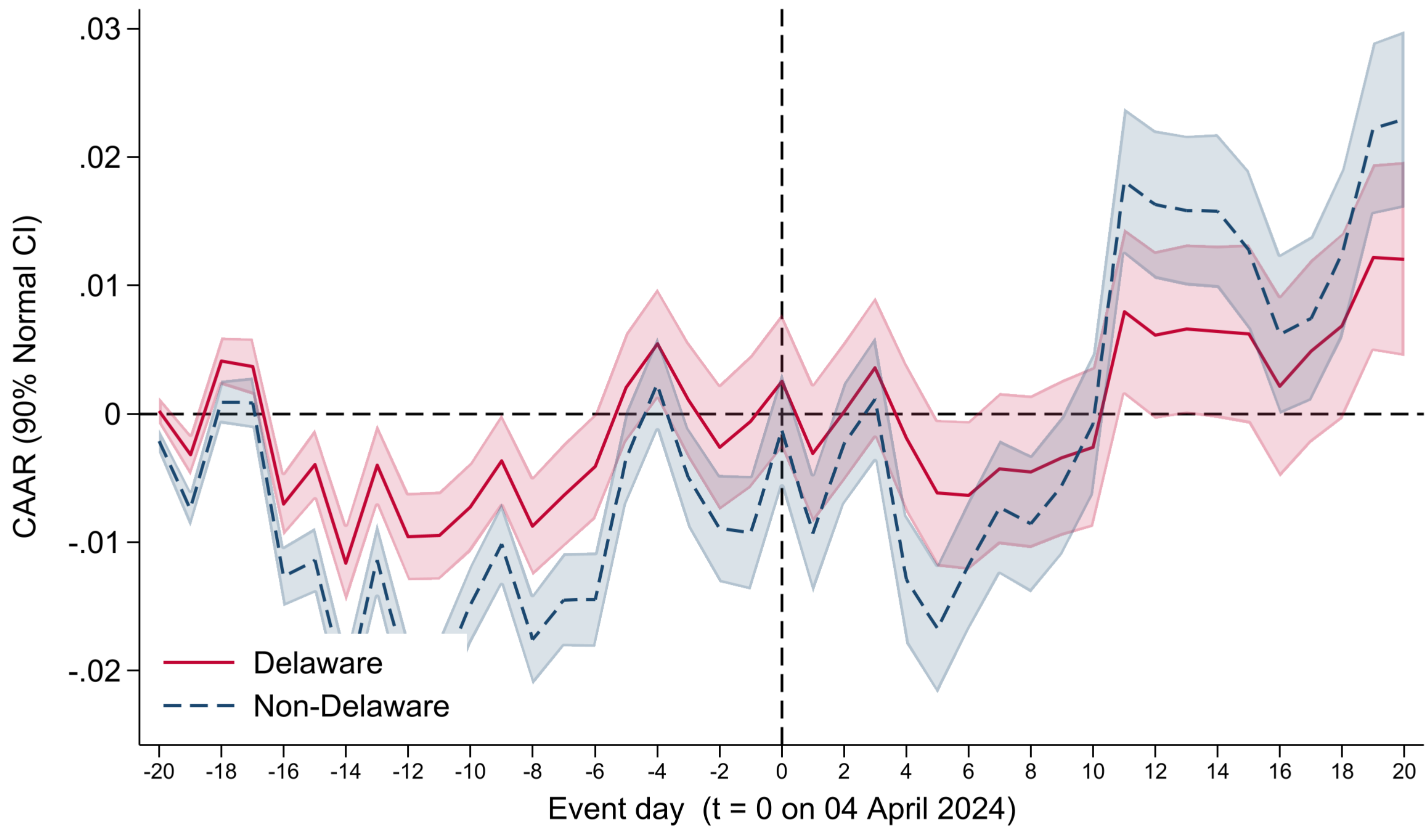
[33] *Match* is the focus because it established a rule of general application to all Delaware-controlled firms—the double-cleansing requirement that SB 21 later displaced—whereas *Tornetta* (*Tornetta v. Musk* 2024) and *TripAdvisor* (*Maffei v. Palkon* 2025) present event-study confounds tied to firm-specific compensation and transaction-specific reincorporation facts; cross-sectional regressions on those events would have very little power because the affected universe is essentially a single firm. To the extent that earlier Delaware-law events had already moved prices in the months before February 2025, our SB 21 estimate is a lower bound on the full Delaware-law repricing because part of the information would have been incorporated before our event window.

Table 11: Cumulative Abnormal Returns Associated with Match (Delaware Variable) (Combined Sample)

| | **Delaware** | | **Non-Delaware** | |
|---|---|---|---|---|
| | CAR | N | CAR | N |
| [-1;1] | 0.0000 | 922 | -0.0005 | 924 |
| | () | | (*) | |
| [-1;3] | 0.0067*** | 922 | 0.0097*** | 924 |
| | (***) | | (***) | |
| [-1;5] | -0.0033** | 922 | -0.0077*** | 924 |
| | (***) | | (***) | |
| [-1;7] | -0.0014 | 922 | 0.0011 | 924 |
| | (**) | | (**) | |
| [-1;10] | 0.0007 | 922 | 0.0074*** | 924 |
| | () | | (***) | |

The Table reports the cumulative abnormal returns of Delaware and non-Delaware companies within five different event windows, around the date of the Delaware Supreme Court's *Match* decision. The reported cumulative abnormal returns are winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample; the test statistics are computed from the underlying standardized abnormal returns. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z-statistics shown in parentheses. See Appendix.

Figure 6: Cumulative Abnormal Returns Associated with Match (Delaware Variable) (Combined Sample)




The Figure represents the cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample, before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window.

Table 12 reports the results of the multivariate cross-sectional regression for the full sample. Table 13 reports the cumulative abnormal returns for companies with different voting blocks, and Figure 7 plots the cumulative abnormal returns for companies with voting blocks below and above 15 percent from twenty days before to twenty days after the *Match* decision. Table 14 reports the multivariate regression results for the voting-block specifications, and Table 15 reports the multivariate regression results for the dual-class specification.

Table 12: Cumulative Abnormal Return Regressions on Delaware Variable (Match) (Combined Sample)

| | (1)<br>CAR[-1,1] | (2)<br>CAR[-1,3] | (3)<br>CAR[-1,5] | (4)<br>CAR[-1,7] | (5)<br>CAR[-1,10] |
|---|---|---|---|---|---|
| Delaware | 0.001 | 0.000 | 0.002 | -0.002 | 0.000 |
| | (0.678) | (0.881) | (0.406) | (0.616) | (0.934) |
| Constant | 0.005 | 0.023*** | 0.011 | 0.024** | 0.034*** |
| | (0.217) | (0.004) | (0.174) | (0.012) | (0.002) |
| Observations | 1513 | 1513 | 1513 | 1513 | 1513 |
| Industry FE | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.260 | 0.252 | 0.269 | 0.236 | 0.255 |
| F Statistic | 3.659 | 2.927 | 2.014 | 1.305 | 2.363 |

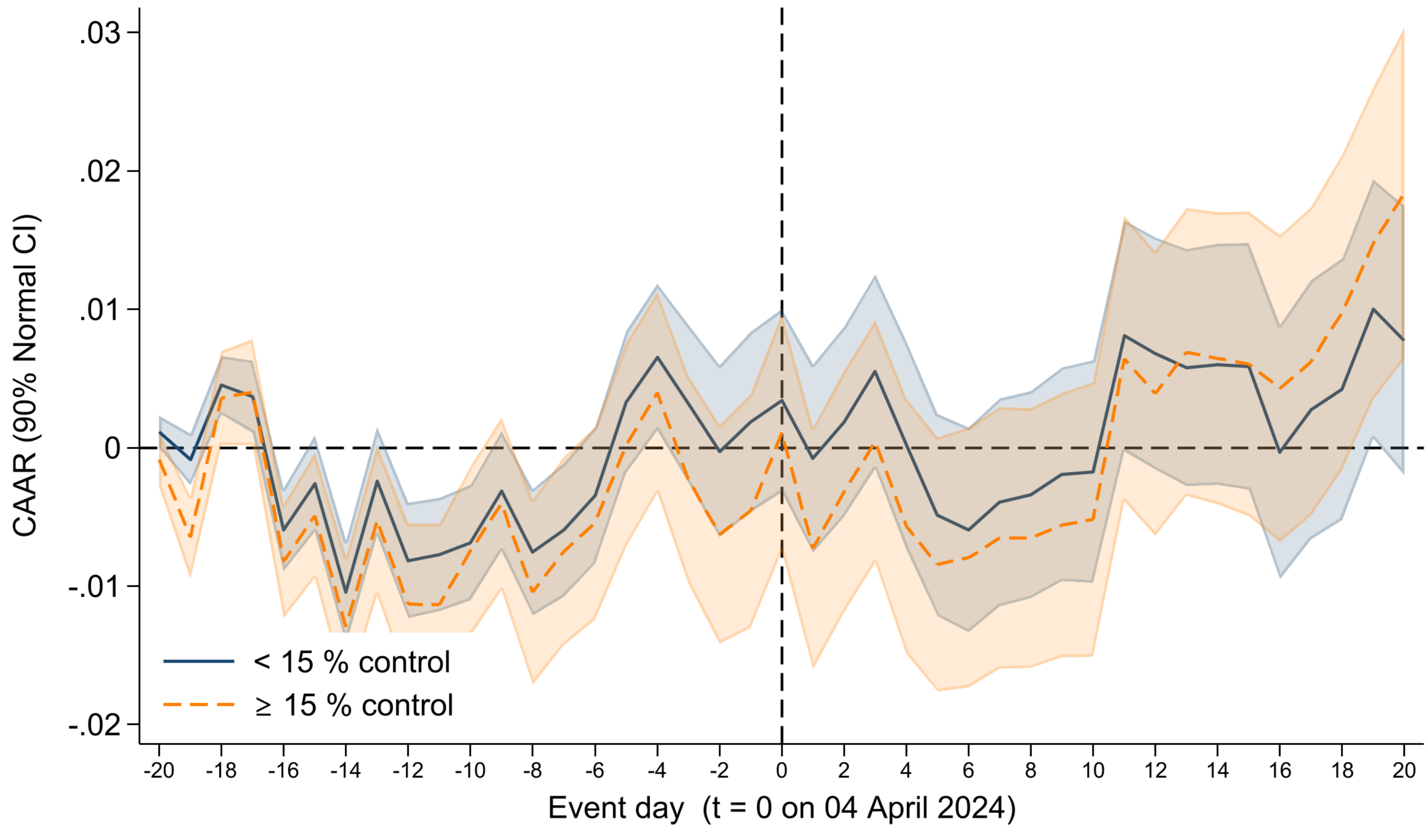
The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company is incorporated in Delaware, around the date of the Delaware Supreme Court's *Match* decision. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles, with the cumulative abnormal returns winsorized over the pooled Delaware and non-Delaware sample. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table 13: Cumulative Abnormal Returns Associated with Match (Voting Blocks) (Delaware Only)

| | < 15% **Voting Block** | | **15%–33% Voting Block** | | > 33% **Voting Block** | |
|---|---|---|---|---|---|---|
| | CAR | N | CAR | N | CAR | N |
| [-1;1] | -0.0003 | 569 | 0.0002 | 191 | 0.0005 | 162 |
| | () | | () | | () | |
| [-1;3] | 0.0056*** | 569 | 0.0074*** | 191 | 0.0084*** | 162 |
| | (**) | | (***) | | (***) | |
| [-1;5] | -0.0044*** | 569 | -0.0033 | 191 | 0.0008 | 162 |
| | (***) | | (*) | | () | |
| [-1;7] | -0.0028 | 569 | 0.0005 | 191 | 0.0013 | 162 |
| | (**) | | () | | () | |
| [-1;10] | -0.0005 | 569 | -0.0009 | 191 | 0.0061 | 162 |
| | (*) | | () | | () | |

The Table reports the cumulative abnormal returns of different subsets of Delaware companies, depending on whether the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") is less than 15%, between 15% and 33.3%, or greater than 33.3%, around the date of the Delaware Supreme Court's *Match* decision. The reported cumulative abnormal returns are winsorized at the 1st and 99th percentiles within the Delaware sample; the test statistics are computed from the underlying standardized abnormal returns. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. Statistical significance is assessed using two tests: (i) robust normal Z-statistics reported next to each coefficient, and (ii) Boehmer–Masumeci–Poulsen (1991) standardized cross-sectional Z statistics shown in parentheses. See Appendix.

Figure 7: Cumulative Abnormal Returns Associated with Match
$(\text{Ctrlmore}_{ij}^{\geq 15})$ (Delaware Only)




The Figure represents the cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event, around the date of the Delaware Supreme Court's *Match* decision. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles within the Delaware sample before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window.

At the aggregate level, the *Delaware* indicator is statistically insignificant in every window (Table 12), consistent with the court's own description of *Match* as a reaffirmation of existing law rather than a doctrinal departure. The cross-sectional estimates are nonetheless directionally informative. The dual-class indicator, the continuous voting-block coefficient, and the voting-economic wedge are positive across the event windows (Tables 14–15)—the mirror image of their uniformly negative SB 21 counterparts—and reach conventional significance for the dual-class indicator under the market model and for the wedge in the $[-1, +3]$ window. This sign reversal is the pattern the agency-cost-of-control channel predicts. *Match* reaffirmed, and on the prevailing reading broadened, the double-cleansing requirement for controller transactions that SB 21 subsequently displaced, so the firms whose exposure to controller conflicts led them to lose value when SB 21 relaxed those protections are the same firms that gained value when *Match* strengthened them. We read this as corroborative rather than dispositive: the dual-class result does not survive the Fama–French five-factor adjustment (Online Appendix Table OA-6), and the wedge attains significance in only a single window, so although the sign symmetry across the two events aligns with the agency-cost reading, we leave a fuller exploration of the *Match* cross-section to future work.

# 6 Conclusion

Our Article sets out to evaluate Delaware's controversial corporate law reform, SB 21, by examining how the equity market reacted to the bill through a series of event studies. SB 21 substantially relaxed Delaware's rules governing controller transactions and introduced new constraints on shareholder litigation. While supporters argued that the reform would curb excessive litigation and regulatory costs and thereby benefit investors broadly, critics warned that it would enable controllers to extract greater private benefits at the expense of minority investors.

Our analysis supplies empirical evidence on how the equity market priced the announcement of SB 21. Relative to non-Delaware companies, Delaware companies experienced statistically significant negative abnormal returns upon SB 21's announcement, and this effect was particularly pronounced among firms with concentrated ownership and dual-class structures, the governance settings most directly implicated by the controller-transaction provisions. Firms whose major shareholders hold voting power exceeding 15% were notably affected, with a clear relationship between larger voting blocks and more negative returns; dual-class Delaware firms, for their part, experienced cumulative abnormal returns about 2.3 percentage points more negative than single-class firms at the headline $[-1, +5]$ window. A complementary continuous voting-economic wedge measure, constructed from hand-collected proxy data on the subset of Delaware firms with a non-institutional largest blockholder, points in the same direction and is statistically significant at the 5 percent level in the $[-1, +5]$ and $[-1, +7]$ windows. The market response thus varied with the firm characteristics most exposed to the reform's controller-transaction changes. By contrast, the aggregate market response to Delaware's earlier judicial decision in the *Match* case, which upheld one of the main stricter rules that SB 21 went on to overturn, was insignificant, which suggests that investors perceived no material change from that decision; the cross-sectional coefficients around *Match*, though mostly individually insignificant, are nonetheless positive (the mirror image of their negative SB 21 counterparts), a sign reversal consistent with

Table 14: Cumulative Abnormal Return Regressions on Voting Blocks (Match) (Delaware Only)

| | CAR[-1,1] | | | CAR[-1,3] | | | CAR[-1,5] | | | CAR[-1,7] | | | CAR[-1,10] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) | (10) | (11) | (12) | (13) | (14) | (15) |
| Voting Block | 0.006* | | | 0.004 | | | 0.006 | | | 0.003 | | | 0.001 | | |
| | (0.051) | | | (0.423) | | | (0.318) | | | (0.631) | | | (0.874) | | |
| >15% | | 0.001 | | | 0.002 | | | 0.003 | | | 0.004 | | | 0.002 | |
| | | (0.291) | | | (0.421) | | | (0.326) | | | (0.199) | | | (0.613) | |
| 15–33% | | | 0.001 | | | 0.001 | | | 0.001 | | | 0.003 | | | -0.002 |
| | | | (0.619) | | | (0.768) | | | (0.747) | | | (0.334) | | | (0.712) |
| >33.3% | | | 0.002 | | | 0.003 | | | 0.005 | | | 0.004 | | | 0.005 |
| | | | (0.349) | | | (0.390) | | | (0.210) | | | (0.261) | | | (0.240) |
| Constant | 0.002 | 0.003 | 0.004 | 0.030*** | 0.029*** | 0.030*** | 0.012 | 0.012 | 0.012 | 0.027*** | 0.024** | 0.024** | 0.025** | 0.023** | 0.025** |
| | (0.662) | (0.512) | (0.472) | (0.000) | (0.000) | (0.000) | (0.121) | (0.166) | (0.143) | (0.007) | (0.016) | (0.017) | (0.025) | (0.039) | (0.035) |
| Observations | 846 | 847 | 847 | 846 | 847 | 847 | 846 | 847 | 847 | 846 | 847 | 847 | 846 | 847 | 847 |
| Industry Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.153 | 0.153 | 0.153 | 0.136 | 0.136 | 0.137 | 0.128 | 0.128 | 0.128 | 0.106 | 0.107 | 0.107 | 0.127 | 0.126 | 0.128 |
| F Statistic | 34.937 | 32.561 | 28.955 | 15.307 | 15.022 | 13.690 | 13.608 | 13.732 | 12.155 | 9.015 | 9.219 | 8.210 | 15.916 | 15.980 | 14.766 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%, around the date of the Delaware Supreme Court's *Match* decision. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table 15: Cumulative Abnormal Return Regressions on Dual-Class Status and the Voting-Economic Wedge (Match) (Delaware Only)

| | [−1, +1] | | | [−1, +3] | | | [−1, +5] | | | [−1, +7] | | | [−1, +10] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) |
| Dual-class indicator | 0.002 | | | 0.005* | | | 0.009*** | | | 0.007* | | | 0.013** | | |
| | (0.363) | | | (0.078) | | | (0.004) | | | (0.071) | | | (0.012) | | |
| Voting-economic wedge | | 0.009 | 0.009 | | 0.020** | 0.020** | | 0.016 | 0.016 | | 0.011 | 0.012 | | 0.022 | 0.023 |
| | | (0.339) | (0.305) | | (0.050) | (0.044) | | (0.128) | (0.114) | | (0.420) | (0.386) | | (0.198) | (0.181) |
| Cash-flow rights | | | 0.011 | | | 0.007 | | | 0.009 | | | 0.013 | | | 0.014 |
| | | | (0.173) | | | (0.460) | | | (0.344) | | | (0.213) | | | (0.271) |
| Observations | 845 | 317 | 317 | 845 | 317 | 317 | 845 | 317 | 317 | 845 | 317 | 317 | 845 | 317 | 317 |
| $R^2$ | 0.153 | 0.092 | 0.099 | 0.139 | 0.098 | 0.100 | 0.131 | 0.077 | 0.079 | 0.109 | 0.068 | 0.071 | 0.133 | 0.140 | 0.142 |
| Firm controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Industry LOO CAR | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |

This Table reproduces Table 9 around the date of the Delaware Supreme Court's *Match* decision (April 4, 2024). Column (1) is the dual-class indicator (equal to one for firms with a multi-class share structure, zero otherwise), estimated on the full Delaware sample. Columns (2) and (3) replace it with the continuous voting-economic wedge, namely the largest controlling blockholder's share of total voting power minus its share of cash-flow (economic) rights, expressed as a 0–1 fraction, with Column (3) additionally controlling for the controller's cash-flow rights. The wedge specifications are restricted to firms whose largest blockholder is a non-institutional controller, excluding firms whose largest reported holder is a passive institutional aggregator (e.g., Vanguard, BlackRock, State Street, or FMR). Because the voting–economic structure is highly persistent, the wedge is measured from each firm's most recent DEF 14A proxy statement and treated as a time-invariant firm characteristic, as is the dual-class indicator. All cumulative abnormal returns, firm-level controls, and the wedge and cash-flow-rights regressors are winsorized at the 1st and 99th percentiles within the Delaware sample, identically to Table 9. Firm controls include the firm-level financial variables reported in Table 2, and each specification includes the leave-one-out industry CAR as the industry control with no fixed effects. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

the agency-cost interpretation developed above.

Consistent with a portfolio-rebalancing channel, we further document that, relative to passive funds, active mutual funds reduced their exposure following SB 21's announcement, both to Delaware firms overall and, within their Delaware holdings, to firms with more concentrated control. Taken together, the price reactions and the fund-rebalancing evidence indicate that the market priced SB 21 as reducing the expected value of Delaware-incorporated firms, especially those with concentrated control structures, a response consistent with investor concern about the relaxation of controller-transaction constraints at those firms. The implied economic impact is substantial: applying our main regression estimate to the Delaware companies in our sample yields a one-time market-value decline of roughly $350 billion. The evidence therefore points to investor concern about the reform's expected implications for shareholder value, while leaving broader welfare effects to evidence beyond the short-window market response.

Several limitations bear on how these results should be interpreted. First, the event-study design measures the equity market's immediate assessment of SB 21's implications for Delaware firms rather than realized post-reform outcomes; whether that pricing is borne out by subsequent litigation patterns, controller compensation, conflicted-transaction frequency, and investment policy remains an open question that will require a longer post-reform window than is presently available. Second, although the cross-sectional evidence on voting power and dual-class status is consistent with the agency-cost-of-control channel, it does not by itself rule out a contributing role for doctrinal uncertainty about how Delaware courts will apply the new statute. Third, because the top-1,000 sample restriction reflects the hand-collection of ownership data, the cross-sectional results inherit a large-firm focus. We leave realized-outcome tests and a broader welfare assessment, which a fuller appraisal of the reform would require, to subsequent work.[34] Incorporation flows are a further question of a different kind: as Section 4 explains, credibly analyzing entries into and exits from Delaware would require a structural model of firms' incorporation decisions rather than the reduced-form approach used here; developing such a model is a promising direction for future research.

[34]Future work could examine fiduciary-duty litigation frequency in Delaware Chancery, controller-CEO compensation, Section 220 petitions, and institutional-ownership follow-up.

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# A Appendix

## A.1 Placebo Tests

The temporal placebo reported in the main text (Figure 2) implements the cross-sectional inference procedure of Cohn et al. (2024) for our Delaware indicator. For each trading day in the pre-event window $s \in \{-250, -20\}$, we re-estimate the cross-sectional regression of $\text{CAR}_i(-1, 5)$ on the Delaware dummy (with baseline controls), treating $s$ as a pseudo event date, and recording the estimated coefficient on Delaware. The histogram reports the empirical distribution of these placebo coefficients. The dashed vertical line marks the actual event-date estimate ($\hat{\beta}_{\text{event}} = -0.0120$, identical to the headline $[-1, +5]$ Delaware coefficient in Table 6 because the placebo reuses the same abnormal returns and winsorized controls, sliding only the event window). The distribution is centered close to zero (mean $\approx$ 0.0004, s.d. $\approx$ 0.0043), whereas the event-date estimate lies far in the left tail, yielding an empirical $p$-value of $0/230 = 0.000$ and a small-sample corrected $p$-value of $(0 + 1)/(230 + 1) = 0.0043$.[35]

Figure A1 performs the same placebo exercise on the subsample of Delaware firms, with the indicator of interest equal to $\{\text{Ctrl} \geq 15\%\}$. For each pre-event trading day $s \in \{-250, -20\}$, we compute $\text{CAR}_i(-1, 5)$ around $s$ and re-estimate the cross section on this $\geq 15\%$-control dummy (with the same baseline controls), accumulating the resulting placebo coefficients into an empirical reference distribution. The dashed line denotes the true event-date estimate ($\hat{\beta}_{\text{event}} = -0.0143$, the headline $[-1, +5]$ coefficient on the $\geq 15\%$-control indicator in Table 8). The placebo distribution is again centered near zero (mean $\approx$ 0.0003, s.d. $\approx$ 0.0047), while the event-date estimate lies deep in the left tail, producing an empirical $p$-value of $0/230 = 0.000$ and a small-sample corrected value of $(0 + 1)/(230 + 1) = 0.0043$.

Methodologically, each of these procedures benchmarks the event-date cross-sectional association against its own pre-event sampling distribution, which addresses the risk that conventional standard errors understate sampling variability because of latent confounding or cross-day dependence in short-horizon return–characteristic regressions (Cohn et al. (2024)). The figures indicate that both the Delaware effect and the $\geq$ 15%-control effect observed at the SB 21 announcement are highly unlikely to arise from pre-event dynamics that might otherwise generate spurious cross-sectional significance.

## A.2 Alternative Events after SB 21's announcement

We analyze four event dates surrounding the enactment of SB 21: (i) 18 Feb 2025, the public announcement of SB 21; (ii) 11 Mar 2025, when the DSBA Executive Committee backed a revised bill; (iii) 19 Mar 2025, when the House Judiciary Committee reported the bill out "On Its Merits"; and (iv) 25 Mar 2025, final House passage and gubernatorial signature. For each date, we estimate CARs from an identical pre–event estimation window $[-250, -20]$ relative to 18 Feb 2025 (ending 20 trading days before that date) in order to avoid any potential contamination from

[35] Following the recommended finite-sample correction, we compute $p = (r + 1)/(N + 1)$ where $r$ counts placebo coefficients with $|\hat{\beta}_{\text{placebo}}| \geq |\hat{\beta}_{\text{event}}|$ and $N$ is the number of placebo dates.

SB 21's announcement. As a transparency check, we report single–equation OLS estimates of the date–specific Delaware, voting-block, control-tier, and dual-class coefficients in the Online Appendix (Tables OA-8–OA-11). Our baseline inference, however, estimates the four date–specific equations jointly using Seemingly Unrelated Regressions (SUR), which permits contemporaneous correlation in firm–level shocks across these dates (Binder (1985)).[36]

### A.2.1 Seemingly Unrelated Regressions

Because the same firms appear in each date-specific equation, residuals are plausibly correlated across equations, so estimating each date-specific regression separately by OLS would understate uncertainty for joint restrictions. SUR jointly estimates the system and uses the estimated cross-equation covariance matrix to deliver feasible generalized least squares coefficients and valid Wald tests over linear cross-date restrictions.[37]

For each event date $t \in \{18\text{ Feb},\ 11\text{ Mar},\ 19\text{ Mar},\ 25\text{ Mar}\}$, we estimate

$$\mathrm{CAR}_{ijt}(-1,5) = \alpha_t + Z_{ijt}\beta_t + \mathrm{LOO\_IndCAR}_{jt}^{(-i)}\delta_t + X_{ij}\gamma_t + \varepsilon_{ijt}, \tag{9}$$

and we allow $\left(\varepsilon_{ij,18\mathrm{Feb}},\ \varepsilon_{ij,11\mathrm{Mar}},\ \varepsilon_{ij,19\mathrm{Mar}},\ \varepsilon_{ij,25\mathrm{Mar}}\right)$ to be contemporaneously correlated. We take the regressors of interest $Z_{ijt}$ specification by specification: an indicator for Delaware incorporation, the continuous *Voting Block*, a *Dual Class* indicator, and, in a separate specification, a pair of tiered voting-block dummies for 15–33.3% and $> 33.3\%$ (with blocks below 15% as the omitted category). The control set includes a leave-one-out industry CAR and baseline firm characteristics. Using the full SUR covariance matrix described in Section A.2.1.2, we conduct five families of Wald tests per regressor: (i) follow-ups jointly zero ($\beta_{11\mathrm{Mar}} = \beta_{19\mathrm{Mar}} = \beta_{25\mathrm{Mar}} = 0$); (ii) 18 Feb vs. 11 Mar; (iii) 11 Mar vs. 19 Mar; (iv) 19 Mar vs. 25 Mar; and (v) initial vs. average follow-ups, $\beta_{18\mathrm{Feb}} - \frac{1}{3}(\beta_{11\mathrm{Mar}} + \beta_{19\mathrm{Mar}} + \beta_{25\mathrm{Mar}}) = 0$.

#### A.2.1.1 Results

Table A6 presents point estimates for the relevant differences and significance levels. Industry fixed effects are included at the SIC-3-digit level; firm controls match Table 2; and standard errors are clustered by SIC-3.

In the *all-firms* specification with the Delaware indicator as $Z_{ijt}$, the follow-up coefficients are not jointly different from zero. The 18 Feb coefficient is more negative than 11 Mar at the 1% level, while 11 Mar vs. 19 Mar is not statistically different from zero and 19 Mar vs. 25 Mar is positive and significant at the 5% level. The initial vs. average follow-ups contrast is negative and significant at the 1% level, which indicates that the Delaware effect is largely priced on the first trading day after the public announcement (18 Feb 2025), with the follow-up coefficients not jointly distinguishable from zero in the broad U.S. sample.

Restricting to the Delaware-incorporated subsample and rotating the regressor of interest reveals

[36] Again, note that all CARs use the same pre–event estimation window $[-250, -20]$ relative to 18 Feb 2025, ending 20 trading days before that date, to avoid contamination from the announcement.

[37] Technical details of the SUR estimator, covariance matrix, and Wald tests are provided in Section A.2.1.2.

richer within-Delaware dynamics. With the continuous *Voting Block*, the follow-up coefficients are not jointly different from zero and the pairwise contrasts across follow-ups are not statistically significant, although the initial vs. average follow-ups difference is negative and significant at the 5% level, again pointing to a more adverse initial response. With the *Dual Class* indicator, the follow-ups are jointly different from zero at the 1% level; the coefficient becomes more negative from 11 Mar to 19 Mar (1%), then partially reverses from 19 Mar to 25 Mar (1%); and the initial vs. average follow-ups difference is negative and significant at the 1% level (the 18 Feb vs. 11 Mar contrast itself is not significant). For the tiered voting-block dummies, the 15–33.3% group has follow-ups that are not jointly different from zero; 11 Mar vs. 19 Mar is negative and significant at the 5% level, while 18 Feb vs. 11 Mar and 19 Mar vs. 25 Mar are not significant; and the initial vs. average follow-ups contrast is not statistically significant. For the > 33.3% group, the follow-ups are jointly different from zero at the 1% level; 11 Mar vs. 19 Mar is negative and significant at the 1%, while 18 Feb vs. 11 Mar and 19 Mar vs. 25 Mar are not significant; and the initial vs. average follow-ups contrast is negative and significant at the 5% level. Thus, while dual-class firms exhibit a statistically significant partial reversal between 19 Mar and 25 Mar, the two voting-block tiers do not.

Taken together, the SUR evidence in Table A6 distinguishes the broad all-firms sample from the Delaware-only subsample. In the all-firms sample, the Delaware effect is concentrated on 18 Feb 2025. Within Delaware, by contrast, we see some re-pricing around the March milestones—11 Mar 2025 (DSBA support for a revised bill), 19 Mar 2025 (House committee action), and 25 Mar 2025 (Final passage and signature)—most notably a further decline from 11 Mar to 19 Mar for dual-class firms and higher voting-power tiers, and, for dual-class firms, a partial reversal by 25 Mar. That said, the bulk of the valuation impact remains incorporated at the initial announcement on 18 Feb 2025. This pattern is consistent with heterogeneous expectations and with information arriving after the initial announcement, especially once the DSBA's March 11 action signaled high enactment probability and reduced the scope for compromise.

#### A.2.1.2 SUR Estimator, Standard Errors, and Wald Tests

Formally, we estimate the SUR by feasible GLS and compute SIC-3–clustered, cross-equation robust standard errors and Wald tests as follows. For each event date $t \in \{18\text{ Feb}, 11\text{ Mar}, 19\text{ Mar}, 25\text{ Mar}\}$, we estimate Specification (9), obtaining $\text{CAR}_{ijt}(-1, 5)$ across firms $i = 1, \dots, N$ at date $t$, and we define the date-specific design matrix

$$X_t \;=\; \big[\,\mathbf{1},\; Z_{\cdot t},\; \text{LOO\_IndCAR}_{\cdot t}^{(-i)},\; C\,\big],$$

whose columns correspond to the intercept, the regressor of interest $Z \in \{\textit{Delaware}, \textit{Voting Block}, \textit{Dual Class}, \mathbf{1}\{15\text{–}33.3\%\}, \mathbf{1}\{> 33.3\%\}\}$ at date $t$, the leave-one-out industry CAR at date $t$, and the baseline firm controls, respectively (the latter do not vary with $t$ but enter every equation).[38] Let the parameter vector be

$$\theta_t \;=\; \big(\alpha_t,\; \beta_t,\; \delta_t,\; \gamma_t^{\top}\big)^{\top}.$$

[38] When we include SIC-3 fixed effects, $X$ also contains the corresponding dummies (or they are absorbed).

Stacking the four equations gives the block-diagonal system

$$y = \begin{bmatrix} y_{18\text{Feb}} \\ y_{11\text{Mar}} \\ y_{19\text{Mar}} \\ y_{25\text{Mar}} \end{bmatrix}, \qquad X = \operatorname{diag}\big(X_{18\text{Feb}},\, X_{11\text{Mar}},\, X_{19\text{Mar}},\, X_{25\text{Mar}}\big), \qquad \theta = \begin{bmatrix} \theta_{18\text{Feb}} \\ \theta_{11\text{Mar}} \\ \theta_{19\text{Mar}} \\ \theta_{25\text{Mar}} \end{bmatrix},$$

and $y = X\theta + u$, where $u$ stacks $\varepsilon_{ijt}$ conformably. Let $\varepsilon_i = (\varepsilon_{i,18\text{Feb}},\, \varepsilon_{i,11\text{Mar}},\, \varepsilon_{i,19\text{Mar}},\, \varepsilon_{i,25\text{Mar}})^\top$ be the 4-vector of residuals for firm $i$. The SUR working model is:

$$\mathbb{E}[u \mid X] = 0, \qquad \operatorname{Var}(u \mid X) = \Omega = \Sigma \otimes I_N,^{39}$$

with $\Sigma$ the $4\times4$ contemporaneous covariance across event-date equations. The feasible GLS (SUR) estimator is:

$$\widehat{\theta}_{\text{FGLS}} = \big(X^\top \widehat{\Omega}^{-1} X\big)^{-1} X^\top \widehat{\Omega}^{-1} y, \qquad \widehat{\Sigma} = \frac{1}{N}\sum_{i=1}^{N} \widehat{\varepsilon}_i\, \widehat{\varepsilon}_i^\top, \quad \widehat{\Omega} = \widehat{\Sigma} \otimes I_N.$$

We report SIC-3–clustered, cross-equation robust standard errors via a cluster-robust sandwich for SUR:

$$\widehat{\mathrm{V}}_{\text{CR}}\big(\widehat{\theta}_{\text{FGLS}}\big) = \big(X^\top \widehat{\Omega}^{-1} X\big)^{-1} \left( \sum_{j=1}^{J} X_j^\top \widehat{\Omega}_j^{-1}\, \widehat{u}_j\, \widehat{u}_j^\top\, \widehat{\Omega}_j^{-1} X_j \right) \big(X^\top \widehat{\Omega}^{-1} X\big)^{-1},$$

where $j$ indexes SIC-3 industries, $X_j = \operatorname{diag}(X_{18\text{Feb},j}, X_{11\text{Mar},j}, X_{19\text{Mar},j}, X_{25\text{Mar},j})$ stacks rows for firms in cluster $j$, $\widehat{u}_j$ stacks their residuals across equations, and $\widehat{\Omega}_j = \widehat{\Sigma} \otimes I_{N_j}$. For each of our cross-date restrictions (e.g., the three follow-ups jointly zero or the "initial vs. average-follow-ups" contrast), we test the restriction with the Wald statistic:

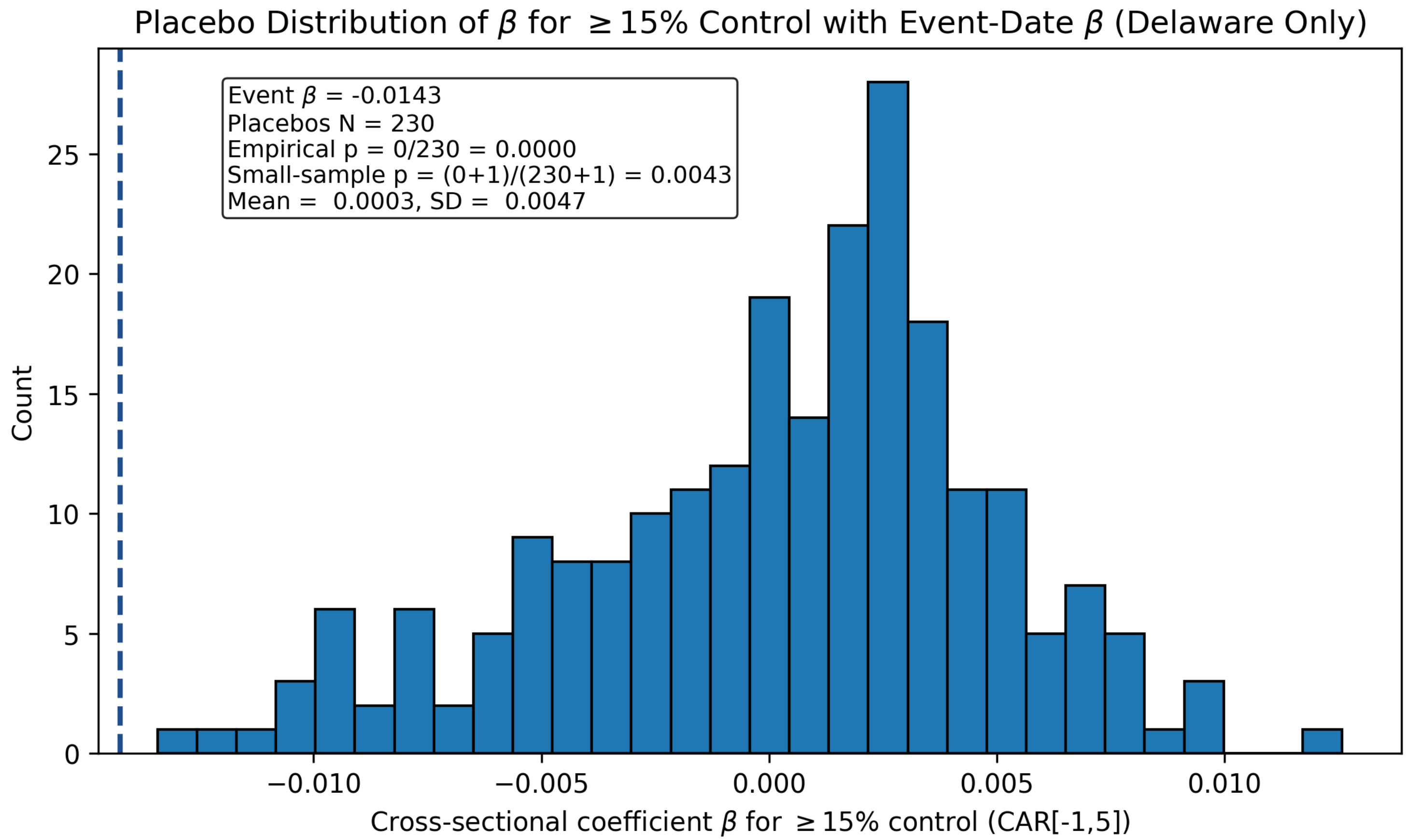
$$W = (R\widehat{\theta}_{\text{FGLS}} - r)^\top \Big[ R\, \widehat{\mathrm{V}}_{\text{CR}}\big(\widehat{\theta}_{\text{FGLS}}\big)\, R^\top \Big]^{-1} (R\widehat{\theta}_{\text{FGLS}} - r) \ \overset{a}{\sim}\ \chi^2_{\text{rank}(R)}.$$

# B Additional Tables and Figures

In this section, we provide additional tables and figures that supplement the main analysis presented in the paper.

[39] $\otimes$ denotes the Kronecker product; $I_N$ is the $N \times N$ identity matrix.

Figure A1: Distribution of Placebo Estimates of $\text{Ctrlmore}_{ij}^{\geq 15}$ Coefficient (SB21) (Delaware Only)




The Figure plots the distribution of estimated coefficients on a dummy variable indicating whether the company's voting block is more than 15%, obtained from placebo event–study regressions using pre-event dates between 250 and 20 trading days before the SB 21 event. As in the baseline, the cumulative abnormal returns and firm controls entering each placebo regression are winsorized at the 1st and 99th percentiles within the Delaware sample. Each regression estimates the association between whether the company's voting block is more than 15% and firms' cumulative abnormal returns. Firm controls include the financial variables reported in Table 2. The dashed blue line indicates the actual event-date coefficient estimated at the true event date. The empirical p-value corresponds to the fraction of placebo coefficients with absolute values greater than or equal to the actual event-date coefficient.

Table A1: Delaware Coefficient under State-of-Incorporation Clustering (SB21) (Combined Sample)

| | Cluster: SIC3 (baseline) | | Cluster: state of incorporation | |
|---|---|---|---|---|
| Window | Delaware coef. | p-value | Delaware coef. | p-value |
| $[-1, +1]$ | 0.0005 | 0.850 | 0.0005 | 0.771 |
| $[-1, +3]$ | -0.0068** | 0.040 | -0.0068*** | 0.002 |
| $[-1, +5]$ | -0.0120*** | 0.001 | -0.0120*** | 0.000 |
| $[-1, +7]$ | -0.0149*** | 0.001 | -0.0149*** | 0.001 |
| $[-1, +10]$ | -0.0210*** | 0.000 | -0.0210*** | 0.000 |
| Observations | 1,522 | | | |

Side-by-side comparison of the baseline Delaware regression (Specification 5) clustered at the SIC3 industry level versus the state-of-incorporation level. The cumulative abnormal return and firm controls are winsorized at the pooled 1st and 99th percentiles, as in the baseline regression. State-of-incorporation clustering is reported for transparency only and is unreliable in this setting: the treatment is concentrated in a single state cluster (Delaware), so conventional cluster-robust standard errors apply with very few effective clusters (Cameron et al. (2008)); the SIC3 inference remains the preferred specification. * 10%, ** 5%, *** 1%.

Table A2: Delaware Coefficient Excluding Nevada and Texas (SB21) (Combined Sample)

| | Baseline (all firms) | | Excluding NV & TX firms | |
|---|---|---|---|---|
| Window | Delaware coef. | p-value | Delaware coef. | p-value |
| $[-1, +1]$ | 0.0005 | 0.850 | 0.0020 | 0.430 |
| $[-1, +3]$ | -0.0068** | 0.040 | -0.0079** | 0.013 |
| $[-1, +5]$ | -0.0120*** | 0.001 | -0.0147*** | 0.000 |
| $[-1, +7]$ | -0.0149*** | 0.001 | -0.0175*** | 0.000 |
| $[-1, +10]$ | -0.0210*** | 0.000 | -0.0223*** | 0.000 |
| Observations | 1,522 | | 1,441 | |

The Table compares the baseline Delaware regression (Specification 5, SIC3 fixed effects, SIC3-clustered standard errors) on the full sample with the same regression after excluding firms incorporated in Nevada or Texas, the two regimes most often cited as adopting defendant-friendly alternatives to Delaware (Bennett et al. (2025); Hurt (2025)). The cumulative abnormal return and firm controls are winsorized at the pooled 1st and 99th percentiles, as in the baseline regression. The exclusion drops 85 Nevada- and Texas-incorporated firms from the merged baseline panel; the regression observation count falls from 1,522 to 1,441 because some of the dropped firms already had missing controls and would not have entered the baseline regression. * 10%, ** 5%, *** 1%.

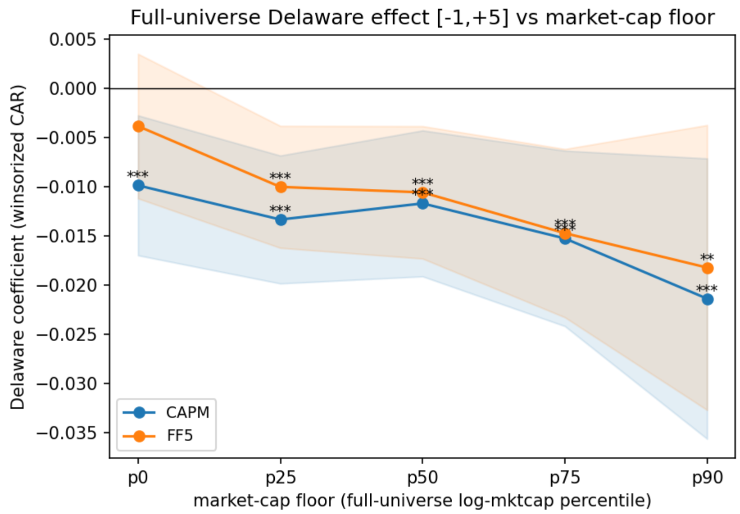
Table A3: Propensity-Score-Matched Delaware Effect (SB21) (Combined Sample)

| CAPM | | Fama–French 5 | |
|---|---|---|---|
| Window | PSM | Window | PSM |
| $[-1,+1]$ | $-0.0012$ | $[-1,+1]$ | $-0.0011$ |
| | (0.726) | | (0.732) |
| $[-1,+3]$ | $-0.0071^{*}$ | $[-1,+3]$ | $-0.0068$ |
| | (0.096) | | (0.103) |
| $[-1,+5]$ | $-0.0133^{***}$ | $[-1,+5]$ | $-0.0094^{**}$ |
| | (0.005) | | (0.033) |
| $[-1,+7]$ | $-0.0172^{***}$ | $[-1,+7]$ | $-0.0133^{**}$ |
| | (0.003) | | (0.012) |
| $[-1,+10]$ | $-0.0269^{***}$ | $[-1,+10]$ | $-0.0258^{***}$ |
| | (0.000) | | (0.000) |

The Table reports the Delaware coefficient from propensity-score-matched regressions on the top-1,000 Delaware plus top-1,000 non-Delaware sample. Treated Delaware firms are matched 1:1 to non-Delaware firms by nearest neighbour on the estimated propensity score (a logit of the Delaware indicator on the five firm controls of Table 2), without replacement and within a caliper of 0.2 standard deviations of the linearized score. On the matched sample the cumulative abnormal return is regressed on the Delaware indicator and the same five controls, with SIC3 industry fixed effects and standard errors clustered on SIC3; p-values based on these clustered standard errors are reported in parentheses below each coefficient. The five controls enter in raw form in both the matching and the regression; the cumulative abnormal return is winsorized at the pooled 1st/99th percentiles. The match forms 523 treated–control pairs. Columns report the Delaware coefficient under the CAPM (market model) and the Fama–French five-factor model, the latter defined in the Online Appendix. The event date is February 18, 2025. * 10%, ** 5%, *** 1%.

Figure A2: Delaware Effect by Market-Capitalization Floor (SB21)

Panel A. Coefficient versus size floor




Panel B. Estimates by floor

| Market-cap floor | CAPM | Fama–French 5 | $N$ (DE / non-DE) |
|---|---|---|---|
| None | −0.0098*** | −0.0038 | 2,558 / 1,408 |
| | (0.007) | (0.307) | |
| 25th percentile | −0.0133*** | −0.0100*** | 1,921 / 1,084 |
| | (0.000) | (0.002) | |
| 50th percentile | −0.0117*** | −0.0106*** | 1,284 / 720 |
| | (0.002) | (0.002) | |
| 75th percentile | −0.0152*** | −0.0147*** | 579 / 423 |
| | (0.001) | (0.001) | |
| 90th percentile | −0.0214*** | −0.0182** | 166 / 235 |
| | (0.005) | (0.016) | |

The exhibit re-estimates the baseline Delaware regression (Specification 5: a Delaware indicator with the firm controls of Table 2, SIC3 industry fixed effects, and SIC3-clustered standard errors) at the [−1, +5] window on the full CRSP/Compustat universe, progressively excluding firms below a market-capitalization floor. The cumulative abnormal return is winsorized at the pooled 1st/99th percentiles within each subsample. Panel A plots the Delaware coefficient under the market model and the Fama–French five-factor model (the five-factor specification is defined in the Online Appendix) against the floor, expressed as a percentile of the full-universe market-capitalization distribution, with 95% confidence intervals; Panel B reports the coefficients, p-values (in parentheses, from the SIC3-clustered standard errors), and the number of Delaware and non-Delaware firms retained at each floor. The 25th, 50th, 75th, and 90th percentile floors correspond to market capitalizations of roughly \$0.2, \$1.3, \$8.6, and \$90 billion. With no floor the five-factor estimate at this window is small and statistically insignificant, an artifact of equal-weighting the many micro-capitalization firms in the full universe; the effect becomes negative and significant under both models once even a modest floor is imposed, and generally strengthens at higher floors. * 10%, ** 5%, *** 1%.

Table A4: Equal-Weighted versus Value-Weighted Full-Universe Delaware Effect (SB21)

| Sample / weighting | Market model | Fama–French 5 | $N$ (DE / non-DE) |
|---|---|---|---|
| Baseline (top-1,000 Delaware + top-1,000 non-Delaware) | $-0.0120^{***}$ | $-0.0111^{***}$ | 917 / 657 |
| | (0.001) | (0.001) | |
| Full CRSP/Compustat universe (equal-weighted) | $-0.0088^{**}$ | $-0.0025$ | 2,472 / 1,069 |
| | (0.021) | (0.533) | |
| Full universe, value-weighted by market capitalization | $-0.0299^{***}$ | $-0.0270^{***}$ | 2,471 / 1,069 |
| | (0.000) | (0.000) | (eff. 63 / 13) |

The Table reports the Delaware coefficient at the $[-1, +5]$ window from the baseline cross-sectional regression (Specification 5: a Delaware indicator together with the firm controls of Table 2, SIC3 industry fixed effects, and SIC3-clustered standard errors), around the SB 21 announcement of February 18, 2025. Row 1 is the baseline sample of the 1,000 largest Delaware and 1,000 largest non-Delaware firms used in Table 6; Rows 2 and 3 use the full CRSP/Compustat universe of U.S. firms. The dependent variable is the cumulative abnormal return over $[-1, +5]$, winsorized at the pooled 1st/99th percentiles, with the firm controls likewise winsorized; abnormal returns are estimated over $[-250, -20]$ under the market model (CRSP value-weighted index) and the Fama–French five-factor model (the five-factor specification is defined in the Online Appendix). Rows 1 and 2 weight each firm equally; Row 3 weights firms by market capitalization (Compustat market value, latest fiscal year ending on or before December 2024). P-values, based on the SIC3-clustered standard errors, are reported in parentheses below each coefficient. The market-capitalization weight is not winsorized; winsorizing it at the 1st/99th percentiles leaves the value-weighted $[-1, +5]$ estimate at $-0.0209$ (market model) and $-0.0188$ (five-factor), both significant at the 1 percent level. Because value-weighting concentrates influence in the largest firms, the Kish effective sample size in Row 3 is about 63 Delaware and 13 non-Delaware firms, with the two largest non-Delaware firms together accounting for roughly 37 percent of non-Delaware weight. Equal-weighting the full universe places economically trivial firms on the same footing as the largest corporations and dilutes the short-window estimate toward zero, whereas weighting firms by economic size recovers a Delaware effect that is negative and significant at the 1 percent level at the $[-1, +5]$ window under both models. * 10%, ** 5%, *** 1%.

Table A5: Systematic-Risk and Idiosyncratic-Volatility Footprint of SB 21 (Affected vs. Control Firms)

| | [+6, +30] | [+6, +65] | [+6, +125] |
|---|---|---|---|
| | (1) | (2) | (3) |
| | pre-turb. | spans turb. | spans turb. |
| *Panel A. Own market beta change, $\Delta\beta$ (CAPM)* | | | |
| Affected (>15%) | +0.009 | -0.013 | +0.004 |
| | (0.771) | (0.588) | (0.868) |
| Control A (<15%) | -0.075*** | +0.032* | +0.047*** |
| | (0.000) | (0.059) | (0.003) |
| Control B (non-Del.) | -0.100*** | -0.074*** | -0.044*** |
| | (0.000) | (0.000) | (0.003) |
| *Panel B1. Idiosyncratic volatility change, CAPM residual (p.p.)* | | | |
| Affected (>15%) | -0.152 | +0.042 | +0.014 |
| | (0.176) | (0.667) | (0.877) |
| Control A (<15%) | -0.053 | +0.167*** | +0.189*** |
| | (0.178) | (0.000) | (0.000) |
| Control B (non-Del.) | -0.442*** | +0.070 | +0.119 |
| | (0.000) | (0.509) | (0.204) |
| *Panel B2. Idiosyncratic volatility change, five-factor residual (p.p.)* | | | |
| Affected (>15%) | -0.239** | -0.004 | -0.004 |
| | (0.033) | (0.972) | (0.964) |
| Control A (<15%) | -0.153*** | +0.120*** | +0.170*** |
| | (0.000) | (0.001) | (0.000) |
| Control B (non-Del.) | -0.417*** | +0.083 | +0.138 |
| | (0.000) | (0.432) | (0.139) |

*continued on next page*

Table A5 – continued

| | [+6, +30] | [+6, +65] | [+6, +125] |
|---|---|---|---|
| | (1) | (2) | (3) |
| | pre-turb. | spans turb. | spans turb. |
| *Panel C. Affected–control DiD on β (firm FE, SIC3-clustered)* | | | |
| Affected − Control A | +0.084** | -0.045 | -0.043 |
| | (0.030) | (0.125) | (0.131) |
| Affected − Control B | +0.109** | +0.061 | +0.047 |
| | (0.013) | (0.223) | (0.268) |
| Observations (Affected) | 346 | 342 | 342 |
| Observations (Control A) | 582 | 581 | 577 |
| Observations (Control B) | 1408 | 1396 | 1389 |
| Required $\Delta\beta$ (Affected) | | +0.013 to +0.022 | |
| Estimation window | | [−250, −20] | |

*Notes.* This table reports the systematic-risk and idiosyncratic-volatility "footprint" that a risk-premium account of the SB 21 announcement losses would imply, estimated from CRSP daily returns and the Fama–French five-factor daily benchmarks (the five-factor specification is defined in the Online Appendix). For each firm, factor loadings are estimated by OLS over the pre-event estimation window $[-250, -20]$ and re-estimated over each post-estimation window; the announcement window $[0, +5]$ is excluded from every post window. The primary window $[+6, +30]$ ends on 1 April 2025, the last trading day before the spring-2025 market turbulence, and so excludes it, whereas the two longer windows $[+6, +65]$ and $[+6, +125]$ span it. Each cell reports the group-mean change in the indicated quantity with the two-sided $p$-value of the mean in parentheses; Panels A and C are in market-beta units and Panel B in percentage points of the daily residual standard deviation. The footer reports, for the affected group, the range of beta increases that a permanent discount-rate explanation of its announcement CAR would require, $\Delta\beta = |\text{CAR}|\,(r-g)/\text{ERP}$ with $|\text{CAR}| = 0.016$, $r - g \in [0.05, 0.07]$, and $\text{ERP} \in [0.05, 0.06]$. Panel C is the affected-versus-control difference-in-differences on beta (two periods with firm fixed effects, equivalent to a first-difference regression) with standard errors clustered on SIC3 industry, pooling the affected group with the indicated control. The Panel C estimates are sensitive to the choice of post-estimation window and change sign across the three windows, so they are reported for completeness rather than relied upon, and the short post-event windows yield imprecise loadings. Read together, the estimates provide no affirmative evidence of a risk-premium footprint for the affected firms: their own market beta does not rise toward the required range and their idiosyncratic volatility does not increase. Observations are the number of firms in each group with estimable pre- and post-window loadings. $^{*}\,p < 0.10$, $^{**}\,p < 0.05$, $^{***}\,p < 0.01$.

Table A6: Seemingly Unrelated Regressions

| | All Firms | Delaware Firms | | | |
|---|---|---|---|---|---|
| | Delaware | Voting Block | Dual Class | 15−33% | >33.3% |
| Follow-ups jointly zero | (0.126) | (0.362) | (0.000)*** | (0.162) | (0.008)*** |
| 18 Feb vs 11 Mar | -0.016 | -0.013 | -0.015 | 0.001 | -0.005 |
| | (0.003)*** | (0.350) | (0.149) | (0.909) | (0.564) |
| 11 Mar vs 19 Mar | 0.002 | -0.021 | -0.023 | -0.012 | -0.019 |
| | (0.731) | (0.172) | (0.000)*** | (0.025)** | (0.001)*** |
| 19 Mar vs 25 Mar | 0.006 | 0.007 | 0.022 | 0.000 | 0.006 |
| | (0.018)** | (0.407) | (0.003)*** | (0.958) | (0.324) |
| Initial vs avg. follow-ups | -0.013 | -0.025 | -0.023 | -0.007 | -0.015 |
| | (0.001)*** | (0.012)** | (0.008)*** | (0.183) | (0.042)** |

The Table reports results from a system of Seemingly Unrelated Regressions, each estimated separately for five regressors of interest. For the "Delaware" column, the system is estimated on the full sample of Delaware and non-Delaware firms, while the remaining columns are estimated on the Delaware-only subsample. Each system jointly estimates the effect of the regressor on firms' cumulative abnormal returns over the $[-1, 5]$ window across four event dates. "Follow-ups jointly zero" tests whether the post–February 18 coefficients are jointly equal to zero. "Initial vs average follow-ups" tests whether the initial coefficient on February 18 equals the mean of the three subsequent coefficients. Other rows report pairwise differences in coefficients between event dates, with point estimates shown above and p-values reported in parentheses below. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles (pooled across the full sample for the Delaware column and within the Delaware sample for the remaining columns). Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

# Online Appendix

This Online Appendix re-estimates the paper's cross-sectional results under the Fama–French five-factor benchmark (Section OA-1), reports the state composition of the non-Delaware control group, and reports single-date regressions around the four SB 21 legislative events.

## OA-1 Fama–French Five-Factor Model

The headline results of our main paper rest on the Market Model detailed by MacKinlay (1997). Whereas that single-factor benchmark explains a firm's expected return through its exposure to the broad market alone (MacKinlay (1997)), the Fama–French framework specifies expected returns as a linear function of several systematic risk factors. Building on the original three-factor specification (Fama and French (1993)), the Fama–French five-factor model (Fama and French (2015)) augments the excess market return, size (SMB), and value (HML) with profitability (RMW) and investment (CMA). By attributing to "normal" performance any return component correlated with these systematic influences, the model isolates the residual as the cumulative abnormal return (CAR). Although this richer benchmark further mitigates omitted-variable bias, the need to estimate additional factor loadings can introduce extra parameter uncertainty and may unintentionally absorb part of the event-induced variation—especially if the event itself alters firms' exposures to SMB, HML, RMW, or CMA—thereby weakening the statistical power to detect genuine abnormal returns.

### OA-1.1 Variable Definitions

In addition to the variable defined in Section 4.2.3, to estimate the Fama–French five-factor model we employ the following variables.

| Symbol | Description |
|---|---|
| $R_{fs}$ | Daily risk-free rate in the estimation window (1-month T-bill). |
| $R_{ft}$ | Daily risk-free rate in the event window (1-month T-bill). |
| $MKT_s = R_{ms} - R_{fs}$ | Fama–French Excess-market factor in the estimation window (broad market portfolio's return above the risk-free rate). |
| $MKT_t = R_{mt} - R_{ft}$ | Fama–French Excess-market factor in the event window (broad market portfolio's return above the risk-free rate). |
| $SMB_s$ | Fama–French Size factor (small minus big) in the estimation window (return spread of small-cap minus big-cap stocks). |
| $SMB_t$ | Fama–French Size factor (small minus big) in the event window (return spread of small-cap minus big-cap stocks). |
| $HML_s$ | Fama–French Value factor (high minus low) in the estimation window (return spread of high versus low book-to-market ("value" minus "growth") stocks). |
| $HML_t$ | Fama–French Value factor (high minus low) in the event window (return spread of high versus low book-to-market ("value" minus "growth") stocks). |
| $RMW_s$ | Fama–French Profitability factor (robust minus weak) in the estimation window (return spread of firms with high versus low operating profitability). |
| $RMW_t$ | Fama–French Profitability factor (robust minus weak) in the event window (return spread of firms with high versus low operating profitability). |
| $CMA_s$ | Fama–French Investment factor (conservative minus aggressive) in the estimation window (return spread of firms with low versus high investment rates/asset growth). |
| $CMA_t$ | Fama–French Investment factor (conservative minus aggressive) in the event window (return spread of firms with low versus high investment rates/asset growth). |

## OA-1.2 Estimation Equation on Excess Returns

For $s \in \mathcal{S}$, we estimate the following specification:

$$(R_{is} - R_{fs}) = \alpha_i + \beta_i^{MKT}\, MKT_s + \beta_i^{SMB}\, SMB_s + \beta_i^{HML}\, HML_s + \beta_i^{RMW}\, RMW_s + \beta_i^{CMA}\, CMA_s + \varepsilon_{is}$$

where $\beta_i^{MKT}$ captures the firm's exposure to broad market excess returns, $\beta_i^{SMB}$ its tilt towards a small–cap versus large–cap factor, $\beta_i^{HML}$ its tilt towards a value versus growth factor, $\beta_i^{RMW}$ its sensitivity to a profitability factor (i.e., high minus low operating profitability), and $\beta_i^{CMA}$ its sensitivity to an investment factor (i.e., low minus high investment), while $\alpha_i$ represents the average drift left unexplained by the five factors. Estimating this specification by OLS on the excess returns yields the estimated values of $\hat{\alpha}_i, \hat{\beta}_i^{MKT}, \hat{\beta}_i^{SMB}, \hat{\beta}_i^{HML}, \hat{\beta}_i^{RMW}$, and $\hat{\beta}_i^{CMA}$.

### OA-1.3 Projection of Expected Raw Returns (event window)

For $t \in \mathcal{T}$, we compute expected returns via the specification:

$$E[R_{it}] = R_{ft} + \hat{\alpha}_i + \hat{\beta}_i^{MKT}\, MKT_t + \hat{\beta}_i^{SMB}\, SMB_t + \hat{\beta}_i^{HML}\, HML_t + \hat{\beta}_i^{RMW}\, RMW_t + \hat{\beta}_i^{CMA}\, CMA_t$$

Here we multiply the excess market return, SMB, HML, RMW, and CMA realized on each event–window day by the fitted loadings $\hat{\beta}_i^{MKT}, \hat{\beta}_i^{SMB}, \hat{\beta}_i^{HML}, \hat{\beta}_i^{RMW}$, and $\hat{\beta}_i^{CMA}$, respectively. We then add back the risk-free rate $R_{ft}$ so that the fitted excess return becomes a raw return comparable to $R_{it}$.

### OA-1.4 Abnormal and Cumulative Returns

To compute cumulative abnormal returns (CARs), we follow the procedures outlined in Section 4.2.3.3 to obtain:

$$AR_{it} = R_{it} - E[R_{it}], \qquad t \in \mathcal{T}.$$

$$CAR_i(t_0, t_1) = \sum_{t=t_0}^{t_1} AR_{it}, \qquad t_0, t_1 \in \mathcal{T},\ t_0 \leq t_1.$$

$$CAR^{\text{Portfolio}}(t_0, t_1) = \frac{1}{n} \sum_{i=1}^{n} CAR_i(t_0, t_1).$$

### OA-1.5 Results

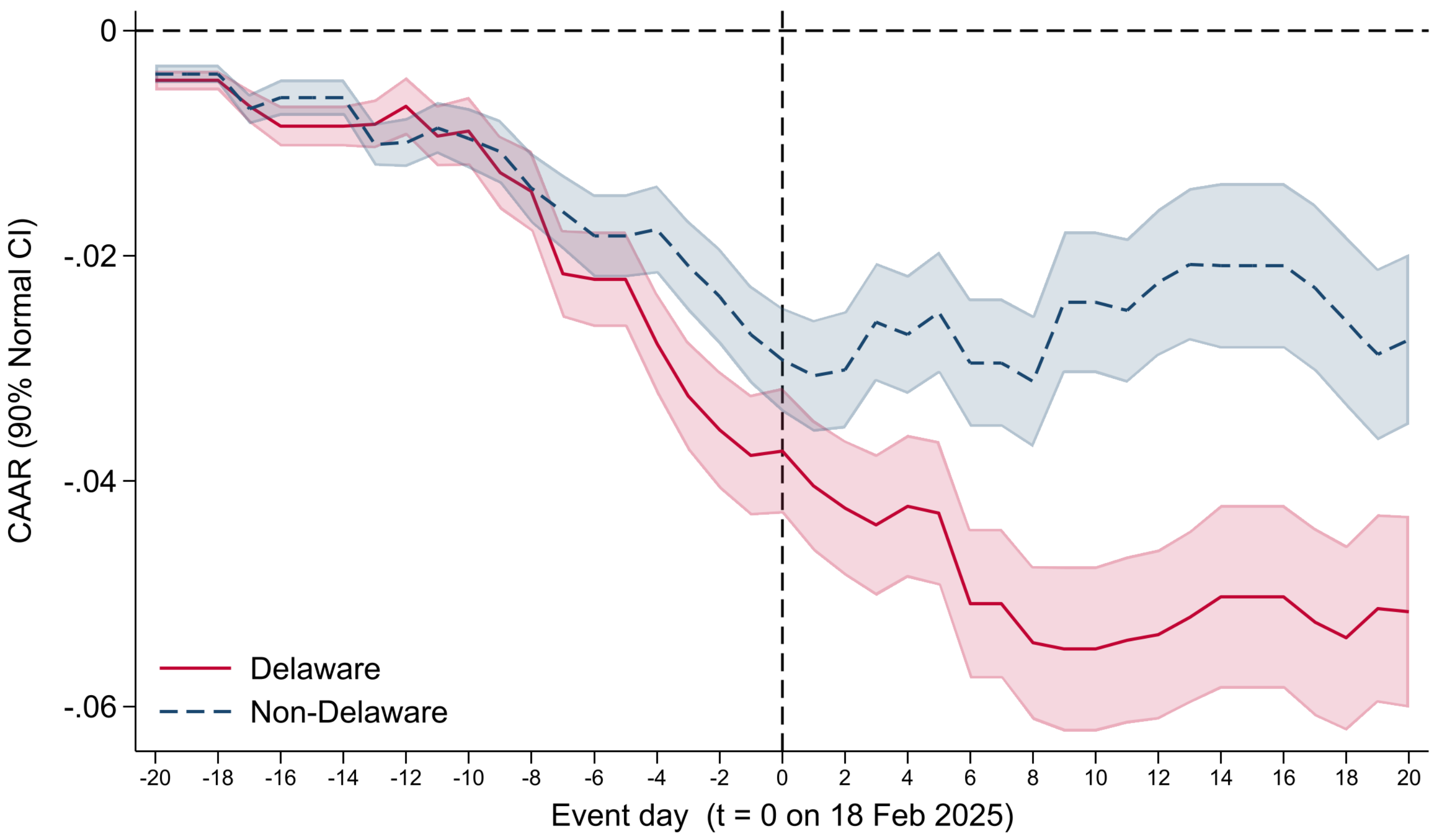
We report the Fama–French specifications in Tables (and Figures) OA-1 through OA-6. Across these specifications, the estimates remain robust, tracking those in the main text closely (see Section 5) and yielding substantively similar inferences.

Table OA-1: Fama-French Cumulative Abnormal Return Regressions on Delaware Variable (SB21) (Combined Sample)

| | (1)<br>CAR[-1,1] | (2)<br>CAR[-1,3] | (3)<br>CAR[-1,5] | (4)<br>CAR[-1,7] | (5)<br>CAR[-1,10] |
|---|---|---|---|---|---|
| Delaware | 0.001 | -0.007** | -0.011*** | -0.012*** | -0.023*** |
| | (0.719) | (0.037) | (0.001) | (0.003) | (0.000) |
| Constant | -0.018** | -0.022** | -0.015 | -0.035** | -0.037** |
| | (0.039) | (0.021) | (0.308) | (0.029) | (0.049) |
| Observations | 1522 | 1522 | 1522 | 1522 | 1522 |
| Industry FE | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.224 | 0.267 | 0.274 | 0.259 | 0.285 |
| F Statistic | 1.220 | 1.524 | 5.462 | 6.841 | 10.584 |

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a dummy variable indicating whether the company is incorporated in Delaware. Industry fixed-effects are included at the SIC 3-digit code level. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles, with the cumulative abnormal returns winsorized over the pooled Delaware and non-Delaware sample. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Figure OA-Fig-1: Fama-French Cumulative Abnormal Return Regressions on Delaware Variable (SB21) (Combined Sample)




The Figure represents the Fama-French cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles, pooled across the Delaware and non-Delaware sample, before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window.

Table OA-2: Fama-French Cumulative Abnormal Return Regressions on Voting Blocks (SB21) (Delaware Only)

| | CAR[-1,1] | | | CAR[-1,3] | | | CAR[-1,5] | | | CAR[-1,7] | | | CAR[-1,10] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) | (10) | (11) | (12) | (13) | (14) | (15) |
| Voting Block | -0.004 | | | -0.010 | | | -0.020** | | | -0.024*** | | | -0.021* | | |
| | (0.626) | | | (0.160) | | | (0.019) | | | (0.008) | | | (0.065) | | |
| >15% | | -0.002 | | | -0.008** | | | -0.012*** | | | -0.015*** | | | -0.013** | |
| | | (0.527) | | | (0.036) | | | (0.005) | | | (0.002) | | | (0.046) | |
| 15–33% | | | -0.003 | | | -0.010** | | | -0.013*** | | | -0.014** | | | -0.013* |
| | | | (0.264) | | | (0.017) | | | (0.007) | | | (0.011) | | | (0.069) |
| >33.3% | | | 0.000 | | | -0.007 | | | -0.011* | | | -0.016** | | | -0.014 |
| | | | (0.989) | | | (0.246) | | | (0.063) | | | (0.016) | | | (0.125) |
| Constant | -0.015 | -0.015* | -0.014 | -0.015 | -0.009 | -0.008 | -0.005 | 0.001 | 0.001 | -0.031* | -0.024 | -0.024 | -0.047** | -0.039** | -0.040* |
| | (0.102) | (0.095) | (0.114) | (0.250) | (0.504) | (0.544) | (0.707) | (0.968) | (0.952) | (0.080) | (0.209) | (0.203) | (0.019) | (0.048) | (0.052) |
| Observations | 859 | 860 | 860 | 859 | 860 | 860 | 859 | 860 | 860 | 859 | 860 | 860 | 859 | 860 | 860 |
| Industry Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.081 | 0.080 | 0.081 | 0.118 | 0.121 | 0.121 | 0.113 | 0.116 | 0.116 | 0.093 | 0.096 | 0.097 | 0.107 | 0.109 | 0.109 |
| F Statistic | 12.391 | 15.185 | 13.241 | 10.205 | 12.906 | 11.361 | 10.643 | 13.038 | 12.856 | 8.379 | 10.005 | 9.637 | 13.316 | 13.436 | 11.952 |

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

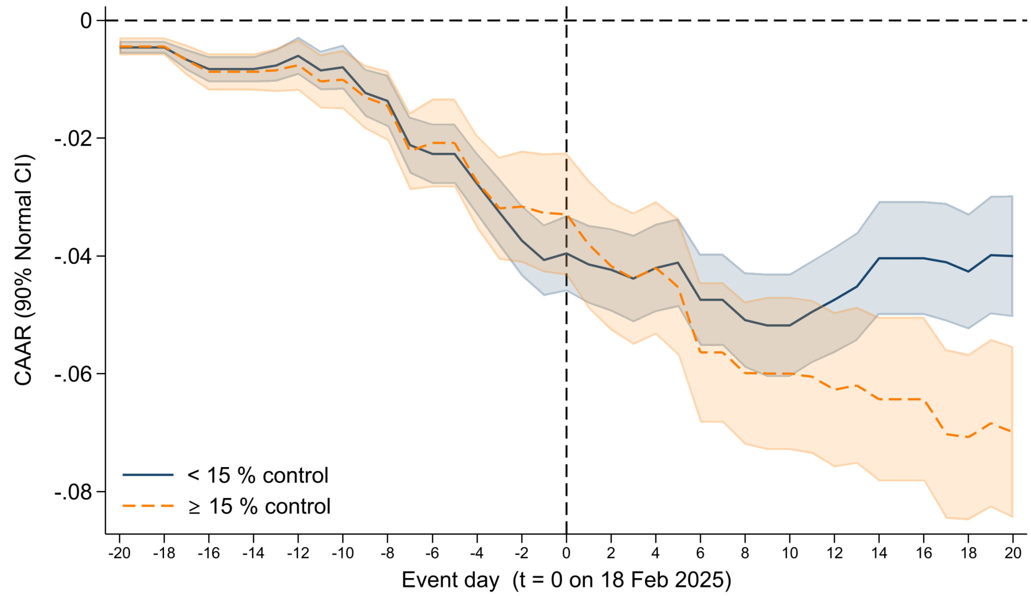
Table OA-3: Fama–French Cumulative Abnormal Return Regressions on Dual-Class Status and the Voting-Economic Wedge (SB21) (Delaware Only)

| | [−1, +1] | | | [−1, +3] | | | [−1, +5] | | | [−1, +7] | | | [−1, +10] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) |
| Dual-class indicator | -0.001 | | | -0.014** | | | -0.019** | | | -0.021** | | | -0.022** | | |
| | (0.814) | | | (0.045) | | | (0.019) | | | (0.023) | | | (0.026) | | |
| Voting-economic wedge | | 0.001 | 0.001 | | -0.040* | -0.040* | | -0.054* | -0.054* | | -0.078** | -0.077** | | -0.067** | -0.067** |
| | | (0.949) | (0.945) | | (0.096) | (0.090) | | (0.054) | (0.052) | | (0.031) | (0.030) | | (0.031) | (0.030) |
| Cash-flow rights | | | 0.001 | | | 0.002 | | | 0.004 | | | 0.005 | | | -0.003 |
| | | | (0.940) | | | (0.899) | | | (0.825) | | | (0.775) | | | (0.892) |
| Observations | 859 | 323 | 323 | 859 | 323 | 323 | 859 | 323 | 323 | 859 | 323 | 323 | 859 | 323 | 323 |
| $R^2$ | 0.080 | 0.058 | 0.058 | 0.123 | 0.127 | 0.127 | 0.118 | 0.128 | 0.128 | 0.097 | 0.117 | 0.117 | 0.111 | 0.124 | 0.124 |
| Firm controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Industry LOO CAR | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |

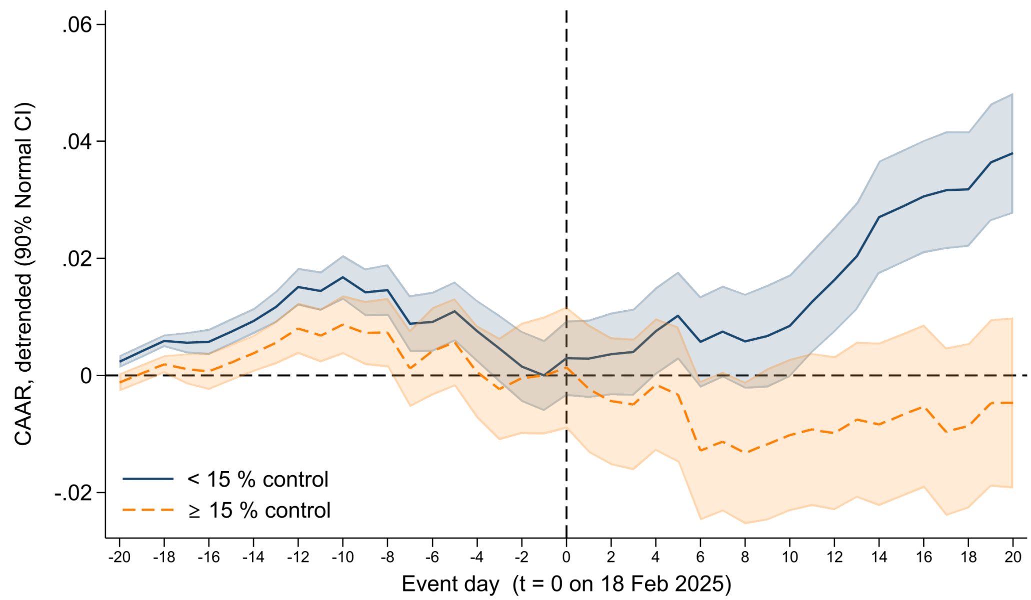
This Table reproduces Table 9 using cumulative abnormal returns estimated from the Fama–French five-factor model (market, SMB, HML, RMW, and CMA) in place of the market model, on the same sample of the largest 1,000 Delaware-incorporated firms. Column (1) is the dual-class indicator (equal to one for firms with a multi-class share structure, zero otherwise), estimated on the full Delaware sample. Columns (2) and (3) replace it with the continuous voting-economic wedge, the largest controlling blockholder's share of total voting power minus its share of cash-flow (economic) rights, expressed as a 0–1 fraction and read from each firm's most recent pre-event DEF 14A proxy statement (SEC EDGAR), with Column (3) additionally controlling for the controller's cash-flow rights. The wedge specifications are restricted to firms whose largest blockholder is a non-institutional controller, excluding firms whose largest reported holder is a passive institutional aggregator (e.g., Vanguard, BlackRock, State Street, or FMR). All cumulative abnormal returns, firm-level controls, and the wedge and cash-flow-rights regressors are winsorized at the 1st and 99th percentiles within the Delaware sample, identically to Table 9. Firm controls include the firm-level financial variables reported in Table 2, and each specification includes the leave-one-out industry CAR as the industry control with no fixed effects. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Figure OA-Fig-2: Fama-French Cumulative Abnormal Returns Associated with SB 21 ($\text{Ctrlmore}_{ij}^{\geq 15}$) (Delaware Only)

(a) Panel A




(b) Panel B




Panels A and B of this Figure represent the Fama-French cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event. At each event day the cross-section of cumulative abnormal returns is winsorized at the 1st and 99th percentiles within the Delaware sample before the portfolio averages are computed. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using robust normal Z-statistics, cumulated sequentially through the event window. Panel A represents the baseline cumulative abnormal returns without adjustment. Panel B CARs are linearly de-trended by estimating $\hat{\alpha} + \hat{\beta}t$ on the pre-event window (t=-20) to (t=-1) for each subset of firms and subtracting the fitted values from the entire series. The resulting residuals are then re-anchored so that day $-1$ equals zero, making all reported CARs deviations from that last pre-event day.

Table OA-4: Fama-French Cumulative Abnormal Return Regressions on Delaware Variable (Match) (Combined Sample)

| | (1) CAR[-1,1] | (2) CAR[-1,3] | (3) CAR[-1,5] | (4) CAR[-1,7] | (5) CAR[-1,10] |
|---|---|---|---|---|---|
| Delaware | 0.000 | -0.000 | -0.001 | -0.005 | -0.004 |
| | (0.934) | (0.916) | (0.800) | (0.134) | (0.328) |
| Constant | -0.003 | -0.003 | 0.002 | 0.002 | 0.005 |
| | (0.473) | (0.708) | (0.813) | (0.807) | (0.598) |
| Observations | 1512 | 1512 | 1512 | 1512 | 1512 |
| Industry FE | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.262 | 0.242 | 0.252 | 0.273 | 0.298 |
| F Statistic | 5.344 | 1.903 | 0.961 | 2.387 | 1.708 |

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a dummy variable indicating whether the company is incorporated in Delaware, around the date of the Delaware Supreme Court's *Match* decision. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles, with the cumulative abnormal returns winsorized over the pooled Delaware and non-Delaware sample. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table OA-5: Fama-French Cumulative Abnormal Return Regressions on Voting Blocks (Match) (Delaware Only)

| | CAR[-1,1] | | | CAR[-1,3] | | | CAR[-1,5] | | | CAR[-1,7] | | | CAR[-1,10] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) | (10) | (11) | (12) | (13) | (14) | (15) |
| Voting Block | 0.005 | | | 0.002 | | | 0.001 | | | -0.002 | | | -0.005 | | |
| | (0.120) | | | (0.685) | | | (0.854) | | | (0.695) | | | (0.582) | | |
| >15% | | 0.001 | | | 0.000 | | | 0.001 | | | 0.002 | | | 0.000 | |
| | | (0.591) | | | (0.862) | | | (0.764) | | | (0.499) | | | (0.919) | |
| 15–33% | | | 0.001 | | | 0.000 | | | 0.002 | | | 0.004 | | | 0.000 |
| | | | (0.716) | | | (0.928) | | | (0.447) | | | (0.159) | | | (0.946) |
| >33.3% | | | 0.001 | | | 0.001 | | | -0.001 | | | -0.001 | | | 0.000 |
| | | | (0.699) | | | (0.868) | | | (0.841) | | | (0.856) | | | (0.929) |
| Constant | -0.007 | -0.006 | -0.006 | 0.004 | 0.004 | 0.004 | 0.008 | 0.007 | 0.006 | 0.007 | 0.003 | 0.002 | -0.003 | -0.005 | -0.005 |
| | (0.210) | (0.293) | (0.297) | (0.662) | (0.621) | (0.616) | (0.332) | (0.384) | (0.444) | (0.537) | (0.760) | (0.850) | (0.822) | (0.653) | (0.666) |
| Observations | 846 | 847 | 847 | 846 | 847 | 847 | 846 | 847 | 847 | 846 | 847 | 847 | 846 | 847 | 847 |
| Industry Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.159 | 0.158 | 0.158 | 0.118 | 0.118 | 0.118 | 0.107 | 0.108 | 0.108 | 0.123 | 0.124 | 0.125 | 0.158 | 0.157 | 0.157 |
| F Statistic | 38.501 | 37.363 | 33.165 | 13.285 | 13.207 | 11.787 | 9.732 | 10.051 | 9.034 | 13.526 | 13.628 | 11.987 | 19.708 | 19.620 | 17.844 |

The Table reports the results of an OLS regression of cumulative abnormal returns estimated from the Fama–French five-factor model on a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%, around the date of the Delaware Supreme Court's *Match* decision. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. Firm controls include the firm-level financial variables reported in Table 2. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table OA-6: Fama–French Cumulative Abnormal Return Regressions on Dual-Class Status and the Voting-Economic Wedge (Match) (Delaware Only)

| | [−1, +1] | | | [−1, +3] | | | [−1, +5] | | | [−1, +7] | | | [−1, +10] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) | (1) | (2) | (3) |
| Dual-class indicator | 0.001 | | | 0.003 | | | 0.004 | | | 0.002 | | | 0.007 | | |
| | (0.627) | | | (0.320) | | | (0.237) | | | (0.661) | | | (0.203) | | |
| Voting-economic wedge | | 0.009 | 0.010 | | 0.018* | 0.019* | | 0.016 | 0.016 | | 0.009 | 0.010 | | 0.024 | 0.024 |
| | | (0.342) | (0.318) | | (0.092) | (0.086) | | (0.174) | (0.168) | | (0.548) | (0.537) | | (0.190) | (0.185) |
| Cash-flow rights | | | 0.008 | | | 0.005 | | | 0.002 | | | 0.005 | | | 0.006 |
| | | | (0.270) | | | (0.567) | | | (0.810) | | | (0.627) | | | (0.651) |
| Observations | 845 | 317 | 317 | 845 | 317 | 317 | 845 | 317 | 317 | 845 | 317 | 317 | 845 | 317 | 317 |
| $R^2$ | 0.159 | 0.095 | 0.098 | 0.119 | 0.077 | 0.078 | 0.109 | 0.064 | 0.064 | 0.124 | 0.089 | 0.089 | 0.159 | 0.170 | 0.171 |
| Firm controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Industry LOO CAR | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |

This Table reproduces Table 15 using cumulative abnormal returns estimated from the Fama–French five-factor model (market, SMB, HML, RMW, and CMA) in place of the market model, around the date of the Delaware Supreme Court's *Match* decision (April 4, 2024). Column (1) is the dual-class indicator (equal to one for firms with a multi-class share structure, zero otherwise), estimated on the full Delaware sample. Columns (2) and (3) replace it with the continuous voting-economic wedge—the largest controlling blockholder's share of total voting power minus its share of cash-flow (economic) rights, expressed as a 0–1 fraction—with Column (3) additionally controlling for the controller's cash-flow rights. The wedge specifications are restricted to firms whose largest blockholder is a non-institutional controller, excluding firms whose largest reported holder is a passive institutional aggregator (e.g., Vanguard, BlackRock, State Street, or FMR). Because the voting–economic structure is highly persistent, the wedge is measured from each firm's most recent DEF 14A proxy statement and treated as a time-invariant firm characteristic, as is the dual-class indicator. All cumulative abnormal returns, firm-level controls, and the wedge and cash-flow-rights regressors are winsorized at the 1st and 99th percentiles within the Delaware sample. Firm controls include the firm-level financial variables reported in Table 2, and each specification includes the leave-one-out industry CAR as the industry control with no fixed effects. The event date is April 4, 2024. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

# OA-2 State Composition of the Non-Delaware Control Group

This section reports the state-of-incorporation composition of the non-Delaware control group used in the baseline Delaware/non-Delaware comparison of the main paper.

Table OA-7: State Composition of the Non-Delaware Control Group

| State | Firms | % | State | Firms | % | State | Firms | % |
|---|---|---|---|---|---|---|---|---|
| MD | 202 | 23.9 | GA | 16 | 1.9 | ME | 3 | 0.4 |
| MA | 64 | 7.6 | MO | 15 | 1.8 | NE | 3 | 0.4 |
| NV | 53 | 6.3 | NC | 14 | 1.7 | WV | 3 | 0.4 |
| NY | 44 | 5.2 | TN | 11 | 1.3 | CO | 2 | 0.2 |
| PA | 44 | 5.2 | IL | 10 | 1.2 | KS | 2 | 0.2 |
| OH | 39 | 4.6 | OR | 8 | 0.9 | RI | 2 | 0.2 |
| TX | 32 | 3.8 | OK | 7 | 0.8 | AZ | 1 | 0.1 |
| NJ | 30 | 3.6 | UT | 5 | 0.6 | SD | 1 | 0.1 |
| VA | 29 | 3.4 | SC | 5 | 0.6 | NH | 1 | 0.1 |
| MN | 29 | 3.4 | KY | 5 | 0.6 | NM | 1 | 0.1 |
| FL | 28 | 3.3 | LA | 5 | 0.6 | ID | 1 | 0.1 |
| WI | 25 | 3.0 | IA | 4 | 0.5 | DC | 1 | 0.1 |
| IN | 24 | 2.8 | CT | 4 | 0.5 | MT | 1 | 0.1 |
| WA | 20 | 2.4 | MS | 4 | 0.5 | AK | 1 | 0.1 |
| CA | 20 | 2.4 | AR | 4 | 0.5 | ND | 1 | 0.1 |
| MI | 17 | 2.0 | HI | 3 | 0.4 | PR | 1 | 0.1 |
| Total | 845 | 100.0 | | | | | | |

Counts and shares of firms in the non-Delaware control group by state of incorporation, listed in descending order of firm count reading down each block of columns. States are identified by two-letter postal abbreviations, and % is each state's share of the non-Delaware control group. The non-Delaware control group comprises the 845 firms in the baseline regression panel (Specification 5) that are incorporated outside Delaware.

## OA-3 Single-Date Regressions around SB 21

This section reports single-equation OLS estimates of the Delaware/non-Delaware and within-Delaware cross-sections at each of the four event dates surrounding the enactment of SB 21, for transparency and comparability with the main-text estimates and with the Seemingly Unrelated Regressions system in Section A.2.1. We analyze four event dates: (i) 18 February 2025, the public announcement of SB 21; (ii) 11 March 2025, when the DSBA Executive Committee backed a revised bill; (iii) 19 March 2025, when the House Judiciary Committee reported the bill out "On Its Merits"; and (iv) 25 March 2025, final House passage and gubernatorial signature. For each date, cumulative abnormal returns are estimated from an identical pre-event estimation window $[-250, -20]$ relative to 18 February 2025 (ending 20 trading days before that date) to avoid contamination from SB 21's announcement. Table OA-8 reports the date-specific Delaware coefficients from Specification (5); Tables OA-9–OA-11 report the date-specific coefficients from Specification (6) for the continuous voting block, the two control tiers (15–33.3% and $> 33.3\%$), and dual-class status.

Table OA-8: Cumulative Abnormal Return Regressions on Delaware Variable (Post-SB21 Events) (Combined Sample)

| | (1)<br>18 Feb | (2)<br>March 11 | (3)<br>March 19 | (4)<br>March 25 |
|---|---|---|---|---|
| Delaware | -0.012*** | 0.004 | 0.002 | -0.004* |
| | (0.001) | (0.388) | (0.350) | (0.075) |
| Constant | -0.029* | 0.026** | -0.005 | -0.013 |
| | (0.068) | (0.020) | (0.513) | (0.238) |
| Observations | 1522 | 1519 | 1518 | 1517 |
| Industry FE | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes |
| R-Sq | 0.293 | 0.306 | 0.272 | 0.401 |
| F Statistic | 10.914 | 9.282 | 1.907 | 8.525 |

The Table reports the results of OLS regressions of cumulative abnormal returns over the [-1, 5] event window on a dummy variable indicating whether the company is incorporated in Delaware, estimated across multiple potential event dates surrounding the SB 21 date. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles, with the cumulative abnormal returns winsorized over the pooled Delaware and non-Delaware sample. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table OA-9: Cumulative Abnormal Return Regressions on Continuous Voting Block (Post-SB21 Events) (Delaware Only)

| | (1) 18 Feb | (2) March 11 | (3) March 19 | (4) March 25 |
|---|---|---|---|---|
| Voting Block | -0.027*** | -0.013 | 0.008 | 0.001 |
| | (0.003) | (0.210) | (0.362) | (0.924) |
| Constant | -0.021 | 0.026* | -0.012 | -0.027* |
| | (0.184) | (0.098) | (0.181) | (0.078) |
| Observations | 859 | 856 | 855 | 854 |
| Industry Controls | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes |
| R-Sq | 0.126 | 0.176 | 0.158 | 0.281 |
| F Statistic | 14.406 | 16.465 | 11.924 | 31.128 |

The Table reports the results of OLS regressions of cumulative abnormal returns over the [-1, 5] event window on a continuous variable measuring the percentage of votes that may be exercisable by the shareholder(s) with the greatest voting power ("Voting Block"), estimated across multiple potential event dates surrounding the SB 21 date. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. The sample includes Delaware-incorporated firms only. Firm controls include the firm-level financial variables reported in Table 2. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table OA-10: Cumulative Abnormal Return Regressions on $\text{Ctrlmore}_{ij}^{>33\%}$ and $\text{Ctrlmore}_{ij}^{15-33\%}$ (Post-SB 21 Events) (Delaware Only)

| | (1) 18 Feb | (2) March 11 | (3) March 19 | (4) March 25 |
|---|---|---|---|---|
| 15−33% | -0.012** | -0.012** | 0.006** | 0.004 |
| | (0.011) | (0.011) | (0.021) | (0.492) |
| >33.3% | -0.017** | -0.012** | 0.011** | 0.005 |
| | (0.016) | (0.023) | (0.012) | (0.368) |
| Constant | -0.017 | 0.035** | -0.018** | -0.032* |
| | (0.330) | (0.029) | (0.037) | (0.082) |
| Observations | 860 | 857 | 856 | 855 |
| Industry Controls | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes |
| R-Sq | 0.128 | 0.184 | 0.167 | 0.283 |
| F Statistic | 14.995 | 17.884 | 13.140 | 29.542 |

The Table reports the results of OLS regressions of cumulative abnormal returns over the [-1, 5] event window on dummy variables indicating whether the company's voting block is between 15% and 33.3%, or greater than 33.3%, estimated across multiple potential event dates surrounding the SB 21 date. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. The sample includes Delaware-incorporated firms only. Firm controls include the firm-level financial variables reported in Table 2. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.

Table OA-11: Cumulative Abnormal Return Regressions on Dual-Class (Post-SB21 Events) (Delaware Only)

| | (1) 18 Feb | (2) March 11 | (3) March 19 | (4) March 25 |
|---|---|---|---|---|
| Dual Class | -0.023*** | -0.008 | 0.014*** | -0.008 |
| | (0.006) | (0.100) | (0.000) | (0.310) |
| Constant | -0.030* | 0.022 | -0.011 | -0.025* |
| | (0.073) | (0.138) | (0.205) | (0.068) |
| Observations | 859 | 856 | 855 | 854 |
| Industry Controls | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes |
| R-Sq | 0.132 | 0.177 | 0.171 | 0.284 |
| F Statistic | 14.638 | 17.530 | 21.265 | 29.142 |

The Table reports the results of OLS regressions of cumulative abnormal returns over the [-1, 5] event window on a dummy variable indicating whether the company has a dual-class voting structure, estimated across multiple potential event dates surrounding the SB 21 date. All cumulative abnormal returns and firm-level controls are winsorized at the 1st and 99th percentiles within the Delaware sample. The sample includes Delaware-incorporated firms only. Firm controls include the firm-level financial variables reported in Table 2. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the industry (SIC3) level.